



CIRCLE S.M.A.R.T · STAGE 1

WEEK 3

Build your system, protect yourself

Class handout · English edition

This week's days

Day 15	A fundamental health check with AI, and corporate actions
Day 16	Algo Level 1: rules, flowchart and alerts
Day 17	Backtest Level 1, by hand
Day 18	F&O basics only: samjho, khelo mat
Day 19	The event calendar and your no-trade days
Day 20	Trading psychology and your Daily Routine Card
Day 21	Finale: Week 3 review, your certificate and the road to Stage 2

How to use this handout

- Read one day at a time, in order. Each day ends with a task, AI Lab prompts, a journal question and a 5-question quiz.
- Submit the quiz and save the journal in the app: that is what opens the next day and counts for your score.
- All charts and numbers are illustrative, and every company name in an example is made up. Virtual money only. Nothing here is a tip or a buy or sell call.

Contents

Day 15 A fundamental health check with AI, and corporate actions

A health check, not a price target · Checks 1 to 3: growth, margin, debt · Checks 4 and 5: promoter pledge and cash flow · Scoring the card: rules first, story last · Corporate actions: when the company changes your shares · Record date and ex-date: who gets the benefit

Day 16 Algo Level 1: rules, flowchart and alerts

An algo is written rules, not magic · The flowchart: your rule card as yes/no boxes · Alerts ring; you decide · Daily rules need a finished daily candle · SEBI's retail algo rules: the road rules · The magic-bot wish

Day 17 Backtest Level 1, by hand

A backtest is net practice, not a match · Hide the future: look-ahead bias · Log every trade in R, after costs and gaps · Read the log: four numbers and one line · When the data lies: survivorship and unadjusted prices · Curve-fitting hope, and why 30 is only a first look

Day 18 F&O basics only: samjho, khelo mat

Futures: a deal today, settled every evening · Options: a right for the buyer, a duty for the seller · ITM, ATM, OTM, and what a premium is made of · Payoff at expiry: who can lose how much · Expiry, delivery and the option-chain words · Lottery ticket or insurance?

Day 19 The event calendar and your no-trade days

Events: the gaps you can see coming · Where events come from: your stock, India, the world · Timing: during market hours or overnight · Your no-trade rules: match the event to the trade · Build your 30-day calendar from official sources · Fear of missing the big day

Day 20 Trading psychology and your Daily Routine Card

The ego after a loss: revenge trading · FOMO and overtrading: your journal names the enemy · Four quiet biases that bend your rules · The kill-switch for humans: design, not willpower · The Daily Routine Card: four blocks, every day · Your protection checklist: guard the money and the mind

Day 21 Finale: Week 3 review, your certificate and the road to Stage 2

Week 3 in one evening · Shortcut Trap #3: 'we trade for you' · Your challenge result is a process score · From journal to five habits · The certificate: six checks, no profit test · Before real money: the 'not yet' list, and Stage 2

Important information and disclaimer

Every day has the same shape: the story, 4-6 topics with pictures, words of the day, a recap map, today's task, AI Lab prompts, a journal question, a closing line and a 5-question quiz.

A fundamental health check with AI, and corporate actions

Concept: The 5-check health filter, market-cap tiers and corporate actions

AI Lab: Fill my health card: AI does the maths, you verify and decide

Mindset: Story bias: the magic of a good story

The next big thing?

Sunday evening, the weekly video call. Aman has joined early, and he is excited.



Aman

Sir, Anand Snacks is the next big thing. The CEO said on TV they will open 500 stores, and the chart just made a new high. Also, Gupta Cement's chart shows a 50% crash in a single day. It is dirt cheap now.



Mentor

A lovely story, Aman. Two questions first. What do Anand Snacks' own accounts say? And did Gupta Cement really lose half its value overnight, or did something else happen?



Priya

Sir, I looked up Anand Snacks on the NSE website. The promoters have pledged 45% of their shares. And profit has grown for three years, but the cash coming in from the business has been negative for two years.



Aman

Pledged? Negative cash? The interview never mentioned any of that. So what happened to Gupta Cement?



Mentor

A 1:1 bonus: the kind of fake crash you met on Days 5 and 6. 100 shares became 200, each at about half the price. Nothing was lost, and nothing got cheap. Today we learn a short health check for the business, and the company events that move a chart without changing the business.

The lesson: A story tells you what might happen. The accounts tell you what did happen. Read the accounts first.

Learn

01 A health check, not a price target

A chart shows what the price is doing, not whether the business underneath is healthy. So in this course, fundamental analysis (reading a company's accounts to judge its business) is only a filter, never a way to find a price target. Before a stock joins your swing watchlist, it passes a short health check: about five minutes once you know where the numbers are, longer the first time. Market capitalisation, or market cap, is share price x total number of shares: the price tag of the whole company. Under SEBI's rule for mutual funds, the top 100 companies by market cap are large caps, 101 to 250 are mid caps, and the rest are small caps. AMFI, the mutual fund industry body, updates this list every six months, so a company's tier can change; check the latest list on amfiindia.com. A sector is a group of companies in the same business, such as banks, IT, pharma or cement.

Market cap and tier

Gupta Cement (large)		Rs 1,50,000 cr
Sharma Textiles (mid)		Rs 60,000 cr
Anand Snacks (small)		Rs 1,000 cr

Made-up companies. The tier comes from the rank on the AMFI list, not from a set rupee amount.

EXAMPLE

Anand Snacks Ltd has 5 crore shares trading at Rs 200, so its market cap is Rs 1,000 crore. On the AMFI list it ranks far below 250, well outside the top 500: a small cap. It is not even in the NIFTY 500 that Day 11's screener starts from. Small caps usually swing harder and trade in thinner volume, so the spread and slippage from Day 2 bite more, and pump-and-dump tip groups love them. Sectors matter too: shares in one sector often move together, so three open trades in three cement companies are closer to one big bet than to three small ones (Day 9). So write each watchlist stock's sector, shown on its NSE quote page, next to its card.

Remember: The chart tells you about the price. The health check tells you about the business. You need both.

02 Checks 1 to 3: growth, margin, debt

Every number you need is in the company's own filings: quarterly results and the annual report on nseindia.com or bseindia.com. Free data sites copy them and can lag, so match the latest year against the filing. Check 1, growth: is revenue (sales, the money earned from selling goods or services) in the latest year (year 3) higher than in the first of your three years (year 1)? Check 2, margin: operating margin is how many rupees out of every Rs 100 of sales stay after running costs like raw material, salaries and rent; the filing has no 'operating profit' line, so work it out as sales minus (total expenses minus finance costs minus depreciation). Check 3, debt: debt-to-equity (D/E) compares borrowed money with the owners' money in the business, and interest cover is operating profit minus depreciation, divided by finance costs (the interest bill): how many times the business's own profit can pay its interest. Read the direction over three years, not one quarter.

Bharat Pumps: checks 1 to 3

Sales in year 1	Rs 4,200 cr
Sales in year 3: growth up	Rs 5,000 cr
Operating margin: $600 \div 5,000$	12%
Debt-to-equity: $3,000 \div 2,500$	1.2
Interest cover: $(600 - 150) \div 300$	1.5x
= Flags so far (debt only)	1

Course rule: debt-to-equity above 1, or interest cover below 2, is a debt flag. This cover leaves out other income (such as interest on deposits), so a data site that includes it may show a higher number. These are teaching cut-offs, not laws.

EXAMPLE

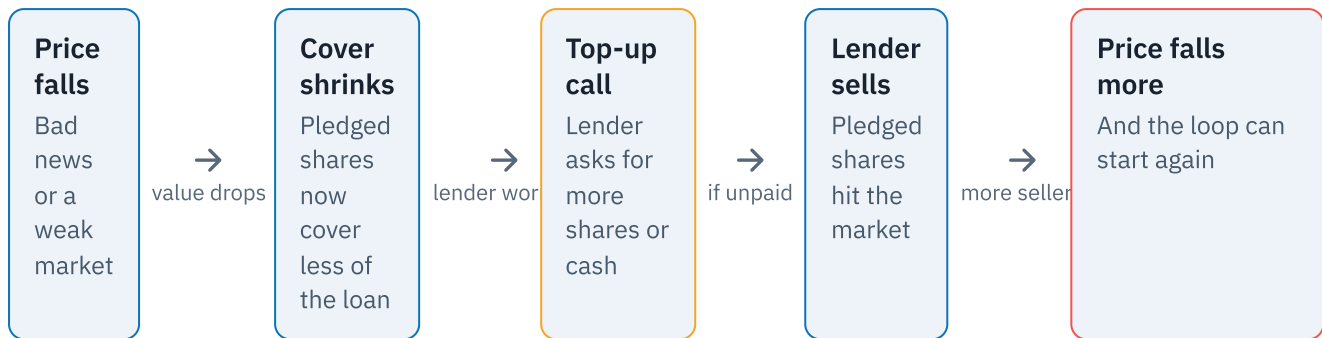
Bharat Pumps Ltd: sales rose from Rs 4,200 crore in year 1 to Rs 5,000 crore in year 3, so growth is up. Operating profit is Rs 600 crore, so Rs 12 of every Rs 100 of sales is left, about the same 12% as in year 1. After Rs 150 crore of depreciation (the yearly wear and tear of its machines), Rs 450 crore is left before interest and tax. But it has borrowed Rs 3,000 crore against Rs 2,500 crore of owners' money, and that Rs 450 crore covers the Rs 300 crore interest bill only 1.5 times. Think of a family whose EMIs eat most of the salary: one bad quarter, or a credit-rating downgrade (an agency lowering its view of the company's ability to repay), and the share can gap down.

Remember: No need to memorise numbers: read the direction over three years, then apply the written cut-offs.

03 Checks 4 and 5: promoter pledge and cash flow

Promoters are the founders or controlling owners, and the shareholding pattern filed every quarter shows how much they own and how much of it is pledged. A pledge means the promoter has given shares as security for a loan, like a family taking a gold loan. If the price falls, the lender asks for more shares or cash, and may sell the pledged shares, which can push the price down further. A falling promoter holding is not always selling: if the company issues new shares to institutions or employees, the promoter's percentage drops without a single share sold (60 crore of 100 crore shares is 60%; after 20 crore new shares, 60 of 120 is 50%); this is called dilution. Operating cash flow is the cash the business actually collected in the year after paying its running costs and taxes. Profit can include sales made on credit, so compare the two over three years together; one weak year can be normal for a fast-growing company.

The pledge loop



Each turn of the loop can push the price lower. That is why, in the scoring rules below, a big or rising pledge takes a stock off your list on its own.

EXAMPLE

Anand Snacks' promoter has pledged shares worth Rs 100 crore for a Rs 50 crore loan; lenders usually want shares worth about twice the loan. If the price falls 40%, those shares are worth Rs 60 crore, far below twice the loan, and the lender asks for more; if the promoter cannot pay, the lender sells and the price falls again. Now the cash. Over three years Anand Snacks reported profit of Rs 8, 10 and 12 crore, Rs 30 crore in all, but its operating cash flow was Rs 2, minus 6 and minus 8 crore: minus Rs 12 crore in all. It is like a kirana store whose bahi-khata shows a profit while the galla stays empty, because most of its sales are still udhaar.

Remember: Profit is what the books say. Cash is what came into the galla.

04 Scoring the card: rules first, story last

Now score the card with written rules: in this course, a pledge above 10% of promoter shares, or a pledge % that has gone up two quarters in a row, knocks a stock off your swing watchlist on its own. The other four checks are counted (sales in year 3 below year 1; margin down in both year 2 and year 3; D/E above 1 or interest cover below 2; 3-year cash below half of 3-year profit, or 3-year profit or cash at zero or below), and two or more counted flags also take it off; write the reason in your journal. The check does not fit banks, NBFCs (non-bank lenders) and insurers, because borrowing, lending or investing other people's money is their business, so in Stage 1 keep them off your swing watchlist. From now on, the card comes before the chart: a stock that fails it never reaches your swing flowchart (Day 16), and a stock that passes carries its card result into a Portfolio row as Full Why 1, the business reason. Let AI do the clerk's work of calculating, but paste only numbers you copied yourself, check every figure it uses, and make the decision yourself. Story bias is our habit of trusting a vivid story, such as a new product, a famous CEO or 'the next giant', over dull numbers; that is why the card comes first and the story comes last.

How the card is scored

Knock-out: one is enough

- Pledge above 10% of promoter shares
- Pledge % up two quarters in a row

Counted: two or more = out

- Sales: year 3 below year 1
- Margin fell in year 2 and year 3
- D/E above 1 or cover below 2
- 3-yr cash under half of profit, or a loss

Check does not fit

- Banks, NBFCs and insurers
- Lending or insuring is their business
- Stage 1: keep them off the list

Rules of thumb for learning, not laws of nature. Write them down before you look at any company.

EXAMPLE

Priya's card for Bharat Pumps: growth up, margin steady, debt flagged, no pledge, and three-year cash of Rs 270 crore against Rs 300 crore of profit. One counted flag, so it stays on her list with 'debt: watch' in her journal. Anand Snacks: 45% of promoter shares pledged, a knock-out on its own, plus three-year cash of minus Rs 12 crore against Rs 30 crore of profit. It stays off her list, however exciting the 500-store story sounds. Aman still likes the story. Liking it is allowed; trading on it is not.

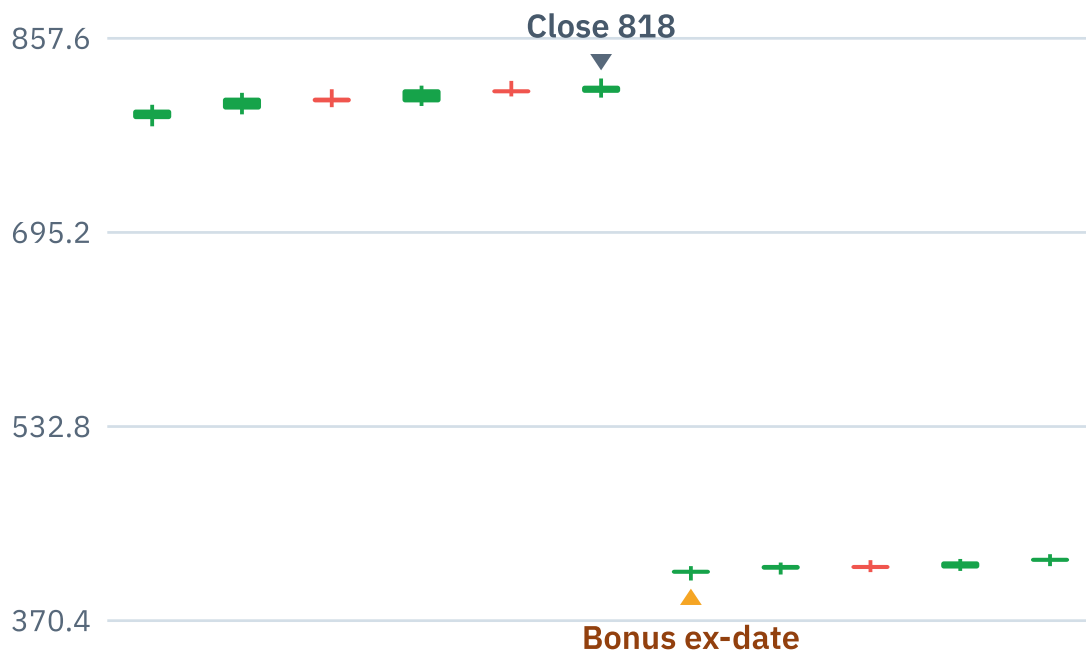
Remember: Written rules score the card. The story does not, and neither does the AI.

05 Corporate actions: when the company changes your shares

A corporate action is a company decision that changes what each shareholder holds or receives. A dividend is cash paid on each share out of profits, and on the ex-date the price usually drops by about that amount. A bonus gives free extra shares (1:1 means one new share for each one you hold), and a split cuts each share into smaller ones (face value, a fixed book amount per share and not its price, going from Rs 10 to Rs 2 turns one share into five); in both, the price adjusts in the same ratio and your total value stays the same. A rights issue offers holders new shares at a set price, usually below the market: you can apply, sell your right (the rights entitlement) on the exchange, or ignore it, and ignoring costs you, because the price adjusts down and the unused right lapses worthless. In a buyback the company buys back some shares at a price it announces; if holders offer more than it wants, only part of yours is accepted (the acceptance ratio), and the chart is not adjusted. Dividends and buybacks have their own tax rules: ask a CA.

Crash? No, a 1:1 bonus

ILLUSTRATIVE



Unadjusted daily chart of Gupta Cement. 100 shares x Rs 818 = 200 shares x Rs 409 = Rs 81,800. On unadjusted data, EMA, RSI and ATR read this gap as a real fall (Day 11).

EXAMPLE

Aman's 'crash' (chart below): some weeks back, Gupta Cement Ltd closed at Rs 818 on a Thursday and opened near Rs 409 on Friday, the ex-date of a 1:1 bonus. 100 shares worth Rs 81,800 became 200 shares at Rs 409, still Rs 81,800; the extra 100 reach the demat a day or two after the record date, so do not panic if Friday still shows 100. Rights and buybacks are where your choice matters. Say you hold 100 shares at Rs 800 and the company offers 1 new share for every 4 held, at Rs 600: after the ex-date the price tends towards $(4 \times 800 + 600) \div 5 = \text{Rs } 760$. Apply, and you pay Rs 15,000 and hold 125 shares worth Rs 95,000, your Rs 80,000 plus what you paid; sell your 25 rights at about Rs 160 each ($760 - 600$) and you still have about Rs 80,000; ignore them and you are left with Rs 76,000. In a buyback at Rs 900 that accepts only 10 of your 100 shares, you get Rs 9,000, Rs 1,000 more than those 10 fetch at Rs 800, and the other 90 stay with you. Before believing any sudden, very large gap, check the corporate actions page on nseindia.com.

Remember: A bonus or split changes the number of shares, not the value of what you own. In a rights issue, ignoring the offer is the one choice that costs you.

06 Record date and ex-date: who gets the benefit

The record date is the day the company takes the list of shareholders from the depositories; whoever is on that list gets the dividend, bonus or rights. The ex-date is the first day the share trades without that benefit. Because India's equity settlement is T+1, the ex-date and the record date now fall on the same day, so to qualify you must buy by the trading day before the ex-date. A buyer on the ex-date does not get the dividend, because that purchase settles a day too late; a shareholder who sells on the ex-date still gets it, because that

sale settles after the list is taken. On the ex-date the price usually opens lower by about the dividend, so a dividend is not free money, and it counts as your taxable income (ask a CA). Dates and rules can change, so always check the corporate actions page on nseindia.com.

A dividend under T+1

1

Dividend announced

Rs 12 a share; record date set for Tuesday

T

Monday: last day to buy

Shares settle on Tuesday (T+1), so you qualify

T+1

Tuesday: ex-date = record date

Price opens about Rs 12 lower; the list is taken

4

Payment date

Rs 12 a share reaches holders' bank accounts

Illustrative days. The real ex-date and record date are on the NSE corporate actions page.

EXAMPLE

Sharma Textiles Ltd declares a Rs 12 dividend, and Tuesday is both the ex-date and the record date. Priya buys 50 shares on Monday at Rs 612, paying Rs 30,600; they settle on Tuesday, so she is on the list. On Tuesday the share opens near Rs 600. Her 50 shares are now worth about Rs 30,000, plus Rs 600 of dividend (50 x Rs 12): Rs 30,600, about what she paid, before tax and costs; the Rs 600 itself arrives on the payment date. Aman buys on Tuesday at Rs 600 and gets no dividend, but he paid Rs 12 a share less. Neither of them got anything for free. Day 19 adds ex-dates to your no-trade calendar.

Remember: To qualify, buy by the trading day before the ex-date. The price adjusts either way.

Words from today

Market cap

Share price x total number of shares: the price tag of the whole company. Its rank decides large, mid or small cap.

Debt-to-equity

Borrowed money ÷ the owners' money in the business. Above 1 means the company owes more than its owners' own stake.

Promoter pledge

Promoter shares given as security for a loan. If the price falls, the lender may sell them.

Operating cash flow

The cash the business actually collected in a year after paying its running costs and taxes. Compare it with profit over three years.

Corporate action

A company decision that changes what shareholders hold or receive: dividend, bonus, split, rights issue or buyback.

Ex-date and record date

Record date: the day the shareholder list is taken.
Ex-date: the first day the share trades without the benefit. Under T+1 they fall on the same day.

Interest cover

Operating profit minus depreciation, divided by finance costs: how many times the business's own profit can pay its interest bill. Below 2 is a course debt flag.

Rights issue and buyback

Rights issue: new shares offered to holders at a set price; you can apply or sell the right, and ignoring it loses value. Buyback: the company buys shares back at a set price, often accepting only part of what you offer.

Recap map

Recap

Filter, not target

Chart = price, card = business
Large, mid, small by rank
One sector = one big bet

Checks 1 to 3

Sales up over 3 years?
Margin per Rs 100 of sales
D/E and interest cover

Checks 4 and 5

Pledge loop can deepen falls
Holding can fall by dilution
Cash vs profit over 3 years

Health check + corporate actions

Scoring

Pledge >10% or rising = out
2+ counted flags = out
AI calculates, you decide
The story comes last

Corporate actions

Dividend, bonus, split
Rights: apply, sell or lose
Buyback: part accepted
Fake gaps on unadjusted charts

Dates

Ex-date = record date (T+1)
Buy by the trading day before
Price drops by about the dividend

Today's task

55 min

Score the mentor's practice filing on the Health Card and check it with AI, then card one real stock from your watchlist, turn a pass into a Portfolio row, and read one real corporate action (steps 1, 2 and 6 take about 55 minutes; the real-stock card and its Portfolio row, steps 3-5, take about 30 minutes more and can be finished tomorrow evening, before Day 16's flowchart).

- ☐ Under Your template, open the Kiran Foods Ltd practice filing (made-up numbers) and fill the Practice column of the Health Card with a phone calculator: operating profit and margin for each year, D/E, interest cover, 3-year cash against 3-year profit, and the pledge.
- ☐ Paste the practice filing's numbers into the AI Lab prompt 'Fill my health card', tick every number the AI used against the filing, and compare its flags with yours and with the answer key under the card.
- ☐ Now card one real stock from your Day 11 watchlist or an open paper trade (never one from a tip; not a bank, NBFC or insurer). On its nseindia.com page note the sector, and in its shareholding pattern for the last four quarters note the pledged part as a % of promoter shares ('encumbered' counts too; if there is no promoter, write 'no promoter').
- ☐ For the same stock, take three years of sales, total expenses, finance costs, depreciation, net profit and operating cash flow, plus the latest borrowings and equity, from its annual results or a free data site (tick the latest year against the filing), and fill the Your stock column. Write the result and the deciding check in your journal; never post the name in a group.
- ☐ If it passes, open the app's Portfolio page and add one complete row (virtual; a row can be a stock you have studied, not only a trade you took: leave entry date, qty and entry price blank until you enter a paper trade, and it does not count as an open trade): Full Why 1 = your card result and the check that decided it; Full Why 2 = your Day 11 chart reason; the top risk and your answer to it; price-stop = the stop from your Day 11 plan card ($1.5 \times \text{ATR } 14$ below entry); Why-stop = the card check that would knock it out; review point = its next results date. If it fails, write why in your journal instead.
- ☐ On nseindia.com, open the corporate actions list, pick one recent dividend, bonus, split, rights issue or buyback, and fill a blank row of 'Corporate actions in numbers' for a made-up 100 shares, with its ex-date and record date. For a dividend, compare the ex-date open with the previous close on a free TradingView chart.

YOUR TEMPLATE

Practice filing: Kiran Foods Ltd (made up)

Shareholding pattern, last 4 quarters: promoters hold 52%, and 0% of promoter shares are pledged in every quarter.

Line (Rs crore)	Year 1	Year 2	Year 3
Sales (revenue from operations)	8,000	8,500	9,000
Total expenses	7,140	7,660	8,010
of which: finance costs	60	55	50
of which: depreciation	200	210	220

Line (Rs crore)	Year 1	Year 2	Year 3
Net profit	645	630	742
Net cash from operating activities	600	520	760
Total borrowings (latest year only)	-	-	900
Total equity (latest year only)	-	-	4,500

Mentor-made numbers in Rs crore, laid out like a real annual-results filing. Sector: FMCG (packaged foods).

Health Card: model, practice and yours

Answer key for the Practice column: operating profit 1,120, 1,105 and 1,260, so margins 14.0%, 13.0% and 14.0% (down once, not twice: no flag); D/E $900 \div 4,500 = 0.2$; interest cover $(1,260 - 220) \div 50 = 20.8x$; 3-year cash 1,880 against 3-year profit 2,017. Kiran Foods Ltd has 0 counted flags and no knock-out, so it stays on the list. A different count? Find the rule you misread before you card your own stock.

Check (flag if...)	Priya: Bharat Pumps	Practice: Kiran Foods	Your stock
Sector	Capital goods (pumps)		
1 Growth: sales in year 3 below year 1?	Rs 4,200 to 5,000 cr: up, no flag		
2 Margin: down in year 2 and again in year 3?	11.9%, 12.0%, 12.0%: no flag		
3 Debt: D/E above 1, or interest cover below 2?	D/E 1.2; cover 1.5x: FLAG		
4 Pledge: above 10%, or up 2 quarters in a row? (knock-out)	0% in all 4 quarters: no		
5 Cash: 3-year cash under half of 3-year profit, or either at zero or below?	Rs 270 cr vs Rs 300 cr: no flag		
Knock-out?	No		
Counted flags (2 or more = out)	1 (debt)		
Decision and one reason	Stays; journal: 'debt: watch'		
Portfolio row: Full Why 1	Card: 1 flag (debt), no pledge, sales up 3 years	-	

Corporate actions in numbers

Use a blank row for the action you read on nseindia.com: write its ex-date and record date in the first cell.

Action	Shares after	Price after	Your value
Rs 10 dividend	100	~Rs 790	Rs 79,000 + Rs 1,000 cash
1:1 bonus	200	~Rs 400	Rs 80,000
Split: face value Rs 10 to Rs 2	500	~Rs 160	Rs 80,000
Rights, 1 for every 4 at Rs 600: apply, pay Rs 15,000	125	~Rs 760	Rs 95,000 (80,000 + 15,000 paid)
Rights: sell your 25 rights	100	~Rs 760	Rs 76,000 + ~Rs 4,000 cash
Rights: ignore them	100	~Rs 760	Rs 76,000 (Rs 4,000 lost)
Buyback at Rs 900: 10 of your 100 accepted	90	~Rs 800	Rs 72,000 + Rs 9,000 cash = Rs 81,000

A made-up holding of 100 shares at Rs 800 (Rs 80,000), before tax and costs. Prices after are what the arithmetic says; real prices also move with the market.

OUTCOME

By the end you can run a five-check health filter on a company from its own filings, score it with written rules, turn a passing card into a Portfolio row, explain market-cap tiers and sectors, and work out what a dividend, bonus, split, rights issue or buyback does to your shares, with its ex-date and record date.

TOOLS

- NSE website (nseindia.com)
- Google Sheets
- TradingView free chart
- Any AI chat
- The app's Portfolio page

WITH YOUR BATCH

Flag-count reveal: everyone scores the Kiran Foods practice filing alone in 10 minutes, writes the flag count on a chit, and all chits are opened together. Anyone whose count differs reads aloud the rule that tripped them. Round two, Story vs Numbers: one person reads Aman's '500 stores' line in a TV-anchor voice, and the others call out which of the five checks would test it. Learning alone? Play both rounds with the answer key under the Health Card. No real company names are shared.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Company names and example figures are made up for illustration, and no fair value, target price or buy/sell view is given. No affiliation with any website or tool named. Stage 1 uses virtual money only. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Fill my health card

You are a careful assistant helping a beginner run a 5-check health filter on one listed Indian company, or on a made-up practice company from my course. I will paste the company's sector and numbers I copied myself from its annual results (consolidated if available) for 3 years (year 1 is the oldest, year 3 the latest): sales (revenue from operations), total expenses, finance costs, depreciation, net profit and net cash from operating activities for each year; for the latest year, total borrowings (non-current plus current) and total equity (share capital plus other equity); and, for the last 4 quarters, promoter holding % and pledged shares as a % of promoter shares (or 'no promoter'). If the sector I give is a bank, NBFC or insurer, say the check does not fit and stop. Use ONLY the numbers I paste. If a number is missing, write 'missing' and never fill it from memory. For each year work out operating profit = sales - (total expenses - finance costs - depreciation) and operating margin = operating profit / sales. For the latest year work out interest cover = (operating profit - depreciation) / finance costs; this leaves out other income, so say that a data site's figure may differ. For each check (growth, margin, debt, promoter pledge, cash flow) show the calculation, the direction (better / flat / worse) and whether it triggers any of these course flags: sales in year 3 lower than year 1; operating margin lower in year 2 than year 1 AND lower in year 3 than year 2; latest debt-to-equity (total borrowings / total equity) above 1 or interest cover below 2; pledge above 10% of promoter shares or pledge % up two quarters in a row (a knock-out; if there is no promoter, write no promoter); 3-year operating cash flow below half of 3-year net profit, or 3-year net profit or 3-year operating cash flow at zero or below. If finance costs are zero, write 'no interest' and do not flag interest cover. If total equity is zero or negative, count a debt flag. Do not make the final decision for me: end with the number of knock-outs, the number of counted flags, and the list of numbers I should re-check in the filings. Do not give a valuation, fair value, target price, rating or any buy or sell view, and do not mention expected returns. Do not ask me for any personal details.

Numbers:

<paste here>

Story or numbers?

I will paste a company press release, a TV interview transcript or a news article, with the company name removed. Sort every claim in it into three labels: Fact (a past, reported number I can check in the company's filings), Guess (a plan, forecast or opinion about the future) and Kachra (hype with nothing checkable in it, such as 'game-changer' or 'the next giant'). Then tell me which of these five checks each Fact relates to: growth, margin, debt, promoter pledge or cash flow. For each Guess, name one number in future filings that would test it. Finish with two questions I should ask myself to catch story bias. Do not recommend any stock, do not give buy or sell advice, and do not mention targets or expected returns.

Text:

<paste here>

Check my corporate action

I read a corporate action on the NSE website and I will paste its type (dividend, bonus, split, rights issue or buyback), the ratio or amount, the issue or buyback price if any, the ex-date and the record date. Using a made-up holding of 100 shares at the previous close I give you, show in a simple table my number of shares, the price per share and my total value before and after. For a rights issue, show three rows (I apply, I sell my rights, I ignore them) and work out the theoretical ex-rights price step by step. For a buyback, show the result if only part of my shares is accepted, and explain what an acceptance ratio is. Then check the row I filled in myself, pasted below, and point out any line I got wrong. Explain record date versus ex-date under India's T+1 settlement in 3 short lines. Label each statement Fact, Guess or Kachra, list the facts I should confirm on the NSE website because rules can change, and say that tax questions go to a CA. Do not recommend any stock, do not give buy or sell advice, and do not mention targets or expected returns.

Corporate action and previous close:

<paste here>

My row:

<paste here>

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Which company story have you believed without checking its numbers, from TV, YouTube or a friend? After today's card, would that company stay on your list? Write which check decided it.

Write your answer here, then save it in the app's Journal tab.

Today you read the report before the chart. It is slow, unglamorous work, and it is exactly the work a good story tempts you to skip.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. Sharma Textiles Ltd declares a Rs 8 dividend. Thursday is both the ex-date and the record date. Aman buys 40 shares on Wednesday to catch the dividend; Priya buys 40 shares on Thursday morning. In the normal T+1 cycle, who receives the dividend?

- ☐ A Neither: the list is taken after Friday's settlement
- ☐ B Only Aman: his Wednesday buy settles on Thursday
- ☐ C Both of them, since both bought before Friday
- ☐ D Only Priya: she owns the shares on the ex-date

Q2. Aman watches a CEO interview about 500 new stores and feels sure the company will do well. He has not opened its accounts. Which habit best protects him from story bias?

- ☐ A Score the card from the filings first; hear the story last
- ☐ B Watch two more interviews to be sure the plan is real
- ☐ C Ask an AI chat whether the company will do well
- ☐ D Buy a small amount now and check the numbers later

Q3. Priya's card for a made-up company: sales up over 3 years, margin steady, debt-to-equity 0.4 and 3-year cash flow close to profit. But 35% of promoter shares are pledged. Under the course rules, what happens?

- ☐ A It stays, since only one of the five checks failed
- ☐ B It leaves the list: a pledge above 10% is a knock-out
- ☐ C It stays if the chart also shows a clean uptrend
- ☐ D It stays, but only with half of the usual position size

Q4. Over three years, a made-up company's net profit is Rs 20, 24 and 28 crore. Its operating cash flow is Rs 18, 6 and 4 crore. What does the course's cash-flow check say?

- ☐ A No flag, since profit rose every single year
- ☐ B Flag: 3-year cash is below half of 3-year profit
- ☐ C No flag: year one's cash was close to its profit
- ☐ D Flag only if the share price has also fallen

Q5. Aman's colleague has held 50 shares of Anand Snacks Ltd for two years; the share is at Rs 200. The company offers 1 new share for every 5 held, at Rs 140, and after the ex-date the price moves towards Rs 190. If the colleague simply ignores the offer, what happens?

- ☐ A He gains, because the share is now Rs 10 cheaper
- ☐ B Nothing changes: an offer he ignores costs him nothing
- ☐ C He is about Rs 500 worse off: his 10 unused rights lapse
- ☐ D He must still pay Rs 1,400 for his 10 new shares

Algo Level 1: rules, flowchart and alerts

Concept: Testable rules, flowcharts and alerts: the machine watches, you decide

AI Lab: Flowchart drafter: AI drafts, you find the missing box

Mindset: Wanting a magic bot

The bot that does everything

Tuesday, 10 pm. Aman forwards a Telegram ad to Priya and the mentor.



Tip-wala

AI Algo Bot. It trades for you while you sleep. Sure-shot entries, 9 out of 10 trades in profit. Just share your broker login and password. Rs 4,999 a month. Only 20 seats left.



Aman

Sir, why should I spend three weeks writing rules? This bot does it all. No more staring at charts during office hours.



Mentor

Ask the seller three questions first, Aman. What are the bot's rules, written as yes or no? Which broker sends its orders, and does each one carry the exchange's Algo-ID, its number plate? And who answers to you when it goes wrong? One more thing: no genuine service ever asks for your password.



Priya

Sir, last night I tried to write my Day 11 rules as steps a machine could follow. The numbers were all there, but I got stuck on time: 'close within 2% of EMA 20'. Which close? If I check at 3:00, is that the close?



Mentor

That is the real work, Priya. A machine can only follow what you can write as yes or no. Today we build Algo Level 1: rules, a flowchart and alerts. The machine watches; you decide.

The lesson: No bot can follow rules you have not written. Write them first; then you will not need magic.

Learn

01 An algo is written rules, not magic

An algorithm, or algo, is a fixed list of steps followed the same way every time, like a chai recipe that says 'boil for 2 minutes', not 'boil for a while'. A discretionary trader decides afresh each time ('the chart looks good today'); a systematic trader decides once, writes the rule down and then follows it. A testable rule is objective

(two people reach the same answer), measurable (it has a number) and time-bound (it says which candle, and when it is checked). Words such as near, strong, safe or 'lagbhag' fail this test; call them shayad ('maybe') words. Algo Level 1 began with your Day 11 screener. Today adds the flowchart and alerts, and Day 17 adds a backtest by hand.

Shayad words vs testable rules

Shayad (vague) ● Uptrending stock ● Price near EMA 20 ● RSI not too high ● A safe stop	Testable (yes/no) ● EMA 20 > EMA 50; EMA 50 up vs 10 days ago ● Daily close within 2% of EMA 20 ● RSI 14 between 40 and 50 ● Stop 1.5 x ATR 14 below entry
---	--

Anyone reading the 'testable' column gets the same answer.

EXAMPLE

Aman never copied the Day 11 card; his own note said: 'Enter when an uptrending stock comes near EMA 20 and RSI is not too high; keep a safe stop.' Priya helps him hunt the shayad words and finds four. 'Uptrending' becomes 'EMA 20 above EMA 50 on the daily chart, and EMA 50 higher than 10 trading days ago'. 'Near' becomes 'daily close within 2% of EMA 20, above or below it, and still above EMA 50'; with EMA 20 at Rs 440 on Gupta Cement Ltd, that means a close from Rs 431.20 to Rs 448.80. 'Not too high' becomes 'RSI 14 between 40 and 50', and 'safe stop' becomes '1.5 x ATR 14 below the planned entry'. That is exactly the Day 11 card, and now anyone reading it gets the same answer.

Remember: If two people can read your rule and reach different answers, it is not a rule yet.

02 The flowchart: your rule card as yes/no boxes

A flowchart is a drawing of your rules in three shapes: an oval for start and end, a diamond for a yes/no question, and a rectangle for an action. Every diamond has exactly two exits; for your setup, 'yes' goes to the next box and 'no' goes straight to NO TRADE. Put the chart checks first and the risk checks after them: stop, size, the 25% exposure cap, the limit of 3 open trades, and whether your -2R daily stop or -5R weekly pause is already hit. Before the chart boxes, add one gate from Days 11 and 15: the stock has passed the health card, has no results date in the next 15 trading days and has no bonus or split on NSE's corporate actions page. If you cannot draw a box without writing 'maybe', the rule behind it is not ready. An AI can draft your flowchart in seconds, but it often gets a detail wrong, such as using an intraday ATR for a daily rule or dropping the next-morning gap check, so checking the draft is your job. In a notebook or a sheet, the same flowchart can be written as a table with a YES and a NO exit for every question, like Priya's below.

Priya's EMA Pullback flowchart, box by box

#	Shape	Question or action	YES	NO
1	Oval	Start: after the close, open the daily chart	→ 2	-

#	Shape	Question or action	YES	NO
2	Diamond	Cleared? Health card passed; no results in the next 15 trading days; no bonus or split on NSE's corporate actions page	→ 3	NO TRADE
3	Diamond	Trend up? EMA 20 above EMA 50; EMA 50 higher than 10 trading days ago	→ 4	NO TRADE
4	Diamond	Pullback and RS? Close within 2% of EMA 20 and above EMA 50; RSI 14 at 40-50; RS vs NIFTY 50 above 0	→ 5	NO TRADE
5	Diamond	Signal day? Today's close above the previous day's high	→ 6	Not today; drop it after 5 trading days
6	Diamond	Risk fits? Fewer than 3 open trades; no -2R day or -5R week already hit	→ 7	NO TRADE
7	Rectangle	Paper plan: stop $1.5 \times \text{ATR } 14$; max entry = close + $0.5 \times \text{ATR } 14$; size = $\text{Rs } 10,000 \div \text{stop}$, cut to the 25% cap at the max entry	→ 8	-
8	Diamond	Next day: did it open between the signal-day low and the max entry?	→ 9	NO TRADE: write 'Skipped'
9	Rectangle	Paper entry at that open; write the journal row	→ 10	-
10	Oval	End	-	-

Run it in the evening, after the official close. Follow YES down the list; any NO leaves at once. On paper, draw ovals for start and end, diamonds for questions and rectangles for actions.

EXAMPLE

After Thursday's close, Priya runs Gupta Cement Ltd through her flowchart on Rs 10 lakh of virtual capital. Cleared? Yes: it passed her health card, no results date falls in the next 15 trading days, and NSE's corporate actions page shows no bonus or split. Trend up? Yes: EMA 20 is above EMA 50, and EMA 50 is higher than 10 trading days ago. On Tuesday it closed within 2% of EMA 20 with RSI 14 at 45, and its 3-month RS is above 0 (it beat NIFTY 50), so it is already on her watchlist. Signal day? Yes: today's candle closed at Rs 445, above Wednesday's high of Rs 442. Risk fits? Yes: she has fewer than 3 open trades and no -2R or -5R pause. Paper plan: ATR 14 is Rs 10, so the stop will be $1.5 \times 10 = \text{Rs } 15$ below the entry, and her maximum entry is $445 + 0.5 \times 10 = \text{Rs } 450$. Size = $\text{Rs } 10,000 / 15 = 666$ shares (rounded down), worth up to Rs 2,99,700 at Rs 450, which breaks the 25% cap of Rs 2,50,000, so the plan box cuts it to 555 shares (Rs 2,49,750 even at Rs 450). The flowchart caught what her eyes might have missed.

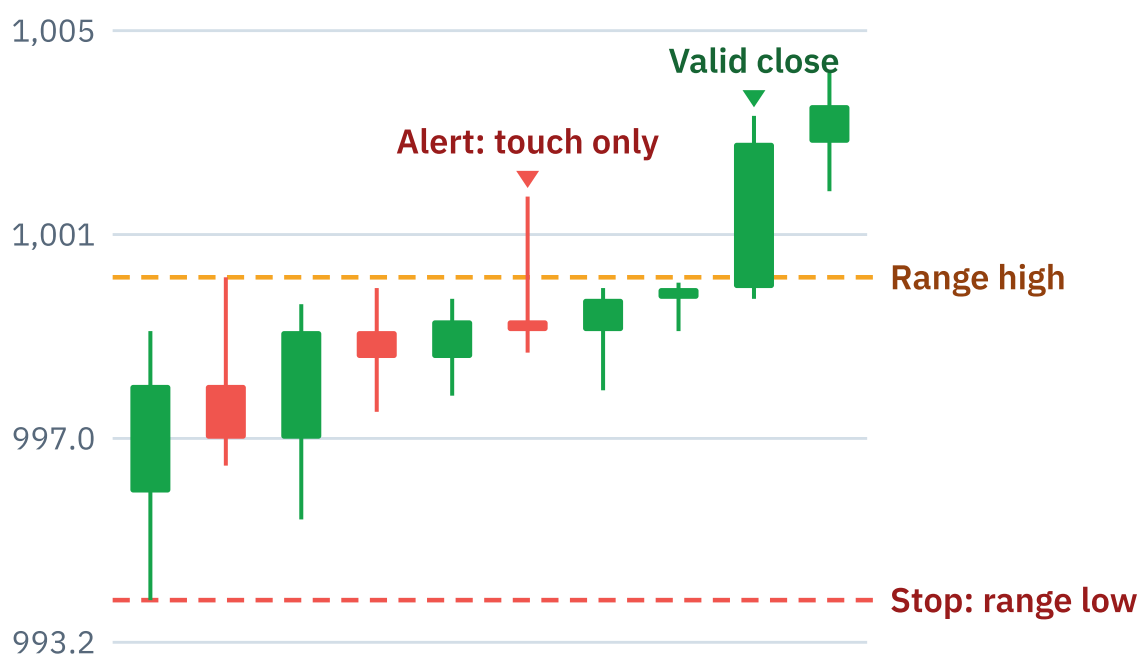
Remember: Every diamond is a yes/no question; one 'no' anywhere means no trade. Action boxes, like sizing, only calculate.

03 Alerts ring; you decide

A screener scans many stocks and lists the ones that meet your conditions; an alert is a message a platform sends the moment a condition becomes true, such as price crossing a level. An alert is not an order, because it cannot see your rule card, your position size or your open trades; when the machine only watches while you decide and place the order, that is called semi-automation, and Stage 1 goes no further. A plain price alert rings when price merely touches a level, often with just a wick, while your rule usually needs a candle to close beyond it. Some alert types can wait for the candle to close (TradingView calls this 'Once per bar close'), but the free plan allows only a few active alerts, its limits change, and this course never needs an indicator or drawing alert. The free path is simple: a price alert at a level you worked out the evening before, or a fixed after-close check, and every alert treated like a pressure-cooker whistle: it tells you to check the dal, not to serve it. Then run your 60-second after-alert checklist (Your template), and let any NO end it.

A touch is not a close

ILLUSTRATIVE



5-minute candles from 9:15. The 9:40 wick rang the alert, but the first close above the range came only with the 9:55 candle.

EXAMPLE

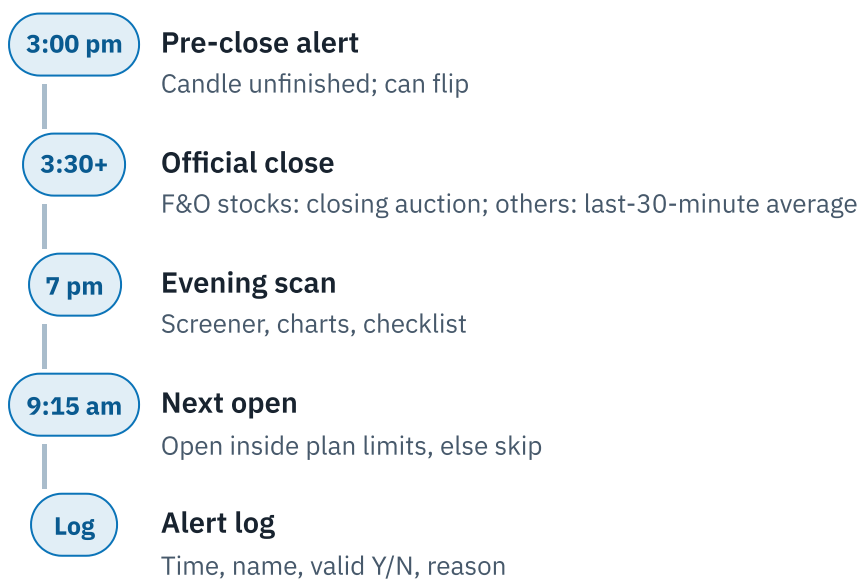
On a day's leave from office, Aman tries the optional ORB on paper, since today he can watch from 9:15 to 11:00. Today the 9:15-9:30 range of Bharat Pumps Ltd (a heavily traded stock, as on Day 13) is Rs 994 to Rs 1,000, so he can set his alert at Rs 1,000 only after 9:30, once the range exists. At 9:40 a wick pokes above Rs 1,000, up to Rs 1,001.50, and the alert rings, but the 5-minute candle closes at Rs 999, back inside the range: rule not met. The 9:55 candle closes at Rs 1,002.50, above the range. Only now does he run his after-alert checklist, including Day 13's VWAP and volume checks (his answers at 9:40 and 9:55 are under Your template); his paper entry is the next candle's open, Rs 1,002.50, and the stop sits at the other side of the range, Rs 994, so the risk is Rs 8.50 a share.

Remember: An alert means 'look now', never 'buy now'. The rule, the checklist and the order stay with you.

04 Daily rules need a finished daily candle

A daily candle is final only after the market closes and the exchange sets the official closing price. Since 3 August 2026, stocks that have F&O contracts stop continuous trading at 3:15 pm, and a closing auction (about 3:15 to 3:35 pm) sets one closing price; other stocks trade on to 3:30 pm, and their close is the volume-weighted average price of roughly the last 30 minutes (check nseindia.com for the latest). Until then the close, and every EMA and RSI value built on it, can still change, so an alert or scan at 3:00 pm is reading an unfinished candle, and its 'yes' can turn into a 'no' by the close. For a swing rule like EMA Pullback, run your screener after the close, in the evening, and write the plan that evening: entry at the next day's open, with a maximum entry of the signal close plus $0.5 \times \text{ATR } 14$. Next morning, skip the trade if the stock opens above that maximum, because the gap has gone past your plan, or below the signal day's low, because the signal has already failed, as Day 11 taught. Keep alerts few and tidy: name each one after its rule and delete old ones every week, because a phone that rings all day teaches you to ignore it.

One swing day, in order



A 3:00 pm alert reads an unfinished candle. Your rule reads the official close. Closing timings as of Aug 2026; check nseindia.com for the latest.

EXAMPLE

On Kiran Foods Ltd, yesterday's high was Rs 472, and Day 11's signal day needs a daily close above it. At 3:00 pm the price is Rs 474, so the signal looks true, and a pre-close alert fires. A late sell-off pulls the day's official close down to Rs 471, below Rs 472: the finished candle says NO. Aman, who acted on the 3:00 alert, now holds a paper trade his own rules reject; Priya, who scanned at 7 pm, simply moves on. You need no broker app and no paid plan for this: a free price alert at Rs 472, set the evening before, only tells you to look, and a 7 pm phone reminder to run your screener does the rest.

Remember: Swing rules read a finished candle: scan in the evening, act the next morning.

05 SEBI's retail algo rules: the road rules

Since 1 April 2026, SEBI's framework for retail algo trading has been in force. It covers every order a program sends through a broker's API, a software link that lets a program place orders, including an alert wired to place orders by itself; orders you tap in yourself, and alerts that only notify you, are outside it. The broker is the principal: it answers to the exchange for every algo order and handles your complaints, but trading losses stay yours. Each algo order carries an exchange-given Algo-ID, like a number plate, and an algo above the exchange-set order-rate limit must be registered through the broker. A self-built algo is for you and your family only (spouse, dependent children, dependent parents); anyone offering algos to others must be empanelled by an exchange, and black-box sellers, who hide their logic, must also be SEBI-registered Research Analysts. These rules can change, so check the SEBI and NSE websites for the latest.

Who answers for what

Broker (principal)

- Routes every algo order
- Static IP and two-factor login for API
- Handles your complaints

Exchange

- Algo-ID on every algo order
- Registers algos above its order-rate limit
- Empanels algo sellers

You

- Losses stay yours
- Self-built algo: only you, spouse, dependent kids/parents
- Never hand over login or password

Orders you place by hand, and alerts that only notify you, are outside the framework; an alert wired to place orders is inside it. Check sebi.gov.in and nseindia.com for the latest.

EXAMPLE

A colleague in Aman's office has written a small program that places orders through his broker's API. It runs only through that broker, from a registered static IP (a fixed internet address), with a two-factor login (password plus OTP) whose session ends every day, and an Algo-ID on each order. When Aman asks for a copy, the colleague says no: sharing it with anyone beyond his spouse, dependent children or dependent parents would make him an algo provider, which needs exchange empanelment. Stage 1 itself places no automated orders at all; your Level 1 kit is rules, a flowchart and alerts.

Remember: A legal algo runs through a broker with an Algo-ID on every order, and anyone selling one must be exchange-empanelled. Trading losses stay yours.

06 The magic-bot wish

After two weeks of rules and checklists, a bot that 'does everything' feels like relief. The wish usually has three roots: tiredness from deciding, fear of missing moves while at work, and hope of money without effort. But a bot is only rules plus speed: it cannot follow rules you have not written, and it repeats a bad rule faster than any human. Sellers hide this behind screenshots of winning days and a monthly fee. Before believing any bot, ask for its rules in yes/no form, its broker and Algo-ID, and who handles complaints; if the answer is 'just trust us', walk away.

What the bot really costs

	Monthly fee	Rs 4,999
x	Months in a year	12
=	Fee for a year	Rs 59,988
÷	Account size	Rs 1,00,000
=	Fee as share of account	~60%

Before any trading loss, the fee alone takes about 60% of a Rs 1 lakh account in a year.

EXAMPLE

You did this sum on Day 4 for a Telegram tip bot; this bot's fee works the same way. The bot in Aman's forward costs Rs 4,999 a month. On a Rs 1,00,000 account that is Rs 59,988 a year, about 60% of the capital, paid before a single trade wins or loses. Even on the Rs 10 lakh challenge capital it is about 6% a year, gone before any trade. It also asked for his password, showed no rules, named no broker or registration, claimed 9 winning trades in 10 and rushed him with 'only 20 seats': five red flags before any money moves. Priya puts it simply: 'My flowchart is free, and I can see every box in it.'

Remember: A bot repeats your rules faster, good or bad. Write and test the rules first.

Words from today

Algo (algorithm)

A fixed list of steps followed the same way every time. In trading: written rules a machine can check without feelings.

Testable rule

A rule that is objective, has a number and says which candle and when, so everyone reading it gets the same answer.

Flowchart

A drawing of your rules: ovals for start and end, diamonds for yes/no questions, rectangles for actions.

Alert

A message a platform sends when a condition becomes true. It asks you to look; it never places an order.

API

A software link that lets a program place orders with a broker. To place orders through an API you need a static IP registered with your broker and a two-factor login.

Algo-ID

The identity the exchange gives an algo, carried on each of its orders like a number plate, so every order can be traced.

Screener

A tool that filters many stocks by your written conditions, usually after the close. It holds some rules; any rule it cannot hold, you check by eye on the chart.

Official close

The day's closing price set by the exchange: by a closing auction for stocks with F&O contracts, or by the volume-weighted average price of roughly the last 30 minutes for others. Daily rules read this price.

Recap map

Recap

Rules

- Objective, number, timing
- Hunt the shayad words
- Two readers, one answer

Flowchart

- Oval, diamond, rectangle
- Any NO = no trade
- Check the AI's draft

Alerts

- Alert = look now
- A touch is not a close
- Swing: scan after the close
- Free: price alert or 7 pm check

Algo Level 1

SEBI road rules

- Broker is principal
- Algo-ID on every order
- Family-only sharing
- Losses stay yours

Your mind

- No magic bot
- Fees add up
- Never share your password

Today's task

45 min

Build your Algo Level 1 kit: a shayad-free rule card, a paper flowchart, one free price alert or a 7 pm check, and an after-alert checklist, then add a Portfolio row. About 45 minutes; the ORB flowchart is an optional stretch, with its answer key under Your template.

- ☐ Copy the 'Rule card, shayad-free' template under Your template and rewrite your Day 11 EMA Pullback card line by line: every line needs a number, a candle and a time, and the 'Checked by' column says whether your free screener, a price alert or your own eyes check it.
- ☐ On paper, draw the flowchart: an oval to start, a diamond for each yes/no question, a rectangle for each action, and every 'no' arrow going to NO TRADE. Check it against Priya's table in the lesson, then take a photo.
- ☐ Run the AI Lab prompt 'Flowchart drafter' with your rule card, compare its draft with yours, and write down one box it missed, merged or got wrong; if it got every box right, write the one box you had to fix in your own drawing.
- ☐ Free alert path: after today's close, note today's high of NIFTY 50 (or of one watchlist stock) and set one plain price alert at that level on a free TradingView chart (a free sign-up, no broker account), named 'LOOK only: close above today's high'. If it rings tomorrow, it only means look; your rule still reads tomorrow's official close. Would rather not sign up, or no free alert left? Set a daily 7 pm phone reminder for your after-close check instead.
- ☐ Copy the after-alert checklist (Your template) into Google Sheets or your notes, rewrite check 3 for your own rule card, and add an alert log with four columns: time, alert name, valid Y/N, reason. The AI Lab prompt 'After-the-alert checklist' can draft one for you to check.
- ☐ Add one more Portfolio row (virtual) for a watchlist stock that passed its health card and your flowchart's boxes 2 to 4: Full Why 1 = its card result; Full Why 2 = the chart boxes it passed (3 and 4), not the card again; top risk = 'a results gap' and your answer = 'box 2: no results date in the next 15 trading days'; price-stop = $1.5 \times \text{ATR } 14$ below your planned entry; Why-stop = the box that would turn NO (for example 'EMA 20 closes below EMA 50'); review point = its next results date. No stock passed? Write 'none passed' in your journal: that is the flowchart doing its job.

YOUR TEMPLATE

Rule card, shayad-free: who checks what

Copy it and change only what your own Day 11 card says differently. Any rule a free screener cannot hold, you check by eye on the chart.

Rule	Testable version	Checked by	When
Watchlist gate	Health card passed; no results date in the next 15 trading days; no bonus or split on NSE's corporate actions page	You: card, NSE announcements and corporate actions	Before adding a stock
Trend	EMA 20 above EMA 50 on the daily chart	Free screener	Evening, after the close

Rule	Testable version	Checked by	When
Trend rising	EMA 50 higher than 10 trading days ago	You, by eye: free screeners may not hold it	Evening, after the close
Pullback	Daily close within 2% of EMA 20, above or below, and above EMA 50	Free screener	Evening, after the close
Cool-down	RSI 14 between 40 and 50	Free screener	Evening, after the close
Strength	3-month % change minus NIFTY 50's is above 0	You: the stock/NIFTY line on the chart	Evening, after the close
Signal day	Daily close above the previous day's high, within 5 trading days	Price alert says look; you read the close	Evening, after the close
Stop and size	Stop $1.5 \times \text{ATR } 14$ below entry; qty = $\text{Rs } 10,000 \div \text{stop}$, cut to the 25% cap at the max entry	You, with a calculator	Evening plan
Entry	Next day's open, only if it is between the signal-day low and close + $0.5 \times \text{ATR } 14$	You	Next evening, from the day's open
Risk limits	Fewer than 3 open trades; no -2R day and no -5R week already hit	You	Before every entry

After-alert checklist: 60 seconds, six yes/no checks

Any NO = no trade. For your evening swing scan, put your trend, pullback, RSI and RS boxes in check 3.

#	Check	Aman, 9:40	Aman, 9:55
1	I looked at the chart myself, not just the alert text	Yes	Yes
2	The candle my rule needs has closed beyond the level (a touch or a wick does not count)	NO: wick only, closed at 999	Yes: closed at 1,002.50
3	The rule-card checks the alert cannot see all pass (ORB: VWAP side, volume, before 11:00)	-	Yes
4	Stop and size worked out: 1% rule, cut to the 25% cap	-	Yes: stop Rs 994; 249 shares (25% cap)
5	Fewer than 3 open trades; no -2R day or -5R week already hit	-	Yes

#	Check	Aman, 9:40	Aman, 9:55
6	Alert-log row written: time, alert name, valid Y/N, reason	Yes: 'N, touch only'	Yes: 'Y, close above'
	Decision	NO TRADE	Paper entry at the next open, Rs 1,002.50

Model answers from Aman's paper ORB morning in Bharat Pumps Ltd (range Rs 994-1,000).

ORB flowchart: answer key (optional stretch)

If you follow ORB, draw your own flowchart first, then compare it box by box. The rules are Day 13's.

#	Question or action	YES	NO
1	Start: free to watch 9:15-11:00, and again at 14:30?	→ 2	No ORB today
2	A NIFTY 50 stock that opened inside yesterday's range (no gap)?	→ 3	NO TRADE
3	No results or big company news today, and away from its price band?	→ 4	NO TRADE
4	Room left: above -2R, under 2 stop-outs, under 3 open, no ORB trade in this stock yet?	→ 5	NO TRADE
5	Past 9:30, with the 9:15-9:30 high and low marked?	→ 6	Wait: no trade before 9:30
6	A 5-minute candle closed outside the range?	→ 7	Keep watching till 11:00
7	Long: price above VWAP (short: below), and that candle's volume above its 20-candle average?	→ 8	Not this candle: back to 6
8	Does the next candle open by 11:00?	→ 9	NO TRADE
9	Plan: stop at the other side of the range; size = the smaller of the 1% rule and the 25% cap; 2R profit exit	→ 10	-
10	Paper entry at that open; exit at the stop, 2R or 14:30, always the same day	→ End	-

OUTCOME

By the end you can turn vague trading ideas into testable yes/no rules, draw them as a flowchart with a YES and a NO exit at every question, say which checks a free screener or a price alert can do and which you do yourself, time daily checks after the official close, and explain SEBI's retail algo rules and why a magic bot is a red flag.

TOOLS

- Your Day 11 rule card
- Paper and pen (draw.io, a free diagram site, optional)
- TradingView free chart and one price alert
- Google Sheets or notes
- Any AI chat
- The app's Portfolio page

WITH YOUR BATCH

Flowchart Duel: swap flowcharts with a classmate or family member and score each out of 4: every box is a yes/no question or an action; every 'no' goes to NO TRADE; the risk checks are there (stop, size, 25% cap, 3 open trades, -2R daily stop, -5R weekly pause, results date); the daily-close timing is there. Bonus round: read one line of your partner's rule card aloud and give them 10 seconds to spot the shayad word. Learning alone? Score yours against Priya's table in the lesson and count the missing boxes.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Investment in securities market is subject to market risks. Company names, prices and the bot advert are made up for illustration; no algo, bot or algo provider is endorsed. Stage 1 uses virtual money only and places no automated orders. No affiliation with any charting or diagram site named. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Flowchart drafter

You are a patient teacher helping a beginner turn a written swing-trading rule card into a flowchart. I will paste my rule card below (the EMA Pullback Swing on daily charts: EMA 20 above EMA 50, with EMA 50 higher than 10 trading days ago, a close within 2% of EMA 20 and above EMA 50, RSI 14 between 40 and 50, 3-month relative strength vs NIFTY 50 above zero, a signal day that closes above the previous day's high, and a stop at $1.5 \times \text{ATR } 14$ below entry). First, list every vague word in my card (such as near, strong, safe or about) and suggest a testable yes/no version with a number and a time (which candle, and when it is checked). Then write the flowchart as a table with the columns #, shape (oval, diamond or rectangle), question or action, YES (go to N) and NO (NO TRADE or wait). For each node, also say whether a free stock screener can check it after the close or I must check it by eye on the chart. Include nodes for: the daily candle being closed (checked in the evening, after the exchange's official close), the health-card pass, no results date in the next 15 trading days and no bonus or split on the NSE corporate actions page, the trend filter, the pullback condition, RSI, relative strength, the signal day, the stop from $1.5 \times \text{ATR } 14$ on the daily chart, position size from the 1% rule, the 25% exposure cap, the limit of 3 open trades, the -2R daily stop and -5R weekly pause, entry at the next day's open (skipped if it opens above the signal close plus $0.5 \times \text{ATR } 14$, or below the signal day's low), and a journal entry. Mark any node you added on your own as Guess so I can check it. Do not name any real stock, do not give buy or sell advice, and do not mention targets or expected returns.

My rule card:
<paste here>

After-the-alert checklist

Write a 60-second checklist I will run every time a screener or price alert fires, for a daily EMA pullback swing rule card that I will paste below. On a free charting plan I use only plain price alerts at levels I work out the evening before, so an alert can ring on a touch or a wick before any candle has closed. Give exactly 6 yes/no items. Cover: I have looked at the chart myself; the candle my rule needs has closed (a touch or a wick does not count); the rule-card conditions the alert cannot check; stop and position size computed from the 1% rule; the 25% exposure cap, the limit of 3 open trades, and no -2R daily stop or -5R weekly pause already hit; and an alert-log row with time, alert name, valid Y/N and reason. End with the line 'Any NO = no trade.' Then explain in 3 short lines why an alert is not an order. Do not name any real stock, do not give buy or sell advice, and do not mention targets or expected returns.

My rule card:
<paste here>

Bot pitch X-ray

My teacher wrote this made-up advert for practice: 'AI Algo Bot. Trades for you while you sleep. 9 out of 10 trades in profit. Just share your broker login and password. Rs 4,999 a month. Only 20 seats left.' Check it against SEBI's framework for retail algo trading in India (in force since 1 April 2026): the broker as principal, an exchange Algo-ID on every algo order, empanelment of algo providers with the exchange, SEBI Research Analyst registration for black-box providers, and the family sharing limit (spouse, dependent children, dependent parents). Label each claim in the advert as Fact, Guess or Kachra with a one-line reason. Then list the red flags, the three questions I should ask any bot seller, and the points I should re-check on the SEBI or NSE website because they can change. Do not recommend any bot, stock or strategy, do not give buy or sell advice, and do not mention targets or expected returns.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Which line of your rule card was hardest to make testable, a shayad word or a missing time, and what did you write instead? And be honest: which part of you still wants a bot to do it all — tiredness, fear of missing out, or hope of easy money?

Write your answer here, then save it in the app's Journal tab.

A rule you can draw is a rule you can keep. Today you drew yours, one box at a time.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. Aman wants to add 'enter only when volume is strong' to his card. Which rewrite turns this into a testable rule?

- ☐ A Volume clearly bigger than usual, as judged by eye
- ☐ B Volume rising, as long as the chart looks bullish
- ☐ C Volume above its 20-day average on the signal day
- ☐ D Volume that most experienced traders would call strong

Q2. In Priya's flowchart, a stock passes the 'Trend up?' box, but the 'Pullback & RS?' box gets NO: RSI 14 is 53, and her rule needs 40 to 50. Everything else on the chart looks fine. What does the flowchart tell her?

- ☐ A No trade today; one NO ends the flowchart
- ☐ B Trade it, since everything else looks fine
- ☐ C Trade half size, since 53 is close to 50
- ☐ D Widen the box to 40-55 today, then trade

Q3. The opening range high of Sharma Textiles Ltd is Rs 612. A price alert set at Rs 612 rings when a 5-minute wick pokes up to Rs 613.20, but the candle closes at Rs 611.40. Aman's rule needs a 5-minute close above the range. What does the alert mean?

- ☐ A Look now; the rule is not met yet
- ☐ B The range is broken; move the stop
- ☐ C Breakout confirmed; enter at once
- ☐ D The alert failed; delete it at once

Q4. Aman's swing trigger needs a daily candle that closes above the previous day's high. At 3:00 pm a screener alert shows the condition as true. What should he do?

- ☐ A Paper-buy half now and the other half after the close
- ☐ B Wait for the official close, then check the rule in the evening
- ☐ C Place the paper order now, since the alert has already fired
- ☐ D Switch to a 5-minute chart so the alerts come sooner

Q5. Under SEBI's retail algo framework the broker is the 'principal'. A trader's own algo, run through a broker, loses money. What does 'principal' mean for that loss?

- ☐ A The broker must refund whatever the trader's algo loses
- ☐ B SEBI repays the trader's losses if the algo was registered
- ☐ C The exchange repays algo losses via the Algo-ID
- ☐ D The broker is accountable, but the loss is the trader's

Backtest Level 1, by hand

Concept: A 30-trade manual backtest, logged in R after costs

AI Lab: Backtest stats sheet and a bias audit

Mindset: Curve-fitting hope

Ten out of ten

Sunday night. Aman posts a chart in the study group, covered in green arrows.



Aman

Sir, I backtested the EMA Pullback on Bharat Pumps Ltd. Ten trades, nine winners. Then I changed EMA 20 to EMA 18 and the RSI band to 42-48, and all ten won. This is the one.



Priya

Aman, how did you pick those ten trades? And did you take out costs?



Mentor

Good questions. Aman, when you marked each entry, could you already see what the chart did next? And why EMA 18?



Aman

Umm... yes, the full chart was open. EMA 18 just fitted those ten trades better.



Mentor

Then you tested your memory, not your rule, and bent the rule to fit the past. Today we test honestly: stocks and dates chosen first, the future hidden, thirty trades, costs taken out. The number will be smaller. It will also be honest.

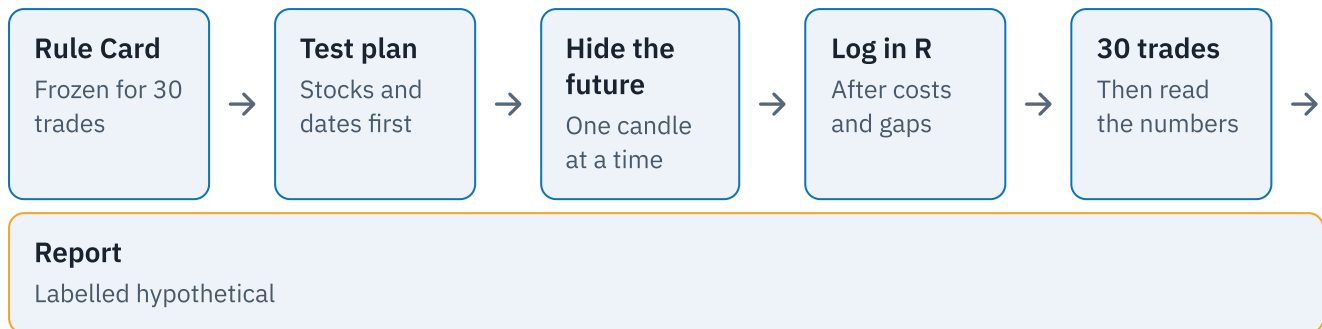
The lesson: A backtest is a question you ask the past. Ask it honestly, and even then it promises nothing about tomorrow.

Learn

01 A backtest is net practice, not a match

A backtest means running your written rules on past charts to see what would have happened. Think of it as net practice against a bowling machine: useful, but not a century in a real match. Paper trading from Day 12 tests your rules going forward, one day at a time; a backtest runs the same rules over past years, so you see 30 trades in hours instead of months. Do your first one by hand, so you know where every number comes from. Start with the EMA Pullback Swing on daily charts; an ORB test needs months of 5-minute data, because ORB gives at most one trade a day on each stock. And before you open any chart, write down the stocks, the dates and the rules, so you cannot pick them after seeing how prices moved.

An honest backtest



Each step shuts one way of fooling yourself. Skip one and the result flatters you.

EXAMPLE

Before she opens TradingView, Priya types her test plan at the top of a Google Sheet: 'EMA Pullback Swing, Day 11 Rule Card in its Day 16 yes/no form, saved as v1. Daily charts of Sharma Textiles Ltd, Gupta Cement Ltd and Kiran Foods Ltd (drawn at random from a list written before opening any chart, and every name drawn kept), 1 Jan 2023 to 31 Dec 2025. Entry at the next day's open after the signal candle. Stop $1.5 \times \text{ATR}(14)$ below entry. Exit at $2.5R$ or on the 15-day time exit. Costs $0.1R$ per trade (the Day 12 allowance). No rule changes until trade 30.' Aman's ten trades came from one stock he already knew had risen. Priya's plan leaves no room for that. Her full plan is the model card under 'Your template' in Today's task.

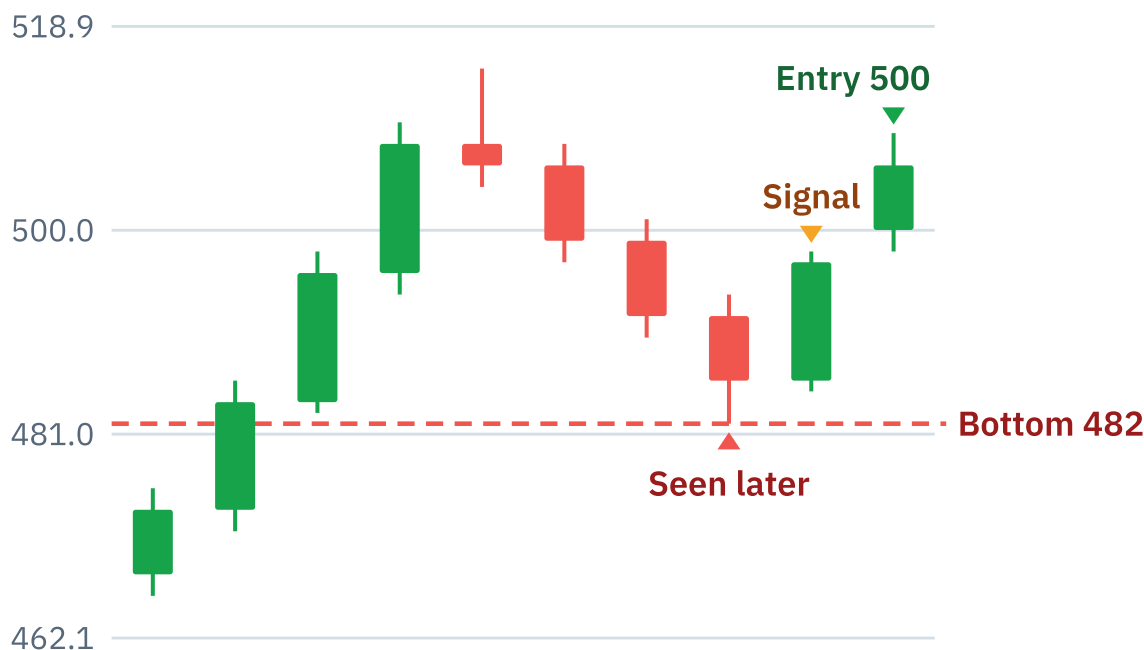
Remember: Stocks, dates and rules go on paper before the chart opens. Every result is hypothetical.

02 Hide the future: look-ahead bias

Look-ahead bias means using information in a test that you could not have had at the moment of the decision. It is like watching match highlights after you know the result: every shot looks obvious. It creeps in three ways: you can see the whole chart; you buy at a price known only later, such as the exact bottom of a pullback; or you quietly skip a trade because you can see it lost. The cure is mechanical: use TradingView's Bar Replay if your TradingView account offers it on daily charts, or scroll back and cover the right side of the screen with paper, and reveal one candle at a time. A daily signal is confirmed only at the close (Day 16), so when a candle completes a signal, write your plan before the next reveal: plan or skip by your Day 11 card, the maximum entry (signal close + $0.5 \times \text{ATR}$), the skip-below price (the signal-day low) and the stop distance. Then reveal the next candle and let its open decide: inside both limits it is your entry; outside them, write skipped: gap.

Where could you really buy?

ILLUSTRATIVE



The Rs 482 bottom is visible only after later candles rise. The signal is confirmed at the close, so the real entry is the next open, Rs 500.

EXAMPLE

On Kiran Foods Ltd, a pullback bottoms at Rs 482, and the next candle closes at Rs 497, above the previous day's high of Rs 494: that is the signal. ATR(14) is Rs 14. The next day opens at Rs 500, inside the Day 11 limits (no higher than $497 + 0.5 \times 14 = \text{Rs } 504$, not below the signal-day low of Rs 485), so Priya's honest entry is Rs 500. The stop sits $1.5 \times 14 = \text{Rs } 21$ below, at Rs 479. The 2.5R profit exit, $500 + 2.5 \times 21 = \text{Rs } 552.50$, is never reached, so the 15-day time exit sells at the next open, Rs 542: the honest trade makes $(542 - 500) / 21 = +2.0R$. Aman, looking at the finished chart, would log a buy at the Rs 482 bottom with the same Rs 21 risk: $(542 - 482) / 21 = +2.86R$. The same trade looks 43% better, only because he peeked.

Remember: If you could not have known it at that moment, it cannot be in your backtest.

03 Log every trade in R, after costs and gaps

1R is the risk you planned on one trade (Day 3); per share, it is the distance from entry to stop. EMA Pullback Swing only buys, so every trade uses the long formula: $R\text{-multiple} = (\text{exit} - \text{entry}) / (\text{entry} - \text{stop})$. Log R per share like this even when the 25% cap cut your quantity, because the backtest measures the rule; your paper journal still logs a capped trade at its real rupee size, as on Day 14. Real trades also pay costs and lose a little to slippage (Day 2), so the course takes the Day 12 allowance of 0.1R off every trade. Day 12's fill rules apply unchanged: an intraday touch of your stop exits at the stop, an open beyond your stop exits at that open, a profit exit counts only if price trades beyond it, and if one daily candle touches both, count the stop. Decide before you start that a win means net R above zero; a trade closed at your entry price is a small loss once costs are taken out.

One trade, logged honestly

	Time exit - entry (542 - 500)	Rs 42
÷	Risk per share (500 - 479)	Rs 21
=	Gross result	+2.00R
-	Costs + slippage (Rs 1,000 ÷ Rs 10,000)	0.10R
=	Net R in your log	+1.90R

The charges and slippage are an illustration. Read your own charges on a brokerage calculator or contract note.

EXAMPLE

Priya's Kiran Foods trade: entry Rs 500, stop Rs 479, so her risk is Rs 21 a share. With 1R = Rs 10,000 on her Rs 10 lakh practice capital, she would hold 476 shares (10,000 / 21, rounded down), worth Rs 2,38,000, inside the 25% cap. Suppose a broker's public brokerage calculator (no account needed) shows about Rs 600 of charges for the round trip and she allows Rs 400 for slippage (an illustration; use your own figures): Rs 1,000 in all, or 1,000 / 10,000 = 0.1R, the same as the Day 12 allowance. Had it come to more, she would use her own, bigger number. Her time exit at Rs 542 goes into the log as +1.90R. On a later trade with the same entry and stop, bad news about the company broke after the close and the stock opened at Rs 470, below her stop. She logged (470 - 500) / 21 = -1.43R, minus 0.1R, so -1.53R, not a neat -1R: a stop-loss does not promise your exit price. If a stock is stuck at its lower band, her exit waits for the first day a sell could fill.

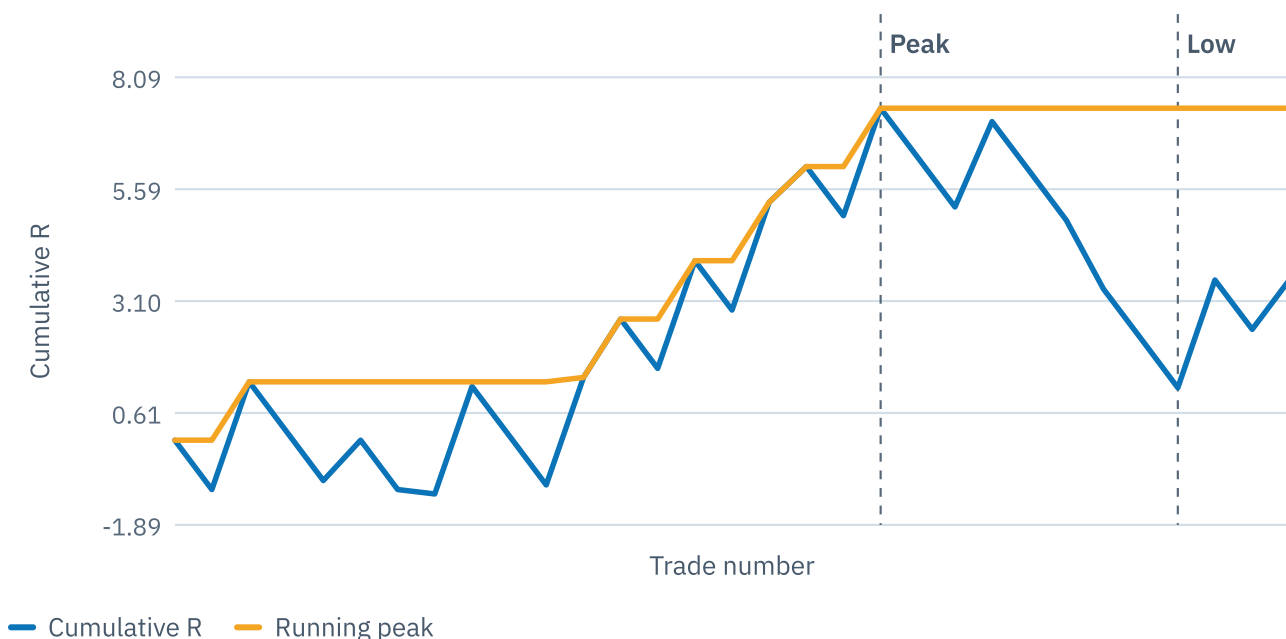
Remember: Log net R, not gross R. Costs and gaps are part of the result, not bad luck.

04 Read the log: four numbers and one line

Once 30 trades are logged, read four numbers. Win-rate is winning trades divided by all trades. Expectancy is your average net R per trade, the Day 3 idea now measured on your own rules. Maximum drawdown is the biggest fall of your running total of R from a peak to a later low. The longest losing streak is the most losses in a row. Then draw the equity curve: a line of your cumulative net R after each trade.

Priya's 30-trade equity curve

ILLUSTRATIVE



Max drawdown = peak - low = 7.40R - 1.17R = 6.23R. Made-up practice numbers.

EXAMPLE

These are made-up practice numbers, not a real test of the strategy. Priya's 30 trades: 12 wins, so a 40% win-rate. Seven winners hit the 2.5R profit exit and five left on the time exit with smaller gains. Her net R adds up to +3.57R, so expectancy is $+3.57 / 30$, about +0.12R per trade; before costs it was +6.57R, so 0.1R a trade took almost half. Her running total peaked at +7.40R after trade 19 and fell to +1.17R after trade 27: a maximum drawdown of 6.23R, or up to Rs 62,300 on Rs 10 lakh if every trade was full size. By trade 30 the curve still had not climbed back to that peak. Inside that fall sat five losses in a row. That is normal. In a simple model where each trade has a 40% chance of winning, a run of five or more losses somewhere in 30 trades turns up roughly two times in three. Her trades 18 to 30, from the peak through the fall, are the sample Backtest Log under 'Your template'.

Remember: Expectancy says whether the rule had an edge in this sample; drawdown says whether you could have stayed with it.

05 When the data lies: survivorship and unadjusted prices

Survivorship bias means testing only on companies that survived to today. Test today's NIFTY 50 list back to 2019, and the companies that dropped out, often after long falls, are simply missing, so your test sees only the winners of the race. The fix is a point-in-time list, the index members as they stood on your start date: NSE Indices Ltd, the NSE group company that runs the NIFTY indices, announces every change in a press release on niftyindices.com, so start from today's list, take out the names that joined after your start date and add back the ones that left. Then keep every name your random draw gives you; swapping out one you remember rising is hindsight too, only pointing the other way. If rebuilding the list is too much for now, use today's list and write 'survivorship risk' in your report. The second trap is unadjusted data: a split or bonus

issue (Day 15) cuts the share price overnight without anyone losing money, but an unadjusted chart shows it as a crash that fires fake stops and bends EMA, RSI and ATR for weeks, so use adjusted charts and check any sudden, neat drop, such as exactly half or a fifth, against the company's corporate actions.

Biased data vs fairer data

Biased test

- Today's index list tested on old years
- Companies that dropped out are missing
- Names swapped after peeking at charts
- A bonus or split looks like a crash

Fairer test

- List as it stood on the start date
- Every random draw kept
- 'Survivorship risk' noted in the report
- Chart adjusted for splits and bonuses

At Level 1 you cannot remove every bias. You can reduce it and write it down.

EXAMPLE

Sharma Textiles Ltd trades at Rs 1,000 and splits each share into five (face value Rs 10 to Rs 2). On the ex-date the price opens near Rs 200, and a holder of 100 shares now holds 500 (the new shares reach the demat account soon after the record date; check the company's announcement), still worth about Rs 1,00,000. An unadjusted chart shows an 80% gap down. A backtest trade entered at Rs 1,000 with a Rs 21 stop would log $(200 - 1,000) / 21$, about -38R, a loss that never happened. An adjusted chart divides every earlier price by 5, so the line stays smooth and the test stays honest.

Remember: A test is only as honest as its data: remember the losers you cannot see, and use adjusted prices.

06 Curve-fitting hope, and why 30 is only a first look

Curve-fitting means tuning a rule until it fits the past perfectly, like tailoring a shirt to one photo instead of to the person. Each small tweak feels like progress, but it mostly fits the random noise of those particular candles, and that noise will not repeat. So freeze your rules for all 30 trades; a tweak is a new rule and needs its own 30 fresh trades from dates you have not used. Thirty trades give a first look; about 100, spread across up, down and sideways markets, start to give confidence. Tag each trade with the NIFTY 50 phase on its signal day: up when EMA 20 is above EMA 50 and both are higher than they were 10 trading days earlier; down when EMA 20 is below EMA 50 and both are lower than they were 10 trading days earlier; sideways otherwise. Your own report must pass Day 14's five checks (costs, drawdown, trade count, a falling market, fresh data for any tweak) and carry one line: hypothetical, and past performance is not indicative of future results.

Same rule, different ten trades



Made-up practice numbers for Priya's frozen rule. Small samples swing; 30 trades is a first look, 100 builds confidence.

EXAMPLE

Aman tested his EMA 18 and RSI 42-48 version honestly on 30 fresh trades from dates he had not looked at. It won 10, or 33%, nowhere near the ten out of ten of his tuned sample. Priya's frozen rule tells a quieter story, in the same made-up practice numbers: 3 wins in her first ten trades, 6 in the next ten, 3 in the last ten, 40% overall. Any ten trades can look brilliant or hopeless. That is why you judge a rule only after 30 trades, and build confidence only after about 100.

Remember: If you changed the rule to fit the past, the past can no longer test it.

Words from today

Backtest

Running your written rules on past charts to see what would have happened. The results are hypothetical: worked out on paper, never earned with real money.

Look-ahead bias

Using information in a test that you could not have had at the moment of decision, such as a later candle.

Survivorship bias

Testing only on companies that survived to today, which leaves out the ones that failed or dropped out of an index.

Adjusted prices

Past prices corrected for splits and bonus issues, so that a corporate action does not look like a crash.

Maximum drawdown

The biggest fall of your cumulative R from a peak to a later low. It is the worst stretch you would have had to sit through.

Curve-fitting

Tuning rules until they fit past data perfectly. It usually fits random noise that will not repeat.

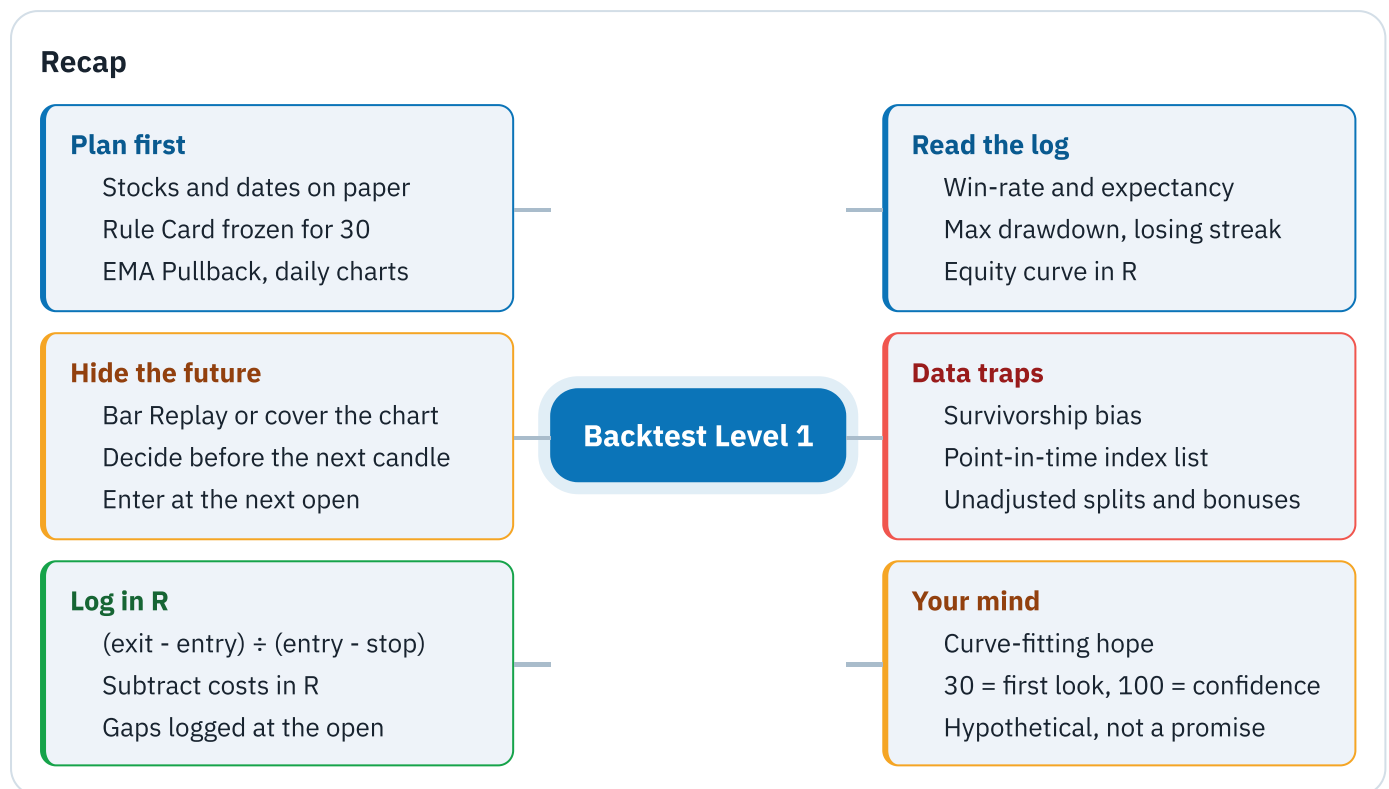
Point-in-time list

An index or stock list exactly as it stood on a past date, before later additions and removals. A backtest uses it to reduce survivorship bias.

Equity curve

A line of your running total of net R, trade after trade. Its falls from a peak are your drawdowns.

Recap map



Today's task

60 min

Set up an honest backtest today and log your first 3 trades; finish all 30 within the next 7 days and add your four numbers to your Week 3 review (on Day 21, or in the catch-up week after it if trade 30 is not done yet).

- ☐ Copy the test plan and the Backtest Log under 'Your template' into a Google Sheet or a notebook, fill every plan line except the stocks, and write 'v1, frozen until trade 30'. Optional: the AI Lab prompt 'Backtest stats sheet' adds formulas; test them on Priya's 14 sample rows first (they must show a 6.23R maximum drawdown and a 5-loss streak).
- ☐ Check your cost number: on a broker's public brokerage calculator (no account needed), note the total charges for a delivery buy and sell of about Rs 2.5 lakh, your largest position under the 25% cap, add your slippage allowance and divide by Rs 10,000. If the total is above 0.1R (Rs 1,000), use your number; otherwise use the Day 12 allowance of 0.1R per trade.
- ☐ Choose your stocks before any chart: on niftyindices.com, open the press releases on NIFTY 50 changes since your start date, rebuild the list as it stood that day, draw 3-5 names with RAND() in Google Sheets and keep every name drawn, even one you remember rising. Too much today? Use today's list and write 'survivorship risk' in your plan. These names are a testing drill, not a buy list; never share them as tips.
- ☐ On a free TradingView daily chart with EMA 20, EMA 50, RSI 14 and ATR 14, turn on Bar Replay and pick your start date as the first candle (it may need a free sign-in, never a broker account), or scroll back and cover the right side of the screen. If the free plan caps your indicators, use one moving-average ribbon for both EMAs and check RSI and ATR in turn, as on Day 8.

- ☐ Log your first 3 trades that fit the card in your Backtest Log. Move one candle at a time; when a candle completes a signal, write the plan (max entry, skip-below price, stop) before revealing the next one, let that open decide entry or skipped: gap, and log any gap past the stop at the open.
- ☐ Stretch, about 3-5 hours over the next 7 days, in 30-minute sittings: finish 30 trades, fill the 'Your four numbers' card, run Day 14's five checks on your own report, and label your equity curve 'Hypothetical. Past performance is not indicative of future results.' Keep the card: your Day 21 Week 3 review uses it.

YOUR TEMPLATE

Test plan: Priya's model card

Fill the 'Yours' column before you open any chart. Once it is filled, it stays frozen until trade 30.

Plan line	Priya (made-up)	Yours
Rule Card	EMA Pullback Swing v1: Day 11 card, Day 16 yes/no form	
Stocks, and how chosen	Sharma Textiles, Gupta Cement, Kiran Foods: drawn by RAND(), all kept	
Date range	1 Jan 2023 to 31 Dec 2025	
Entry	Next day's open; skip above signal close + 0.5 x ATR or below the signal-day low	
Stop	1.5 x ATR(14) below entry	
Exits	2.5R profit exit, or the next open after day 15	
Fill rules	Day 12 rules; stop and profit exit in one candle = stop	
Cost per trade	0.1R	
Open-trade limit	Max 3; a 4th signal = skipped: 3 open	
Extra checks	RS rule and results-date skip: both applied	
Market phase tag	NIFTY 50 on each signal day: up, down or sideways	
Frozen?	Yes: no rule change until trade 30	

Backtest Log v1: Priya's trades 18-30

One row per trade, written the moment the trade closes. Priya's rows show the peak (trade 19), five losses in a row (23 to 27) and a gap past the stop (25). The empty rows are for your first 3 trades.

#	Stock	Entry / stop / exit	Exit reason	Net R	Running total R
1-17	Trades 1-17 together			+6.10	+6.10

#	Stock	Entry / stop / exit	Exit reason	Net R	Running total R
18	Gupta Cement Ltd	386 / 368 / 368	Stop hit	-1.10	+5.00
19	Sharma Textiles Ltd	236 / 224 / 266	2.5R profit exit	+2.40	+7.40
20	Kiran Foods Ltd	468 / 447 / 447	Stop hit	-1.10	+6.30
21	Gupta Cement Ltd	398 / 380 / 380	Stop hit	-1.10	+5.20
22	Kiran Foods Ltd	500 / 479 / 542	Time exit (day 15)	+1.90	+7.10
23	Sharma Textiles Ltd	248 / 236 / 236	Stop hit	-1.10	+6.00
24	Gupta Cement Ltd	412 / 394 / 394	Stop hit	-1.10	+4.90
25	Kiran Foods Ltd	500 / 479 / 470	Gap past the stop	-1.53	+3.37
26	Sharma Textiles Ltd	242 / 230 / 230	Stop hit	-1.10	+2.27
27	Gupta Cement Ltd	404 / 386 / 386	Stop hit	-1.10	+1.17
28	Kiran Foods Ltd	490 / 469 / 542.50	2.5R profit exit	+2.40	+3.57
29	Sharma Textiles Ltd	230 / 218 / 218	Stop hit	-1.10	+2.47
30	Gupta Cement Ltd	396 / 378 / 417.60	Time exit (day 15)	+1.10	+3.57

Net R = (exit - entry) ÷ (entry - stop) - 0.1R. Your sheet also gets columns for signal date, gross R, running peak, drawdown and NIFTY phase.

Made-up practice numbers. Net R per share, after the 0.1R cost allowance. Hypothetical: past performance is not indicative of future results.

Your four numbers (keep for Day 21)

Fill it after trade 30. Your Week 3 review on Day 21 uses these numbers (not done by then? write how many trades are logged, and add the numbers in the catch-up week), and these 30 trades count towards the 100 on the same frozen rules that real confidence needs.

Number	How to work it out	Priya (made-up)	Yours
Trades	Count the rows	30	
Win-rate	Wins ÷ trades (a win = net R above 0)	12 ÷ 30 = 40%	

Number	How to work it out	Priya (made-up)	Yours
Expectancy	Total net R ÷ trades	$+3.57 \div 30 = +0.12R$	
Maximum drawdown	Biggest fall from a peak to a later low	$7.40 - 1.17 = 6.23R$	
Longest losing streak	Most losses in a row	5	
Before costs (check)	Total net R + 0.1R x trades	$+3.57 + 3.00 = +6.57R$	

Label the report: 'Hypothetical. Past performance is not indicative of future results.'

OUTCOME

By the end you can run a backtest without peeking, log each trade in R after costs and gaps, read win-rate, expectancy, maximum drawdown and the longest losing streak, and spot look-ahead, survivorship and curve-fitting in any backtest, including your own.

TOOLS

- TradingView free chart (Bar Replay)
- Google Sheets
- niftyindices.com press releases (index changes)
- A broker's public brokerage calculator (no account needed)
- Any AI chat

WITH YOUR BATCH

Candle curtain, in pairs: one person covers a daily chart with a sheet of paper and reveals one candle at a time; the other says 'plan' or 'skip' before each reveal, using only the Rule Card. Swap after 10 decisions. Alone? Do the same with Bar Replay and say each decision aloud. The cohort award goes to the most rule-strict log, never the prettiest curve, and equity curves stay private.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Company names, chart prices and trade logs in this lesson are made up for illustration; all backtest results are hypothetical and simulated. Past performance is not indicative of future results. Stage 1 uses virtual money only. No affiliation with any charting site, broker or tool named. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Backtest stats sheet

I am a beginner doing a manual backtest of a written, rule-based swing strategy on daily charts, for learning only. Give me a Google Sheets layout for a 30-trade log with these columns: trade number, signal date, instrument (a name I type), entry (the next day's open), stop, exit, exit reason (2.5R profit exit, 15-day time exit, stop, or gap through the stop), gross R computed per share as $(\text{exit} - \text{entry}) / (\text{entry} - \text{stop})$, even when a 25% exposure cap cut my quantity, cost in R (taken from one input cell that I fill once), net R, win (yes if net R is above zero), cumulative net R, running peak of cumulative R, drawdown from that peak, and market phase (up, down or sideways, which I type). Give the exact formula for every computed column, assuming row 2 holds the first trade. Then give summary cells with formulas for: number of trades, win-rate, expectancy (average net R), total net R, maximum drawdown in R, and longest losing streak (use a helper column if needed). Explain how to insert a line chart of cumulative net R. Add a cell with the text 'Hypothetical results. Past performance is not indicative of future results.' Then tell me to test the summary formulas on a copy of the sheet by typing these 14 practice values straight into the net R column, in order: +6.10, -1.10, +2.40, -1.10, -1.10, +1.90, -1.10, -1.10, -1.53, -1.10, -1.10, +2.40, -1.10, +1.10. A correct sheet shows a total of +3.57R, a maximum drawdown of 6.23R and a longest losing streak of 5; if mine does not, help me find the wrong formula. Keep it simple enough to build on a phone. Do not suggest any stock, entry, exit or change to my rules, and do not give buy or sell advice, targets or return expectations.

Audit my backtest for bias

Act as a strict but kind backtest reviewer for a beginner. I will paste only my test plan (rules, instruments, date range, entry convention, stop, cost per trade in R) and my trade log in R; do not ask for any personal or account details. Check my work for: look-ahead bias (prices or candles I could not have known at decision time), survivorship bias (a stock list chosen with today's knowledge), unadjusted data (splits or bonus issues showing as fake gaps), cherry-picking of stocks or dates, rule changes during the test (curve-fitting), missing costs or gap losses, too few trades, and trades taken from only one kind of market. For each point, say what you found and label it Fact (visible in my data), Guess (possible, but you cannot tell from my data) or Kachra (a claim in my notes that does not hold up). End with the three most important fixes, in plain words. Do not judge whether the strategy is worth trading, do not suggest any stock, and do not give buy or sell advice, targets or return expectations.

Luck simulator

Help me build a simple luck simulator in Google Sheets so I understand losing streaks and drawdowns. Each row is one trade: use RAND() so that each trade has a 40% chance to win +2.4R and a 60% chance to lose -1.1R (a 2.5R profit exit and a 1R stop, each less 0.1R of costs). Make 30 rows, a cumulative R column, the longest losing streak and the maximum drawdown in R. Tell me how to force a recalculation to get a new random run, and ask me to write down the longest losing streak and the maximum drawdown for 10 runs. Then change the win chance to 30% and do 10 more runs. For both cases, show the average result per trade (40%: +0.30R, 30%: -0.05R) and say plainly that 40% and 30% are assumptions for this exercise, not the win-rate of any real strategy. Then explain in plain words, for a beginner, why the same rule can look very different over 30 trades just from luck, and why about 100 trades give more confidence. Say clearly that this is a coin-flip style model, not a forecast of any real strategy. Label each general claim you make as Fact or Guess. Do not suggest any stock or strategy, and do not give buy or sell advice, targets or return expectations.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

While logging your first trades, how many times did you want to peek at the next candle, or count a trade that did not quite match your card? What did that urge feel like, and what did you do with it?

Write your answer here, then save it in the app's Journal tab.

An honest log with a modest number is worth more than a perfect curve built by peeking. Today you started the honest log; on Day 21 it becomes part of your review.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. In a backtest, Aman's entry is Rs 400 and his stop is Rs 385. One morning, after bad news overnight, the stock opens at Rs 376, below his stop, so he logs the exit at that open. Costs are 0.1R per trade. What net R should he log?

- ☐ A -1.00R: a stop-loss always caps the loss at 1R
- ☐ B -1.10R: the planned stop, plus 0.1R of costs
- ☐ C -1.60R: costs are charged only on winning trades
- ☐ D -1.70R: the loss to the Rs 376 open, plus 0.1R of costs

Q2. Reading only these month-end values of Priya's cumulative net R: 0, +3, +7, +4, +2, +5, +9, +6. What is her maximum drawdown so far?

- ☐ A 5R, the fall from +7R down to +2R
- ☐ B 7R, the height of the first peak
- ☐ C 2R, the lowest point after a peak
- ☐ D 3R, the latest fall from +9R down to +6R

Q3. Aman's daily signal is confirmed only once the exchange sets the day's official closing price, after trading ends. In his backtest he logs every entry at that same candle's low. What is wrong?

- ☐ A He logs a price nobody knew until the day was over
- ☐ B Nothing, since the low was a real traded price
- ☐ C Daily charts are unfit for any kind of backtest
- ☐ D He should log the candle's high instead, to be safe

Q4. Priya plans to backtest on the 50 companies in NIFTY 50 today, using data from 2019 to 2025. Which problem should she note in her report?

- ☐ A None, since index companies always give a fair test
- ☐ B Survivorship bias: names that dropped out since 2019 are missing
- ☐ C Cost error: large index companies carry no charges
- ☐ D Curve-fitting: she has tuned her EMA settings to this list

Q5. After 30 trades, Aman changes EMA 20 to EMA 18 and adjusts the RSI band until those same 30 trades show a 75% win-rate. What is the most honest next step?

- ☐ A Report 75% as the rule's future win-rate
- ☐ B Call it proven and switch his paper trades to it
- ☐ C Keep tweaking the settings until it reaches 90%
- ☐ D Freeze it, then test it on 30 fresh trades

F&O basics only: samjho, khelo mat

Concept: Futures and options: what they are, and why Stage 1 only studies them

AI Lab: Option chain explainer: read it, do not trade it

Mindset: The lottery-ticket mind

The one ticket everyone talks about

*Thursday evening, just after the class video call.
Aman holds his phone up to the camera. Priya
has her notebook open.*



Aman

Sir, look. My colleague bought NIFTY calls at Rs 4 and sold them at Rs 60 the same day. He put in about Rs 3,000 and took out about Rs 45,000. And the most he could ever lose was that Rs 3,000. That is low risk, right?



Mentor

Two questions, Aman. How many times did he buy Rs 4 calls before this? And how many of them ended at zero?



Aman

Umm... he never talks about those. He just says he tries every week.



Priya

Sir, so a small loss that repeats every week is not really small? And why was that call so cheap in the first place?



Mentor

That is the right question, Priya. Cheap options are cheap for a reason. Today we learn what futures and options are, and why Stage 1 only studies them. F&O: samjho, khelo mat.

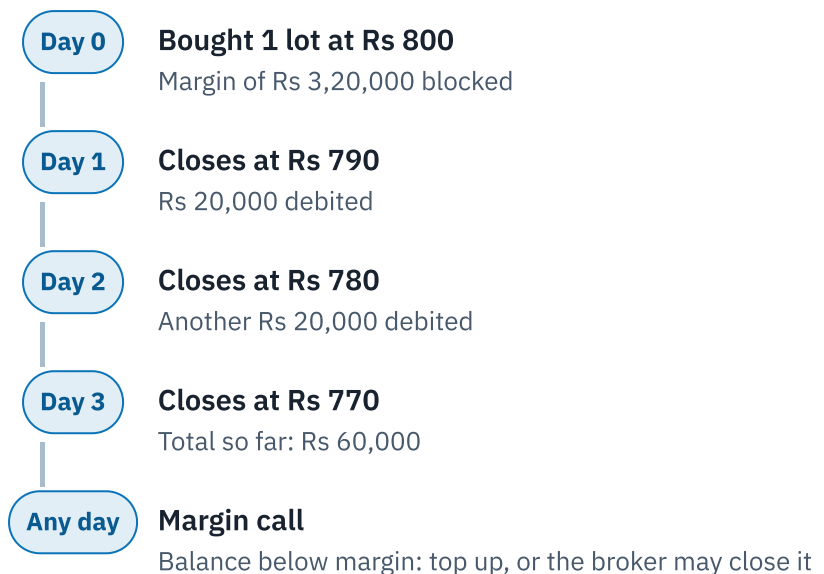
The lesson: A small price is not the same as a small risk. Count the tickets that lost, not only the one that won.

Learn

01 Futures: a deal today, settled every evening

A futures contract is a deal made today to buy or sell something on a fixed later date, called the expiry, at a price agreed now. On NSE there are futures on indices such as NIFTY 50 and on many stocks. You cannot pick any quantity: each contract comes in a fixed size called a lot, set by the exchange and revised from time to time, and one lot is usually worth many lakh rupees. You do not pay the full value; the broker blocks a margin, a safety deposit that is only a part of it, with a minimum set by the exchange's clearing corporation. Every evening the day's profit or loss is settled in cash; this is mark-to-market (MTM). Controlling a big value with a small deposit is leverage, and it works in both directions.

MTM, one evening at a time



Made-up numbers: 1 lot = 2,000 shares (Rs 16 lakh) on a margin of Rs 3,20,000, which is 5 times leverage, and nothing spare in the account. Losses leave your account every evening, not only at expiry, so even the first loss leaves you short of margin.

EXAMPLE

Think of booking Diwali mithai in September at today's rate with a small advance: the price is locked, but here the difference is settled every single day. In a made-up case, one lot of Bharat Pumps Ltd futures is 2,000 shares at Rs 800, a contract value of Rs 16,00,000, and the broker blocks Rs 3,20,000 as margin. $\text{Rs } 16,00,000 \div \text{Rs } 3,20,000 = 5$, so this is 5 times leverage: every 1% move in the share is a 5% move on your margin. If the price slips Rs 10 a day, Rs 20,000 leaves the account each evening. A 5% fall, Rs 40 a share, costs Rs 80,000, a quarter of the margin. A 20% fall would wipe out the whole margin, and a bigger fall costs more than you deposited. On the Rs 10 lakh challenge capital, 1R is Rs 10,000, so one Rs 10 slip is already 2R, the daily stop, and this one contract is 1.6 times the whole capital.

Remember: Margin is a deposit, not a limit. In futures, the loss can be bigger than the money you put down.

02 Options: a right for the buyer, a duty for the seller

An option gives its buyer a right, but not a duty, to buy or sell at a fixed price on the expiry day. NSE options are European style: the right can be used only at expiry, but the option itself can be sold on the exchange on any trading day before that. A call option (CE) is the right to buy; a put option (PE) is the right to sell. The fixed price is the strike price, and the price of the right itself is the premium, which the buyer pays in full upfront. The seller, also called the writer, receives the premium and takes on the duty: if the buyer uses the right, the seller must honour it. Stock options expire monthly; weekly expiry exists only for a small set of benchmark index contracts, and expiry days have changed in recent years, so check the NSE website for the current calendar.

Who sits where at the options table

Call buyer (CE)

- Right to buy at the strike
- Pays the premium upfront
- Gains if price rises enough
- Worst case: premium lost

Put buyer (PE)

- Right to sell at the strike
- Pays the premium upfront
- Gains if price falls enough
- Worst case: premium lost

Seller (call or put)

- Collects the premium
- Must honour the buyer's right
- Loss can far exceed premium
- Must keep margin

Every option has a buyer and a seller. In Stage 1 you sit in none of these seats, not even on paper.

EXAMPLE

It works like the token money on a flat booking. A young couple pays a non-refundable token of Rs 50,000 for the right to buy a flat at Rs 40 lakh when three months are up. The token is extra; it is not knocked off the Rs 40 lakh. If flats nearby jump to Rs 46 lakh, their right is valuable. If prices fall, they walk away and lose only the token. The builder keeps the token either way, but if prices jump, he must still sell at Rs 40 lakh. The couple is the call buyer, the token is the premium, Rs 40 lakh is the strike and the builder is the seller.

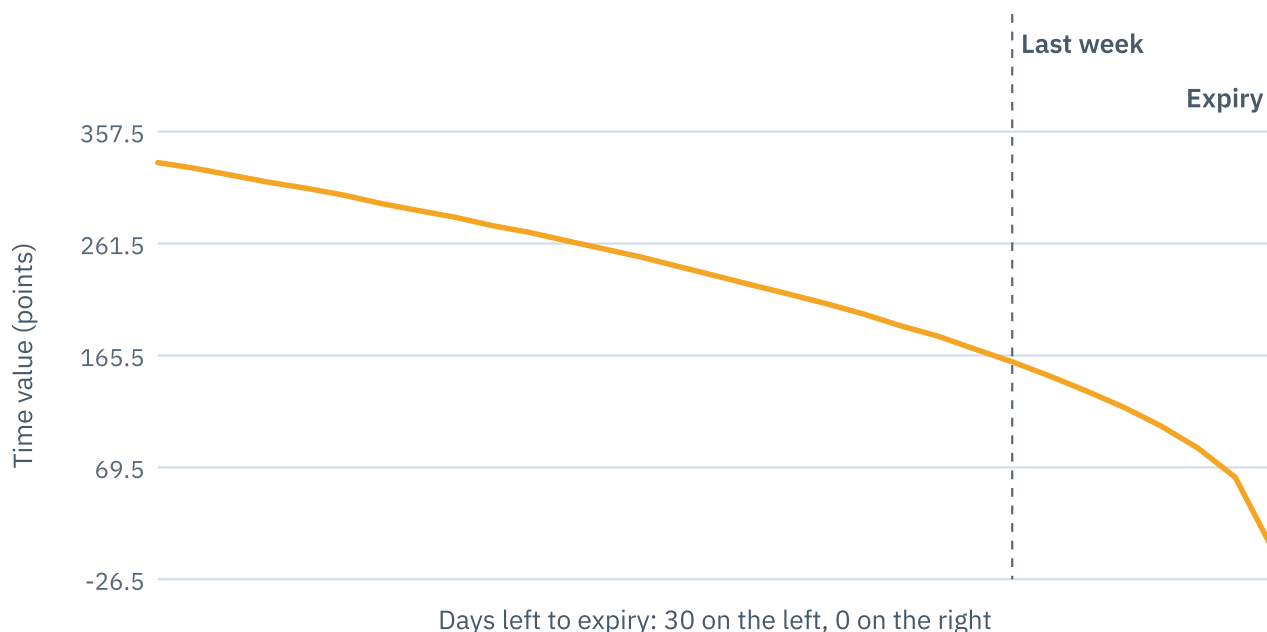
Remember: Buyer: pays the premium and holds a right. Seller: collects the premium and carries the duty, and the bigger risk.

03 ITM, ATM, OTM, and what a premium is made of

Moneyness tells you where the strike sits against today's price. For a call, a strike below the current price is in the money (ITM), a strike close to it is at the money (ATM), and a strike above it is out of the money (OTM); for a put it is the mirror image. Every premium has two parts. Intrinsic value is what the option would be worth if it expired right now: for a call, the current price minus the strike, never below zero; for a put, the strike minus the current price, also never below zero. Time value is the rest, the price of hope that a move will come before expiry; it melts a little every day, like kulfi in the sun, and this is time decay. For an at-the-money option the melting speeds up near expiry: with the index flat, the last 7 days of a 30-day run take about four times as much time value as the first 7 days (see the chart). NIFTY premiums are quoted in points; one point is Rs 1 for every unit in the lot.

Time value melts fastest at the end

ILLUSTRATIVE



Illustrative: an at-the-money NIFTY call with the index held flat at 24,150. Time value is about 331 points with 30 days left, 290 with 23, 160 with 7 and zero at expiry: the first week takes about 41 points, the last week about 160. The practice chain sits at 4 days left, where it is 121.

EXAMPLE

NIFTY 50 is at 24,150 (illustrative; the practice option chain in Today's task uses the same numbers, 4 days before expiry). The 24,000 call is ITM by 150 points, and its premium is 210, so intrinsic value is 150 and time value is 60. The 24,300 call is OTM, and its premium of 61 is all time value. If NIFTY sits at 24,150 until expiry, the 24,000 call ends at 150 and the 24,300 call ends at zero. The 24,000 put is OTM too: a right to sell at 24,000 is worth nothing to use when the market is at 24,150, so its premium of 60 is all time value. Mirror image for puts: the 24,250 put is ITM by 100; its premium is 178, so intrinsic value is 100 and time value is 78.

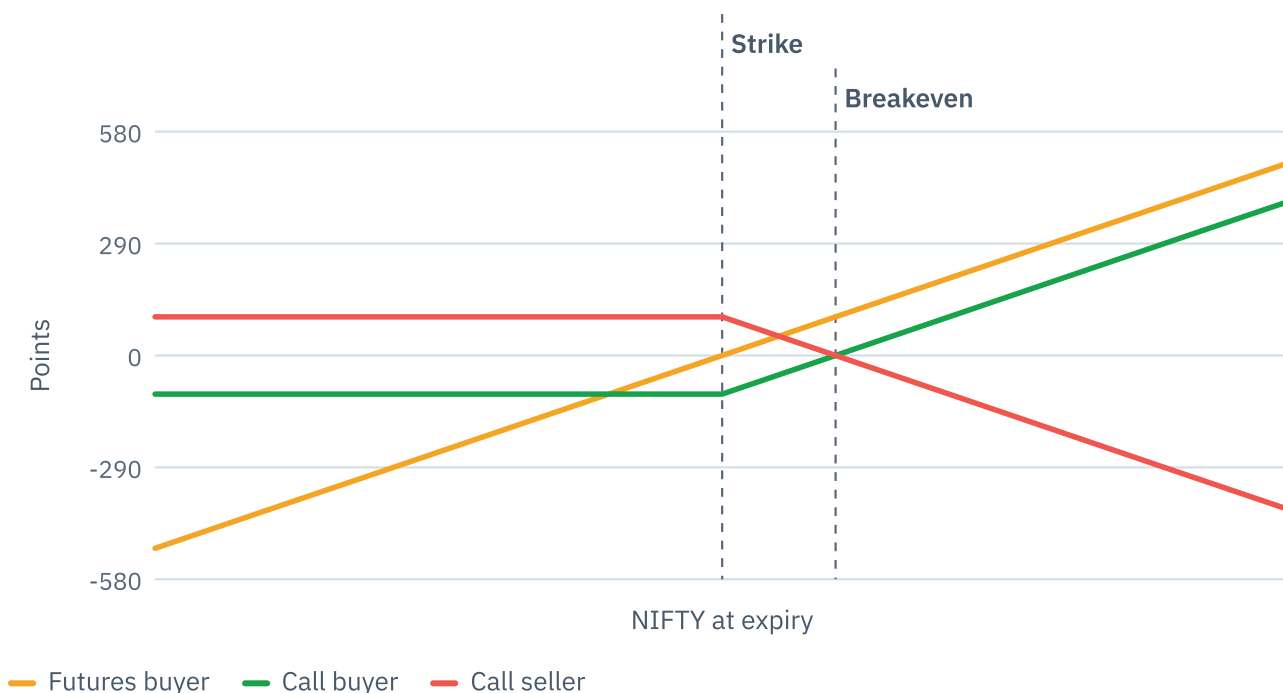
Remember: Intrinsic value stays if the price stays. Time value melts every day, whether you watch it or not.

04 Payoff at expiry: who can lose how much

A payoff chart shows the profit or loss at expiry for every possible price. A futures buyer gains or loses one rupee for every rupee the price moves, in both directions. A call buyer loses the full premium if the price ends at or below the strike, and makes money only above the breakeven, which is the strike plus the premium. The call seller's line is the exact mirror: the premium is the most he can make, and his loss keeps growing as the price rises. Costs and taxes, which you read in your contract note, push every breakeven a little further away.

Payoff at expiry, per unit

ILLUSTRATIVE



Illustrative, per unit: a 24,000 call bought at 100, and a future bought at 24,000. X-axis: 23,500 to 24,500 in steps of 100. Each line crosses 0 where it breaks even: the future at 24,000, the call buyer and seller at 24,100.

EXAMPLE

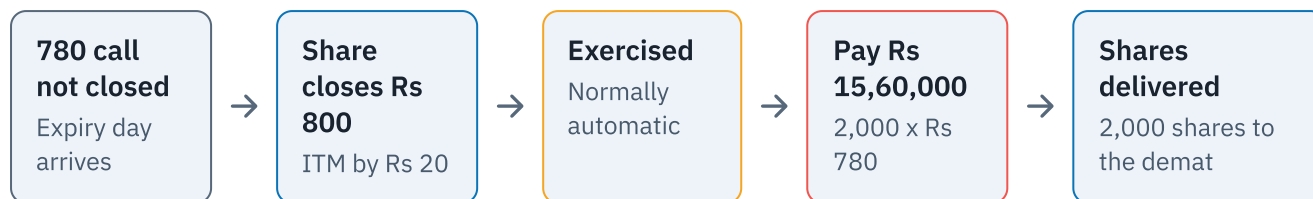
Now a fresh example, not the 210 call above: a 24,000 NIFTY call bought at 100 points. At expiry, if NIFTY ends at 23,800 or at 24,000, the buyer loses 100 points. At 24,100 he is at breakeven, and at 24,400 he gains 300 points. The seller has the opposite result at every level: plus 100 at 24,000, zero at 24,100 and minus 300 at 24,400. A futures buyer at 24,000 would be minus 200 at 23,800 and plus 400 at 24,400. These are per-unit, illustrative figures; one lot multiplies them many times over.

Remember: The buyer's worst case is the premium. The seller's best case is the premium.

05 Expiry, delivery and the option-chain words

Index F&O, such as NIFTY 50 contracts, is settled in cash: only the profit or loss moves. Stock F&O held to expiry is physically settled: real shares change hands for the full value, and an option that ends ITM is normally exercised (used) automatically, whether you remember it or not. A stock-future buyer or ITM call buyer may have to pay in full and take the shares; a future seller or ITM put buyer may have to hand over shares, and option sellers carry the mirror duty. An option chain is the table of all strikes for one expiry. Open interest (OI) is the number of contracts still open; each has one buyer and one seller, so OI shows how much is open, not which way the market will go. PCR, the put-call ratio (total put OI divided by total call OI), is only a word to recognise for now.

A stock call left open at expiry



Made-up case from the example: a lot of 2,000 Bharat Pumps Ltd shares. Index options such as NIFTY settle in cash instead. Each broker's near-expiry rules differ.

EXAMPLE

Suppose Aman's colleague forgets to close a Bharat Pumps Ltd 780 call before expiry. The share closes at Rs 800 on expiry day, so the call is ITM. With a made-up lot of 2,000 shares, he may now have to pay $2,000 \times \text{Rs } 780 = \text{Rs } 15,60,000$ and take delivery of the shares. A small bet has turned into a demand for lakhs of rupees. Near expiry the exchange asks for extra margin on such positions and many brokers close them early; each broker's rules differ. One more thing, on an option chain: in the practice chain in Today's task, the 24,300 call shows 1,41,280 contracts open. Each of those contracts has a buyer on one side and a seller on the other, so the big number alone says nothing about which way NIFTY will go.

Remember: Stock F&O held to expiry can turn into delivery. OI counts open contracts; it does not tell direction.

06 Lottery ticket or insurance?

The only F&O-loss figure this course quotes: SEBI FY26 study (Aug 2026): 87.7% of individual F&O traders were in net loss, aggregate Rs 91,685 crore, average Rs 1.17 lakh per loss-making trader. The study reports outcomes, not the reason behind each loss. Separately, as this course's own teaching view: a cheap, far OTM option feels safe because the most you can lose is small, but its low price usually means the market sees a low chance of a payoff: it needs a big move, in the right direction, before time runs out. Losing a small premium again and again is still losing, like the No. 11 batter being backed for a century every match. So these tools make most sense as insurance, called a hedge. A protective put means holding a stock and buying a put on it, so that a big fall is partly covered, at the cost of the premium.

What the put changes, per share

No hedge		-Rs 120
With the put		-Rs 55
Premium paid		-Rs 15

Made-up case: shares bought at Rs 800 fall to Rs 680; a 760 put cost Rs 15. The Rs 15 premium is paid in every case, even if the share rises.

EXAMPLE

In a made-up case, Mr Verma, a long-time investor, holds Bharat Pumps Ltd shares bought at Rs 800 and pays Rs 15 a share for a 760 put. If the share crashes to Rs 680, the put is worth Rs 80 at expiry, so his loss is Rs 55 a share (Rs 40 down to the strike plus the Rs 15 premium) instead of Rs 120. Held to expiry, this stock put settles by delivery: he hands over the shares at Rs 760, which gives the same Rs 55 loss. If the share rises, the put expires worthless and the Rs 15 was the insurance cost. Two catches remain. Covering a basket of different stocks with a NIFTY put leaves basis risk, the gap between how your holdings move and how the hedge moves: if your stocks fall 15% while NIFTY falls 8%, the put covers only part of the damage. And one lot is usually far bigger than a beginner's portfolio, so for small amounts the cheapest hedge is a smaller position or more cash.

Remember: Cheap is not the same as low risk. In Stage 1, F&O is for understanding only: samjho, khelo mat.

Words from today

Futures contract

A deal to buy or sell a fixed quantity (one lot) at a price agreed today, on a set expiry date. Both sides are bound to it.

Leverage

Controlling a big contract value with a small deposit. Contract value ÷ margin gives the multiple: Rs 16 lakh ÷ Rs 3.2 lakh = 5 times, so a 1% move in the share is 5% of your margin, in either direction.

ITM, ATM, OTM

Where the strike sits against the current price. For a call: strike below the current price = in the money, near it = at the money, above it = out of the money. Mirror image for a put.

Open interest (OI)

The number of F&O contracts still open. Each one has a buyer and a seller, so OI shows how much is open, not the market's direction.

Margin and MTM

Margin is the deposit the broker blocks. MTM (mark-to-market) settles the day's profit or loss in cash every evening; a loss can exceed the margin.

Call (CE) and put (PE)

A call is the right to buy, a put the right to sell, at the strike price on expiry. The buyer pays a premium for the right; the seller carries the duty.

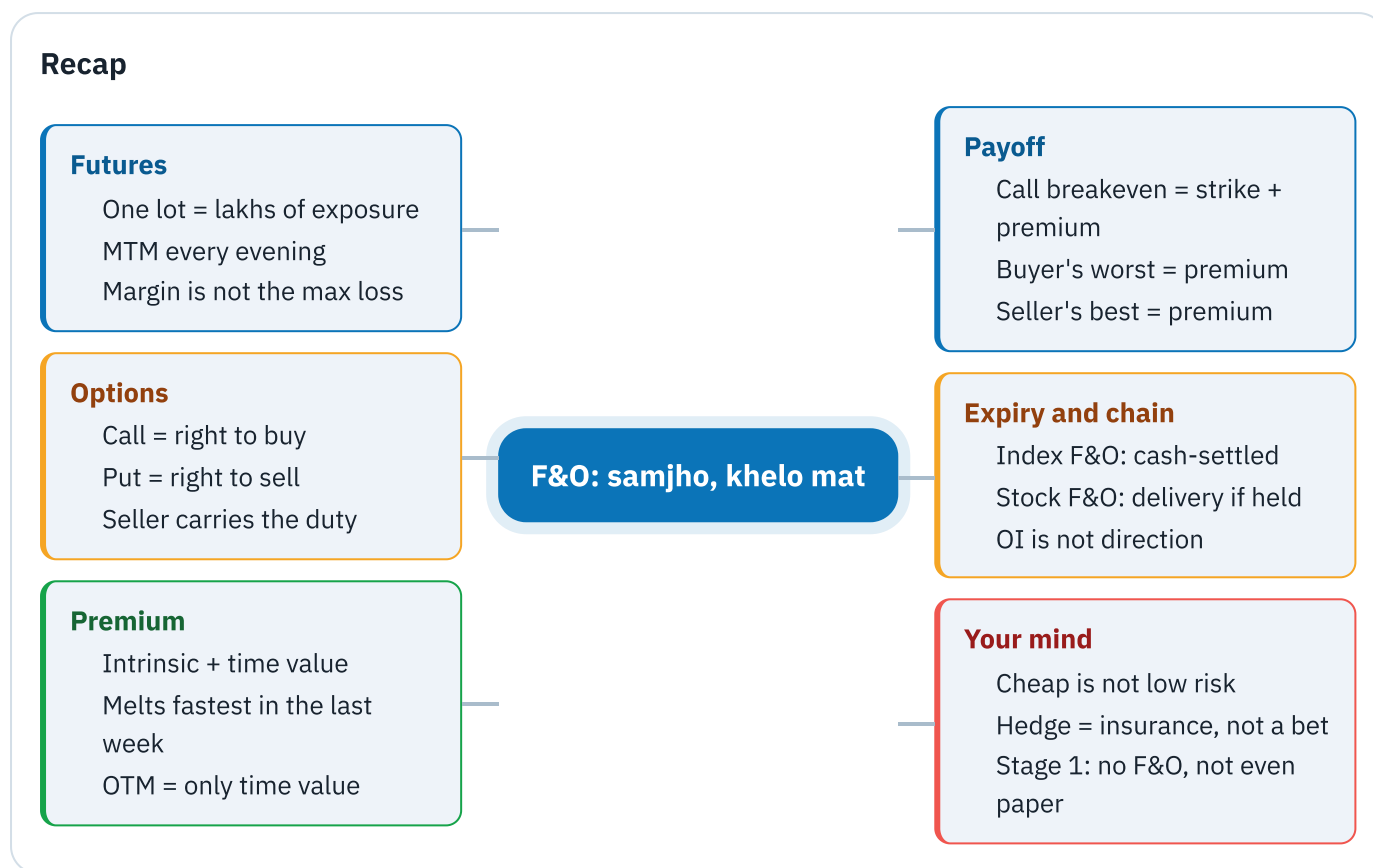
Intrinsic value and time value

Intrinsic value is what the option is worth if it expired now. Time value is the rest of the premium; it shrinks towards zero by expiry (time decay).

Physical settlement

Stock F&O held to expiry settles by delivery: real shares and their full value change hands. Index F&O such as NIFTY settles in cash.

Recap map



Today's task

30 min

Read an option chain without trading, live from NSE or the practice chain: find the ATM strike, split two premiums, feel the size of one lot, and have AI check your reading.

- ☐ On nseindia.com, open the public NIFTY option chain (no login or broker account needed). Pick the nearest expiry at least two trading days away and write down the index level and the ATM strike, the strike nearest the index. If the page will not load on your phone, use the practice chain under 'Your template'.
- ☐ In Google Sheets or your notebook, copy five rows around the ATM strike: strike, call LTP, call OI, put LTP, put OI. (LTP, the last traded price, is the premium.)
- ☐ Fill two rows of the premium split sheet: the call two strikes below ATM (ITM) and the call two strikes above (OTM). Intrinsic value = index level minus strike, never below zero; time value is the rest. If a time value comes out negative, that LTP is old; use a strike nearer ATM.
- ☐ Search the NSE website for the current F&O market lot of NIFTY and fill the 'What one lot controls' card: lot x index level in rupees, then compare it with the 25% exposure cap (Rs 2,50,000) on the Rs 10 lakh challenge capital.
- ☐ Run the AI Lab prompt 'Option chain explainer' with the rows you copied (live or practice), and mark every line the AI labels Guess or Kachra. Never paste your PAN, client ID or any account details.

- ☐ Stretch (any day this week, 5 minutes): pick an expiry at least two weeks away (the monthly one, or next month's if this month's is close) and note one far OTM call's premium and today's NIFTY level. Check both again 3 trading days later. If NIFTY is near the same level, most of the drop is usually time decay; if NIFTY moved a lot, write that the move changed the premium too.

YOUR TEMPLATE

Practice option chain (made-up)

Use it when NSE's chain will not load, or to practise first. Calls sit on the left and puts on the right, as on NSE. Reading practice only: Stage 1 places no F&O trades, not even on paper.

Call OI	Call LTP	Strike	Put LTP	Put OI
18,240	285	23,900	35	96,410
9,870	246	23,950	46	58,300
41,560	210	24,000	60	1,32,750
22,130	177	24,050	77	71,920
58,940	148	24,100	98	88,460
64,300	121	24,150	121	62,180
1,18,720	98	24,200	148	49,650
76,410	78	24,250	178	21,340
1,41,280	61	24,300	211	30,870
52,600	47	24,350	247	8,920
97,150	35	24,400	285	12,460

Find the ATM strike first: the strike nearest the index level.

Made-up numbers, not market data: NIFTY 50 at 24,150, 4 days to expiry, strikes 50 points apart. OI in contracts; LTP in points.

Premium split sheet

Four worked rows from the practice chain, with NIFTY 50 at 24,150. Add your two calls from step 3 in the empty rows. On the practice chain the answers are: 24,050 call = 100 + 77, and 24,250 call = 0 + 78.

Option	ITM / OTM	Premium	Intrinsic	Time value
24,000 CE	ITM	210	150	60
24,300 CE	OTM	61	0	61

Option	ITM / OTM	Premium	Intrinsic	Time value
24,000 PE	OTM	60	0	60
24,250 PE	ITM	178	100	78

Call: intrinsic = index - strike. Put: intrinsic = strike - index. Never below zero. Time value = premium - intrinsic.

What one lot controls

The example uses a made-up lot of 75 units; write today's real lot from NSE in the 'Yours' column. It is a calculation, not a trade.

Line	Example	Yours
NIFTY 50 level	24,150	
Lot size (units)	75 (made-up)	
One lot controls (lot x level)	Rs 18,11,250	
25% cap on Rs 10 lakh	Rs 2,50,000	Rs 2,50,000
One lot ÷ the cap	7.2x	
A 100-point NIFTY move on one lot	Rs 7,500 = 0.75R	

One lot is several times the most Stage 1 lets you put in any one position, and an ordinary 100-point day moves it by three-quarters of 1R. Samjho, khelo mat.

OUTCOME

By the end you can explain a futures contract, margin and MTM; tell a call from a put and ITM from OTM; split a premium into intrinsic and time value; read a buyer's and a seller's payoff; say which F&O contracts end in delivery; and explain why Stage 1 only studies F&O.

TOOLS

- NSE website option chain (nseindia.com)
- The practice option chain in Today's task (no live data needed)
- Google Sheets
- Any AI chat
- Notebook and pen

WITH YOUR BATCH

Lottery or insurance? On six chits, write six uses of options, for example 'buying a Rs 3 call two days before expiry', 'buying a put on shares you already hold', 'selling calls for weekly income', 'selling far OTM puts because they rarely pay out', 'buying a NIFTY put to cover a basket of mid-cap stocks', 'buying cheap calls on a company's results day'. With classmates or family, sort each chit into Lottery, Insurance or Big hidden risk, and defend your choice in one line. Alone? Sort them yourself, then ask an AI chat to challenge your sorting.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Stage 1 uses virtual money only and places no F&O trades, not even on paper. Company names, prices, lots, premiums and the practice option chain in this lesson are made up for illustration; the SEBI FY26 figure is quoted from SEBI's study. Check NSE for current lot sizes and expiry days. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Option chain explainer

You are a patient teacher of Indian derivatives, explaining to a complete beginner who is only studying F&O and will not trade it, not even on paper. I will paste a few rows from the public NIFTY option chain on the NSE website or from my course's made-up practice chain (strike, call premium, call OI, put premium, put OI) and the current index level. Using only my pasted numbers: (1) say which strike is ATM and why; (2) mark each strike as ITM, ATM or OTM, separately for calls and for puts; (3) split two premiums of my choice into intrinsic value and time value, showing the working; (4) explain what OI measures, why every open contract has both a buyer and a seller, and what OI cannot tell me; (5) explain in two plain lines what PCR (put-call ratio) means and why, on its own, it cannot tell me where the market will go; do not compute a PCR or read anything into one. Label every statement Fact (follows from my numbers or a definition), Guess (an opinion or estimate) or Kachra (a popular claim with no basis, such as 'max OI is a wall the market cannot cross'). Do not suggest any option to buy or sell, give no view on market direction, no strategy, no targets and no return expectations.

Index level: <paste here>

Chain rows: <paste here>

F&O myth-buster

List 8 beliefs that Indian beginners commonly hold about futures and options, for example 'a cheap option is low risk', 'my margin is the most I can lose', 'high OI at a strike means the market will stop there', 'stock options always settle in cash' and 'buying a NIFTY put fully protects any portfolio'. For each belief, label it Fact, Guess or Kachra, give a one-line correction in simple words, and name the official source (NSE, BSE or SEBI website, or the NISM Series VIII study material) where I can check it. Where a rule can change, such as lot sizes, expiry days or settlement rules, say so and tell me to check the latest on the NSE website. Do not recommend any stock, index or option, do not give buy or sell advice, and do not mention targets or expected returns.

Lottery-ticket mind check

Act as a calm trading-psychology coach. Ask me 6 short questions, one at a time, to find out whether I think about options like lottery tickets: how I react to screenshots of big option wins, whether I count the losing bets behind them, how I judge a 'small' premium that I might lose every week, and what I believe a low price tells me about the chance of a payoff. After my answers, give me a plain summary of any lottery-ticket thinking you noticed and one question I can ask myself whenever I see an F&O success story. Do not ask for any personal or financial details, do not suggest any stock, option or strategy, and do not give buy or sell advice, targets or return expectations.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Which idea today changed how you see a cheap option? And in your own words: what does OI measure, and what does it not tell you?

Write your answer here, then save it in the app's Journal tab.

Today you learnt a powerful tool well enough to know why you are leaving it alone for now. Many traders never learn that part.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. NIFTY 50 is at 23,880 (illustrative). The 23,700 call trades at a premium of 230. How does that premium split?

- ☐ A Intrinsic 230, time value zero
- ☐ B Intrinsic 0, time value 230
- ☐ C Intrinsic 50, time value 180
- ☐ D Intrinsic 180, time value 50

Q2. In a made-up case, someone buys a Kiran Foods Ltd 400 call at a premium of Rs 18. Ignoring costs, above what share price at expiry does the buyer start to make money?

- ☐ A Above Rs 418
- ☐ B Above Rs 382
- ☐ C Above Rs 400, the strike
- ☐ D Above Rs 436

Q3. In a made-up case, one lot of Gupta Cement Ltd futures is 3,750 shares, bought at Rs 400 with a margin of Rs 3,00,000. The price closes the day at Rs 392. What happens that evening?

- ☐ A Only Rs 8 per lot is debited, the fall in price
- ☐ B Nothing yet: MTM waits until the contract is closed
- ☐ C Rs 30,000 is debited from the account that same evening
- ☐ D The loss is held back until the expiry day ends

Q4. Suppose someone holds a Sharma Textiles Ltd stock call that is in the money at expiry, and forgets to close it. What can happen?

- ☐ A They may have to pay for and take the shares
- ☐ B It is settled in cash, like a NIFTY option
- ☐ C It lapses at zero because it was not closed
- ☐ D The exchange sells it at the day's best price

Q5. A far OTM NIFTY call costs just Rs 3, with two days left to expiry. What does the low price most likely tell you?

- ☐ A It is a bargain that most of the market missed
- ☐ B Cheap options have more room left to rise
- ☐ C Its loss is small, so its risk is small too
- ☐ D The market sees a small chance of a payoff

The event calendar and your no-trade days

Concept: Events, their timing, and a no-trade rule for each strategy

AI Lab: Event calendar builder: AI drafts, official sites decide

Mindset: Fear of missing the big day

The biggest day of the year

The night before the Union Budget. Aman video-calls the mentor, and Priya joins from Lucknow.



Aman

Sir, tomorrow is Budget day. Everyone says there will be a huge move. On paper, I'll take an ORB trade as soon as the range breaks, and two swing trades before the speech. It's the biggest day of the year; I can't sit it out.



Priya

But the speech starts around 11. Your 9:15 to 9:30 range will be drawn before anyone knows what the Budget says. What will that range tell you?



Mentor

Good question, Priya. Aman, one question from me too: which way will the market go tomorrow?



Aman

Honestly, no idea. Up or down, but big. Like Gupta Cement last week: I bought at 400 on paper, stop 382, and after the results it opened at 364. I didn't even know the results were that evening.



Mentor

That results date was on the NSE website six trading days before you bought. Most big days are not surprises; they are written down in advance. Tonight we write them down too, with your rule for each one, before the day arrives.

The lesson: Most big days are on the calendar long before they arrive. The skill is deciding, in advance, what you will do on them.

Learn

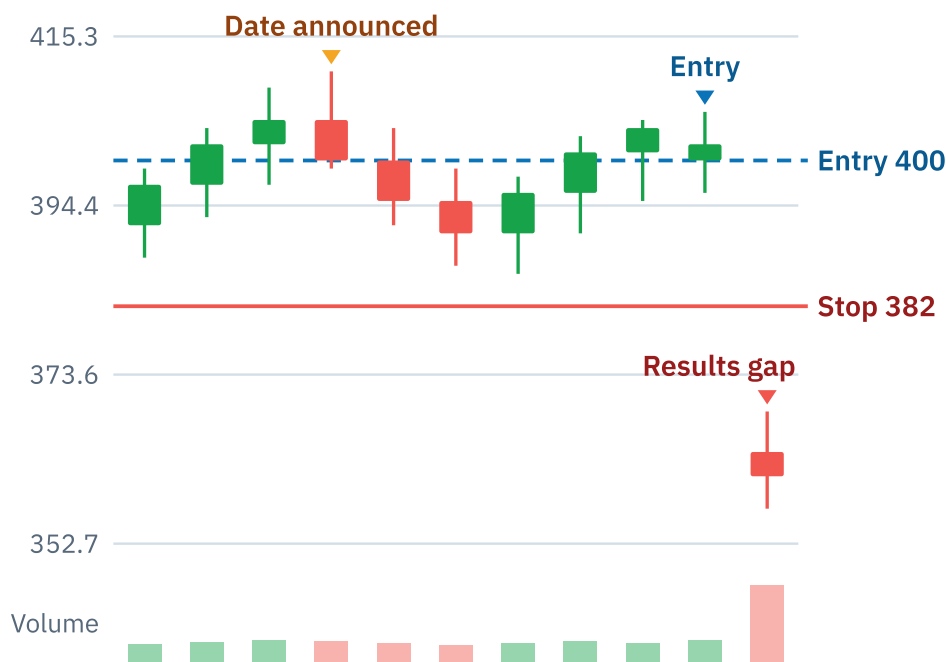
01 Events: the gaps you can see coming

An event is a scheduled moment when big new information reaches the market all at once: a company's results, an RBI policy decision, the Union Budget. Price does not walk to its new level; it often jumps, and that jump is a gap (Day 6). Day 9 showed what a gap does to a stop: a planned 1R loss can become 2R or more.

Today's twist is that most of these jumps are not surprises. Their dates are published days or weeks ahead. An event calendar is simply a list of those dates, kept where you will see it before you trade.

The date was public

ILLUSTRATIVE



The results date was announced six trading days before the entry. Stop Rs 382; the first price after the results was Rs 364. Loss: about 2R, not 1R.

EXAMPLE

Aman's paper trade in Gupta Cement Ltd last week: 555 shares at Rs 400, stop Rs 382 (1.5 x an ATR of Rs 12), so 1R was about Rs 10,000. Results came out that evening. Next morning the stock opened at Rs 364, and his stop, an SL-M order (Day 9), sold near there: $555 \times \text{Rs } 36 = \text{Rs } 19,980$, about 2R. The board-meeting notice for those results had been on the NSE website six trading days before he bought. The Day 11 card he had never copied (Day 16) already said 'skip any stock whose results date falls in the next 15 trading days'; he simply never looked the date up. It was Day 9's gap again, with one difference: this time the date was public.

Remember: Getting caught in a results-day gap is rarely bad luck. Usually it is a date nobody looked up.

02 Where events come from: your stock, India, the world

Events come from three places. Stock events hit one company: its quarterly results, the board meeting that approves them, and ex-dates for a dividend, bonus or split (Day 15), when the price drops for a mechanical reason and an unadjusted chart shows a fake gap. Indian market events touch almost everything: RBI policy decisions, the Union Budget, exchange holidays and special sessions, and F&O expiry days, when the index can be jumpier even if you trade no F&O. Index events sit in between. NSE Indices reviews NIFTY 50 twice a year and announces any change weeks before it takes effect. Index funds and ETFs that copy the index must then buy the stock coming in and sell the one going out, usually near the close of the last day before the change, so both can show heavy volume that says nothing about the business. World events arrive from

abroad, and their dates are published too: decisions of the US Federal Reserve (America's central bank) and of other big central banks such as the European Central Bank, and US inflation and jobs reports. Most of them land in the Indian evening or night, after our close. Some big global news comes with no date at all; it cannot go on any calendar, which is one reason every trade still risks only 1%. Write down the date; never guess what will be announced.

Three places events come from

Your stock

- Results and the board meeting
- Ex-date: dividend, bonus, split
- Found in NSE/BSE announcements

Indian market

- RBI policy decisions
- Union Budget
- Holidays, special sessions
- F&O expiry days
- NIFTY changes: funds trade at close

The world

- US Fed decisions
- Other central banks, such as the ECB
- US inflation and jobs reports
- Most land after our close
- Surprise news: no date, so 1% risk

Write down the date and the time, never a guess about what will be announced.

EXAMPLE

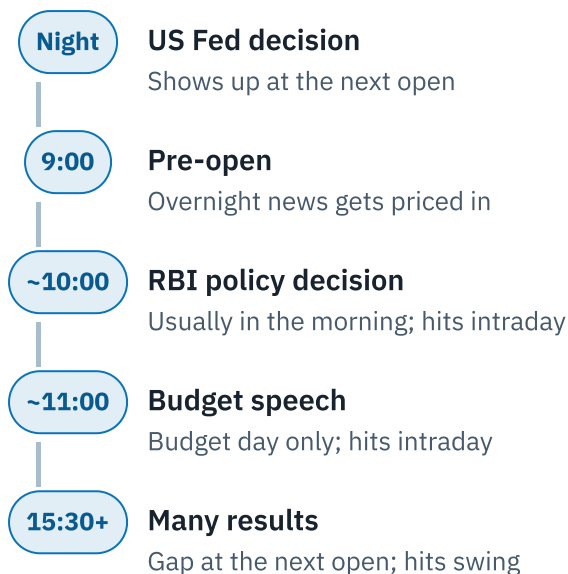
Priya jots down the next 30 days for her paper watchlist (all dates made up). The 6th: an RBI policy decision. Friday the 7th, in the Indian evening: US inflation data, which will show up at the open on Monday the 10th. The 12th: Kiran Foods Ltd results. The 18th: Sharma Textiles Ltd goes ex-dividend with a Rs 5 dividend, so, all else equal, its price drops by about Rs 5 that morning; that is an adjustment, not a signal. The 19th, at night: a US Fed decision, which will show up at the open on the 20th. Friday the 21st: an exchange holiday, so the market shuts for three days, a longer 'overnight' for any swing trade she holds. The 25th: the monthly NIFTY F&O expiry; she trades no F&O, so it is a note, not a block. The 27th: the last day before Desai Power Ltd joins NIFTY 50, a change NSE Indices announced weeks earlier; heavy volume near that close is index funds buying, not a breakout. Eight dates, three places, one sheet.

Remember: For every date, ask first: does it come from my stock, from India, or from the world?

03 Timing: during market hours or overnight

The time of an event matters as much as its date. Some land during market hours: the RBI usually announces its policy decision in the morning, and on Budget day the speech normally begins around 11 am. These whip prices up and down within the day, which hurts intraday trades such as ORB. Others land overnight: many companies release results after 3:30 pm, and US Fed decisions come during the Indian night. You cannot trade on these until the pre-open at 9:00 the next morning, and by then the price has already jumped, so they arrive as a gap, which hurts swing trades held overnight. A board-meeting notice gives the date, often not the hour; if no time is given, assume the results could land during market hours or overnight. Times can change, so check the official announcement every time.

When events usually land (IST)



Typical times only; they can change. Surprise news can land at any hour. Always confirm on the official page.

EXAMPLE

On Budget day, the opening range of a liquid stock such as Sharma Textiles Ltd is set by 9:30, but the speech starts about 90 minutes later. ORB takes no new entry after 11:00 (Day 13), so any trade you take can still be open when the speech begins, and from then on the speech, not your rule, decides where it goes. Now picture a swing position in Kiran Foods Ltd: its results arrive at 6 pm, and the US Fed decides late at night, Indian time. Your first chance to exit is the next morning's open, at whatever price the market chooses.

Remember: During-hours events hurt intraday trades; overnight events hurt swing trades. Know which one you are holding.

04 Your no-trade rules: match the event to the trade

A no-trade rule is a line on your Rule Card that names the days you stay out, decided before those days arrive. Your default strategy, EMA Pullback Swing (Day 11), holds overnight, so overnight events matter most to it. The optional ORB (Day 13) opens and closes within one trading day (its time exit is 14:30), so during-hours events matter most to it. And Aman's two swing entries on Budget morning? The starter table does not block them, because the speech lands during market hours, when a stop usually fills close to 1R, plus some slippage in a fast market. But a Budget-day swing can move more than one ATR in minutes and stop you out on noise, so many beginners simply add 'no new swing entry on Budget day' to their card; if the day tempts you to move stops, that line is a must. Keep the list short: if your rules block half the month, you will stop obeying them, and three or four clear lines are enough. Day 18 introduced hedging; at Stage 1 the cheapest protection before an event is a smaller position, or none. And a setup you skip because of a written rule still scores as adherence (Day 12).

A starter no-trade table

EMA Pullback (swing)

- Results in window: no new entry
- Holding into results: exit the day before
- Ex-date: the drop is an adjustment

ORB (optional, intraday)

- RBI policy day: no ORB
- Budget day: no ORB
- Stock's results day: skip that stock
- Big gap open: Day 13 list

Every day

- Before any entry: calendar + that stock's NSE page
- Skipped by rule = adherence
- Log every event gap in R
- Expiry or index-change day: note only, no block

A starting point to adapt, not a law. Write your own version on your Rule Card.

EXAMPLE

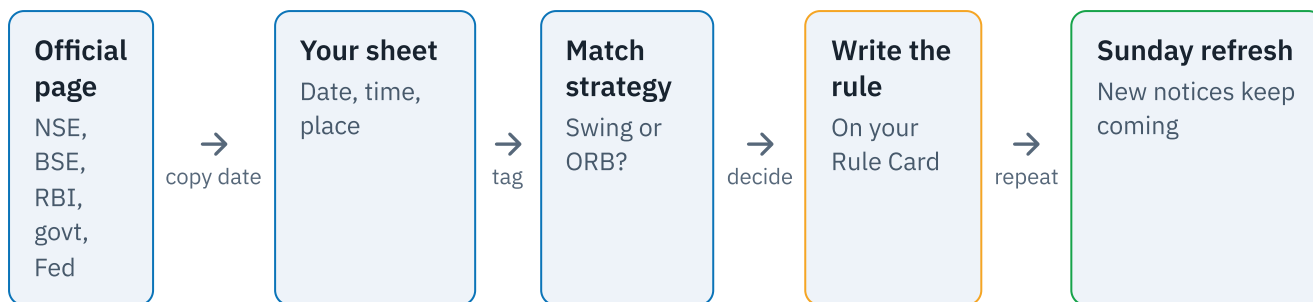
Priya writes four lines on Sunday. One: no new swing entry in a stock whose results fall inside my 15-trading-day window (Day 11). Two: if a results date is announced after I enter, I exit before the close on the trading day before the results, and log it as a planned exit. (If I would rather hold through results, I write that on Sunday instead and accept that the loss could be 2R or more.) Three: no ORB on an RBI policy day or Budget day, or in a stock on its own results day. Four: on an ex-date, I do not read the adjusted drop as a signal. Expiry days and index-change days get a note on her calendar but no rule of their own: she trades no F&O, and index-fund buying is mechanical, so she simply does not read that day's volume as a signal. Her count for next month: one RBI day with no ORB, and 1 of her 8 watchlist stocks (Kiran Foods Ltd) blocked for new swing entries. Every other day is normal.

Remember: Decide the event rule on Sunday, not at 9:14 on the day.

05 Build your 30-day calendar from official sources

Your calendar is one simple sheet with six columns: date, event, place and time (such as 'stock, overnight'), strategy hit, your rule, and 'source checked'. Every date comes from an official page: the NSE holiday list and circulars; expiry dates in the expiry list of the NIFTY option chain on nseindia.com (Day 18); board-meeting and corporate-action notices under NSE or BSE corporate announcements; index changes in NSE Indices press releases (niftyindices.com); the RBI press release with its policy meeting schedule; the government's Budget announcement; and the US Federal Reserve's own meeting calendar. AI can draft the empty table in a minute, but it can invent or mix up dates, and a wrong date is a costly hallucination (Day 4). Refresh the sheet every Sunday, because new board-meeting notices keep arriving. A board-meeting notice can appear only a few working days before the meeting, so before any new swing entry, also open that one stock's NSE announcements page. And know the results season. Under current SEBI rules, companies must publish quarterly results within 45 days of a quarter's end, and within 60 days for the year's last quarter. So for about six to nine weeks after March, June, September and December end, a new notice can appear any day. These deadlines can change; check the SEBI site for the latest. Tomorrow, on Day 20, this calendar check becomes the first line of your Daily Routine Card.

From official page to Rule Card



Tick 'source checked' only after you have seen the date on the official page yourself.

EXAMPLE

One row of Priya's sheet reads: '12th | Kiran Foods Ltd results | stock, time not given: could be either | both | no new swing entry until results are out; if holding, exit before the close on the 11th; no ORB in it on the 12th | NSE announcement, checked'. She also sets a phone reminder for 8 pm on the evening before each action day: the 10th for this row, because the exit must happen before the close on the 11th. That way the rule reaches her before the market does. Her first full build took about 40 minutes; each Sunday refresh takes about 10. Her whole month is the model calendar in today's task.

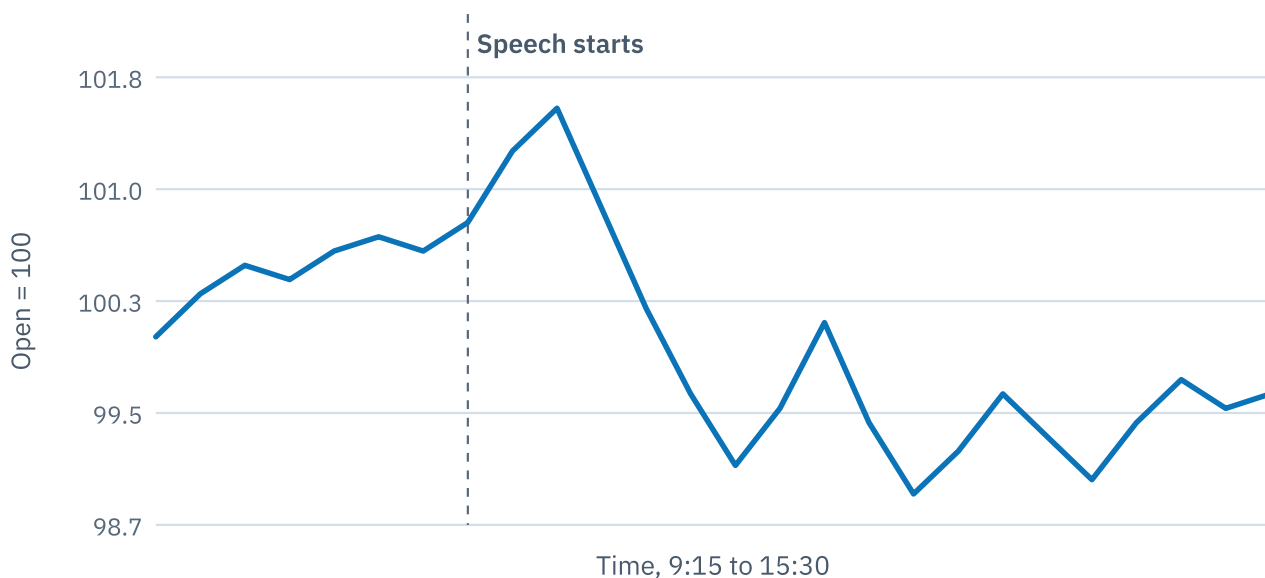
Remember: AI drafts the table; official sites fill in the dates.

06 Fear of missing the big day

Big event days feel like a Diwali sale: news channels count down, groups buzz, and staying out feels like missing the one day that matters. Day 13 met FOMO, the fear of missing out, in a running breakout; here it comes dressed as a date. On such days prices often swing both ways within minutes, spreads widen (Day 2), and the move is a reaction to news nobody could know in advance. A fisherman who stays ashore on a cyclone-warning day is not a coward; he wants to fish for many more years. Skipping a trade your rules block costs you no money, only a chance, while a 2R or 3R loss on a big day can wipe out weeks of careful trades.

One Budget day, both ways

ILLUSTRATIVE



Open = 100. Up 1.6% by 11:30, down 1.1% by 13:30, closed 0.4% lower. At 9:15 nobody knew the direction.

EXAMPLE

In this illustrative Budget day, NIFTY 50 was 1.6% above its open by 11:30, soon after the speech began. Two hours later it was 1.1% below the open, and it closed 0.4% lower. Anyone who chased the first surge and anyone who sold the later dip could both have been stopped out on the same day. Aman, who had taken the day off to trade it, spent that morning watching with a notebook instead, writing down how prices reacted. His journal entry: no-trade day, rule followed.

Remember: Skipping a blocked trade costs no money. A bad big day can cost weeks.

Words from today

Event

A scheduled moment when big new information reaches the market at once, such as results, an RBI policy decision or the Budget.

Event calendar

Your list of coming event dates, each checked on an official site, with your rule written next to it.

No-trade day

A day your written rules keep you out of a strategy. Staying out on it counts as adherence.

Board meeting notice

A company's advance notice, under NSE or BSE corporate announcements, of the meeting that approves its results.

Overnight event

News that arrives while the market is shut and often shows up as a gap at the next open.

Results season

The weeks after each quarter ends when companies publish results; board-meeting notices can appear any day.

Index rebalance

A change in the list of stocks in an index such as NIFTY 50, announced weeks ahead. Index funds buy the stock coming in and sell the one going out, usually near the close of the last day before the change, so that volume is mechanical, not a signal.

Expiry day

The day an F&O contract ends, set by the exchange (Day 18). The index can be jumpier that day. Stage 1 trades no F&O, so it is a note on your calendar, not a no-trade day.

Recap map

Recap

Why events matter

- Big news lands at once
- A gap can turn 1R into 2R
- Most dates are public early

Three places

- Stock: results, ex-dates
- India: RBI, Budget, holidays, expiry
- Index change: volume is mechanical
- World: Fed, US data, surprise news

Timing

- During hours: hurts ORB
- Overnight: hurts swing
- Confirm official times

Event calendar and no-trade days

Your rules

- Results in window: no new swing
- RBI or Budget day: no ORB
- Keep the list short
- Skipped by rule = adherence

Your calendar

- Official pages only
- AI drafts, you verify
- Refresh every Sunday

Your mind

- Big-day FOMO
- Skipping costs no money

Today's task

50 min

Build your first 30-day event calendar from official dates only, each with the rule you will follow, and turn one date into a Portfolio row.

- ☐ Open a new Google Sheet (or a notebook page) and copy the six column heads from the blank template below: Date, Event, Place and time, Strategy hit, My rule, Source checked. As you add each date in the next steps, write its rule from today's starter table straight away.
- ☐ On nseindia.com, add every trading holiday in your next 30 days from the holiday list, any special session (such as Muhurat trading) from NSE circulars, and the monthly NIFTY expiry date from the option chain's expiry list (Day 18), marked 'note only'.

- ☐ On rbi.org.in find this year's monetary policy meeting schedule, and on federalreserve.gov the Fed's meeting calendar; add each decision day in your 30 days (RBI: the meeting's last day; Fed: write the next Indian trading morning, when it shows up).
- ☐ For three stocks on your paper watchlist, search NSE or BSE corporate announcements and add any results board meeting or ex-date in the next 30 days (if nothing is announced yet, write 'none yet' and recheck on Sunday). Then open the latest NIFTY 50 change announcement on niftyindices.com and note whether any of them is joining or leaving.
- ☐ On the app's Portfolio page, fill one complete row for one of those three stocks, in virtual money only, with all seven parts from Day 12. Use its next results date as the review point (or 'next board-meeting notice' if none is out yet), and 'a results-day gap' as the top risk, with your written rule as the answer.
- ☐ Stretch, about 15 more minutes: run the AI Lab prompt 'Event calendar template' and compare any date or time the AI mentions with your sheet; mark every mismatch Kachra.

YOUR TEMPLATE

Priya's 30-day event calendar (model)

All dates and names are made up. Confirm every real date on the official page before you write it down.

Date	Event	Place, time	Strategy hit	My rule	Source checked
6th	RBI policy decision	India, ~10 am	ORB	No ORB today	RBI site, yes
7th (Fri)	US inflation data	World, evening: Mon 10th open	Swing	Note only; stops stay	bls.gov, yes
12th	Kiran Foods Ltd results	Stock, time not given	Both	No new swing entry; if holding, exit before the close on the 11th; no ORB in it on the 12th	NSE notice, yes
18th	Sharma Textiles Ltd ex-dividend, Rs 5	Stock, at the open	Swing	About Rs 5 drop = adjustment, not a signal	NSE actions, yes
19th	US Fed decision	World, night: 20th open	Swing	Note only; stops stay	Fed site, yes
21st (Fri)	Exchange holiday	India, 3 days shut	Swing	Note: a longer overnight	NSE list, yes
25th	NIFTY monthly F&O expiry	India, market hours	None: no F&O	Note only, no block	Option chain, yes

Date	Event	Place, time	Strategy hit	My rule	Source checked
27th	Last day before Desai Power Ltd joins NIFTY 50	Index, near the close	Swing	Note only: close volume is index funds, not a breakout	niftyindices.com, yes

Eight dates, but only two block a trade (the 6th and the 12th); the 18th is a reading rule and the rest are notes. Keep the list short enough to obey.

Your 30-day event calendar (template)

Copy it into a Google Sheet or your notebook. Tick 'Source checked' only after you have seen the date on the official page yourself. Refresh it every Sunday.

Date	Event	Place, time	Strategy hit	My rule	Source checked

OUTCOME

By the end you can explain why scheduled events cause gaps and sharp swings, sort any event by where it comes from and when it lands, write no-trade rules that fit each strategy, build a 30-day event calendar from official sources, and turn one date into a complete Portfolio row.

TOOLS

- NSE and BSE websites (nseindia.com, bseindia.com)
- NIFTY Indices website (niftyindices.com)
- RBI and US Fed websites (rbi.org.in, federalreserve.gov)
- Google Sheets or Google Calendar
- The app's Portfolio page
- Any AI chat

WITH YOUR BATCH

Calendar treasure hunt: set a 10-minute timer and find three dates on official pages: the next NSE market holiday, the next RBI policy decision, and one board meeting for a stock on your watchlist (or confirm that none is announced yet). Screenshot each source page. With classmates, compare answers; if two people found different dates, work out which page was right and why. Alone? Try to beat your own time next Sunday.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Stage 1 uses virtual money only. Company names, dates and chart prices are made up for illustration; confirm real event dates and times on the official NSE, BSE, NSE Indices, RBI, government, US Federal Reserve or US Bureau of Labor Statistics page. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Event calendar template

Build a blank 30-day event calendar template for an Indian beginner who paper-trades NSE cash stocks with two strategies: an EMA pullback swing strategy that holds positions overnight, and an optional opening range breakout that is intraday only. Use six columns: Date, Event, Place and time (my stock / Indian market / index / world; during market hours / overnight), Strategy affected (swing / ORB / both / none), My rule, Source checked (Y/N). Include example rows, with the date left blank, for these event types: company results and board meetings, dividend/bonus/split ex-dates, RBI monetary policy decisions, the Union Budget, exchange holidays and special sessions, F&O expiry days, NIFTY 50 index changes, US Federal Reserve decisions and US inflation and jobs reports. For each event type, name the official page where I can confirm the date, such as the NSE holiday list, the expiry list in the NSE option chain, NSE or BSE corporate announcements, NSE Indices press releases on niftyindices.com, the RBI press release, the official Union Budget announcement, the Federal Reserve's meeting calendar or the US Bureau of Labor Statistics release calendar. Mark expiry days and index-change days 'note only' unless I tell you otherwise. Do not fill in any dates yourself. If you mention a typical time of day, label it Guess and tell me where to confirm it. Do not recommend any stock, do not predict what any event will announce or how the market will move, and do not give buy or sell advice, targets or return expectations.

Event or noise?

I will paste up to 10 items I collected about the coming month: headlines, forwarded messages and my own notes. Before pasting, I will remove names, phone numbers, group names, links and any personal details. If an item tells me to buy or sell a stock, or gives a price target or a return, label it Kachra and do not discuss it as a trade. A dated company event, such as a results board meeting or an ex-date, is fine to sort. For each item, tell me: (1) is it a scheduled event with a date I can verify, or just noise; (2) place: one stock, the Indian market, or the world; (3) timing: during Indian market hours or overnight; (4) which kind of trade it matters for: an overnight swing trade, an intraday opening-range trade, or neither. Label every claim in your answer Fact (I can confirm it on an official site you name), Guess (plausible but unconfirmed) or Kachra (rumour, hype, or something nobody can know in advance, such as what a policy will announce). Do not predict outcomes or market direction, do not recommend any stock, and do not give buy or sell advice, targets or return expectations.

Big-day FOMO check

Act as a calm trading-psychology coach. Ask me 5 short questions, one at a time, about how I feel and behave on big market days such as Budget day, an RBI policy day or a results day for a stock I follow: what I watch, whom I listen to, and what I did the last time I felt I might miss out. After my answers, summarise in plain words where FOMO is pulling me, and help me write one short line for my Rule Card that says what I will do instead of trading on such days. Do not ask for any personal or financial details, do not predict any event or market move, and do not give buy or sell advice, targets or return expectations.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Which date on your new calendar pulls at you the most, and why? Write the exact rule you will follow that day, and count how many trading days your rules block in the next 30. Is that a list you will actually obey?

Write your answer here, then save it in the app's Journal tab.

Today you put the market's big days on paper before they arrived. Deciding calmly on a Sunday is what lets you stay calm on a Budget morning.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. Aman holds 250 shares of Bharat Pumps Ltd, bought at Rs 800 with a stop at Rs 760, so 1R = Rs 10,000. Results come out after the close, and the next morning the stock opens at Rs 680. His stop fills at the open. What did the trade lose?

- ☐ A 1.5R, about Rs 15,000
- ☐ B 1R, as his stop planned
- ☐ C 3R, about Rs 30,000
- ☐ D 2R, about Rs 20,000

Q2. On a day's leave from office, Aman paper-trades the optional ORB in a liquid cash stock. Today the RBI's policy decision is due at about 10 am, and his opening range forms from 9:15 to 9:30. What does a sensible no-trade list tell him?

- ☐ A Skip ORB today; the range forms before the news
- ☐ B Trade it; RBI moves only banks
- ☐ C Trade it, but only if the range breaks before 10 am
- ☐ D Trade it with a wider stop to ride out the swings

Q3. You hold a swing position overnight. Which event is most likely to hit it as a gap at the next open, rather than as sharp moves during market hours?

- ☐ A Results released at 1 pm, mid-session
- ☐ B A Budget speech that starts around 11 am
- ☐ C An RBI policy decision announced at about 10 am
- ☐ D A US Fed decision during the Indian night

Q4. An AI chat tells you that Kiran Foods Ltd will announce its results on the 14th. Before you mark a no-trade rule on that date, what should you do?

- ☐ A Ask the same AI again and trust a repeat answer
- ☐ B Accept it; the date is very specific
- ☐ C Look for the same date in a finfluencer's post
- ☐ D Check the board-meeting notice on NSE or BSE yourself

Q5. A year later, Aman again takes Budget day off to paper-trade ORB, but his calendar marks it as a no-trade day for ORB, so he stays out. By the close NIFTY 50 is up 1%. How should he log the day in his journal?

- ☐ A As a missed chance he should make up tomorrow
- ☐ B Not at all, since no trade means nothing to log
- ☐ C As a mistake, because his rule cost him a winner
- ☐ D As full adherence: he followed a written rule

Trading psychology and your Daily Routine Card

Concept: Seven biases that break rules, and a routine that catches them

AI Lab: End-of-day process review: AI checks the process, never picks trades

Mindset: The ego after a loss

I'll win it all back today

Thursday, 8 pm. Aman joins the class call with his paper-trading sheet open. The last two rows are deep red.



Aman

Sir, yesterday my Bharat Pumps trade hit its stop: minus Rs 10,000, exactly 1R, as planned. But it felt like the market had made a fool of me. So this morning, during a meeting, I bought two other stocks at double size to win it back. No setup. Both hit their stops by lunch.



Mentor

Today alone is -4R, twice your -2R daily stop. With yesterday, that is -5R, Rs 50,000 of virtual money: you have hit the weekly pause, and it is only Thursday. One question, Aman. After the first loss, were you following your card, or trying to prove the market wrong?



Aman

...Proving it wrong. It felt personal.



Priya

Sir, I did something similar, only smaller. My stop was about to be hit, so I moved it lower, just so I would not have to write a loss in my journal. Is that the same thing?



Mentor

Same root, different branch. A loss hurts our pride more than our pocket, so we try to erase it. Today we build a routine that catches you in that moment, because that is exactly when willpower leaves the room.

The lesson: A loss is the price of one trade, not a verdict on you. Build the routine on a calm day so it protects you on an angry one.

Learn

01 The ego after a loss: revenge trading

A loss costs money once and pride a second time, and the pride often hurts more. Ego here means the part of us that needs to be right. When a stop is hit (traders call this a stop-out), the ego wants a quick win to cancel the loss, so we take a revenge trade: a trade taken to win money back, not because a rule gave a setup. Revenge trades are usually bigger, faster and taken without a proper look at the chart, so they tend to lose more than a normal trade. The fix starts with language: say 'the trade lost 1R', not 'I lost'. And remember Day 14: a loss that followed every rule is a correct trade.

The revenge loop



Without a kill-switch, the fourth box leads straight back to the second. The -2R daily stop cuts the loop.

EXAMPLE

Replay Aman's two days with his card. His week began at 0R; the Gupta Cement gap from Day 19 came the week before. Yesterday's stop: -1R, Rs 10,000. Today there was no setup, so the card says no trade, and his week would stand at -1R. His ego's version: two trades at double size, -2R each, so $-1R - 2R - 2R = -5R$, Rs 50,000, the whole weekly pause reached by Thursday. The gap between the two versions, Rs 40,000, was not the market's doing; it was the ego's bill. A simple cooling-off rule after any stop-out: close the chart, fill the journal row with an emotion tag, and wait 10 minutes; after that, only a trade already on last night's plan card. (To keep the sums simple, R here is before Day 12's 0.1R cost allowance per trade.)

Remember: The market does not know you exist. A stop-out is a cost, not an insult.

02 FOMO and overtrading: your journal names the enemy

FOMO, the fear of missing out, is the pull to jump into a move that has already run, without your setup. It is like running after a Mumbai local that has left the platform: you might catch it, you might fall, and the next one comes in a few minutes. Overtrading means taking more trades than your rules produce, often out of boredom or the itch for action, like snacking when you are not hungry. Each extra trade pays costs and slippage (Day 2), and without an edge it drags your expectancy down (Day 3). You do not have to guess which enemy is yours. Since Day 12 your journal has tagged every trade with an emotion; add up the R for each tag and the enemy names itself.

Aman's R by emotion tag



20 hypothetical paper trades, count in brackets; R before the 0.1R cost allowance. Only the calm, on-rule trades added R.

EXAMPLE

Aman adds up his 20 paper trades since Day 12. Only 8 came from his rule card, tagged 'calm': +2.4R. The other 12 were 6 FOMO trades (-2.1R), 4 'bored' trades (-1.6R) and 2 'angry' trades, this morning's revenge pair (-4.0R), together -7.7R. His total is -5.3R, or -Rs 53,000 of virtual money, while the 8 rule trades alone show +2.4R. Twenty trades in under two weeks, on a swing plan that allows three open trades at a time, is itself a clue: his rule card produced only 8. FOMO is his most frequent enemy; anger is his most expensive, at -2.0R a trade.

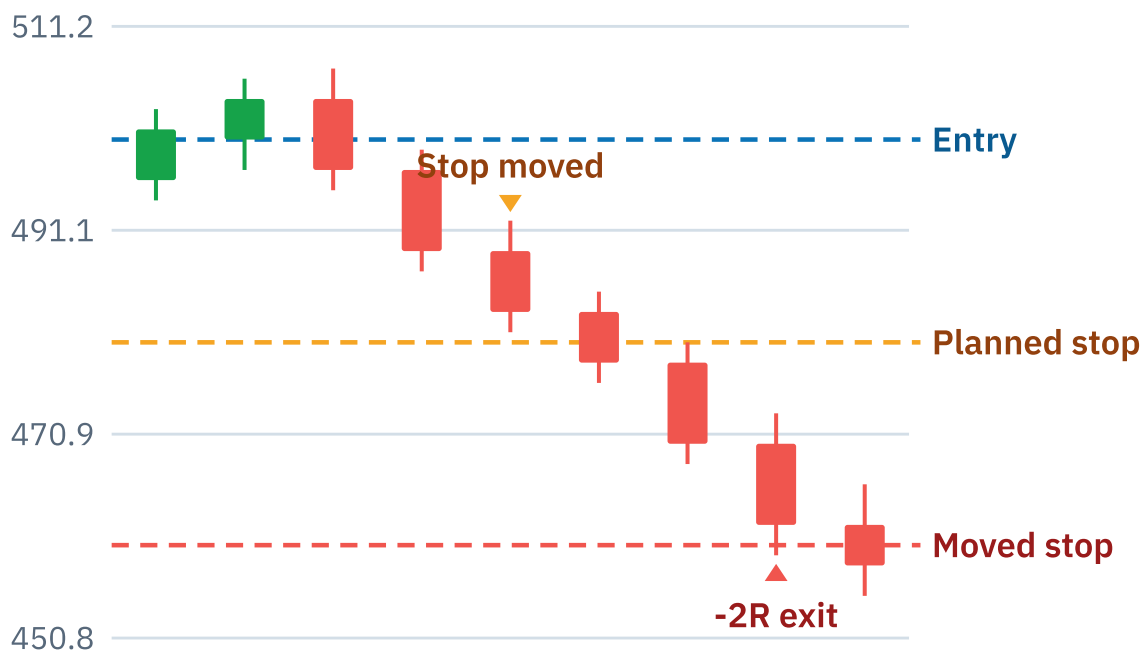
Remember: Your rules decide how many trades you take. Boredom and fear do not get a vote.

03 Four quiet biases that bend your rules

A bias is a built-in shortcut in thinking that pulls every human the same wrong way. Revenge, FOMO and overtrading are the loud traps; these four are quiet. Strictly, the loud three are habits driven by emotion and the quiet four are biases; for short, this lesson calls all seven biases. Loss aversion: studies of behaviour suggest a loss hurts roughly twice as much as an equal gain pleases, so we move stops to avoid booking one. Sunk cost: money already lost makes us hold on 'until it comes back', though the market does not know our buying price. Confirmation bias: after entering, we hunt for posts and videos that agree and skip the ones that do not. Recency: the last three trades feel like the whole truth, so we drop a rule after a short losing streak. Each bias needs a written answer on your card, decided while you are calm.

The stop that moved

ILLUSTRATIVE



Exiting at the planned stop near Rs 480 would have cost -1R. After the stop moved, the exit near Rs 460 cost -2R.

EXAMPLE

Loss aversion: Priya's paper trade in Desai Power Ltd, 500 shares at Rs 500 (her maximum planned entry was also Rs 500, so the 25% cap allowed exactly 500), stop Rs 480, so $1R = \text{Rs } 10,000$. At Rs 483 she moved the stop to Rs 460 'to give it room'; the price fell through Rs 480 and then Rs 460, so she lost $500 \times \text{Rs } 40 = \text{Rs } 20,000$, which is $2R$. Sunk cost: her paper trade in Sharma Textiles Ltd, 400 shares at Rs 600, stop Rs 575, reaches its 15-day time exit at Rs 580, down $400 \times \text{Rs } 20 = \text{Rs } 8,000$ ($0.8R$). Everything in her wants to hold 'until it gets back to 600'. Her card asks: 'If I did not own it, would I buy it today?' There is no setup, so she exits: $-0.8R$, rule followed. Confirmation: after chasing Kiran Foods Ltd, Aman saves three videos that praise it and scrolls past a company filing saying its biggest customer has cut orders. The card line that answers it: 'Each week, one view against every open trade, checked against its Why-stop.' Recency: at a 40% win-rate, any three trades all lose about 22% of the time ($0.6 \times 0.6 \times 0.6 = 0.216$), so a three-loss streak says very little about a rule on its own.

Remember: Once a trade is on, the stop stays where your plan card put it. Never move it down to dodge a loss.

04 The kill-switch for humans: design, not willpower

Day 9 gave you the kill-switch: stop for the day at $-2R$, and pause and review after $-5R$ in a week. Think of the MCB, the small circuit breaker in your home's switchboard: it trips before the wiring burns, and nobody argues with it. The trouble is that you must flip your own switch, at the very moment your judgement is weakest. So do not rely on willpower; design your day so that breaking the rule takes effort. Add one rule about your body too: no new trades when you are angry, unwell or short of sleep. A tired brain is a poor risk manager.

Willpower vs design

Willpower plan

- 'I'll be careful today'
- Limit decided in the moment
- App and tip groups one tap away
- Journal filled later, if at all

Design plan

- Daily stop in rupees, written before 9:15
- Alerts only at plan-card levels
- Apps hidden at work, no tip groups
- Journal row before every order
- A buddy who hears 'stopped'

Design, not willpower: build the day so that the right action is also the easy one.

EXAMPLE

On Rs 10 lakh of virtual capital, 1R = Rs 10,000, so Aman writes at the top of his card: 'Daily stop: -Rs 20,000. Weekly pause: -Rs 50,000.' Then he designs his day. The chart and paper-trading apps leave his phone's home screen during office hours, and he exits every tip group. Alerts are set only at the entry and stop levels from last night's plan card. He opens a journal row before every order, not after. And he and Priya text each other 'stopped for today' when the switch trips. None of this needs courage in the moment; it was all decided on a calm Sunday.

Remember: Discipline is not a feeling in the moment. It is a decision made earlier and written down.

05 The Daily Routine Card: four blocks, every day

The Daily Routine Card is one page, beside your screen or as a photo on your phone, that says what to do and when. It has four blocks. Before the bell, 10 minutes (say 8:45 to 8:55, before the 9:00 pre-open): check your Day 19 calendar for a no-trade day, read yesterday's journal line, write your daily stop, check your sleep and mood, and write 'Today's job: follow the card.' During market hours: alerts and your checklist only, no tip groups, no news debates. After the close, 20 minutes: fill the journal (no-trade days too), scan the finished daily candles (Day 16), write tomorrow's plan card for any setup, and run the end-of-day AI review. At the weekend, 30 minutes: review the week; a rule changes only then, in writing, and only after 30 logged trades (Day 12).

A day on the card

- 8:45 Before the bell**
Events, daily stop, mood, one line
- 9:15 Market hours**
Alerts and checklist only
- 2R Kill-switch**
If hit: screen off till tomorrow
- 15:30 After the close**
Journal, scan, plan card, AI review
- Sat Weekend review**
Five questions; rule changes only here, after 30 trades

Swing traders with a day job do the first block before work and the after-close block in the evening. The times are a template: fit them to your day.

EXAMPLE

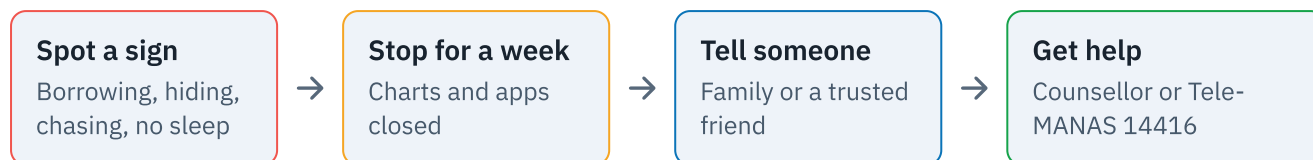
Priya's weekend block asks the same five questions every Saturday. Out of all my decisions, no-trade days included, how many kept every rule? Which emotion tag cost the most R? Did the daily stop or the weekly pause fire, and did I obey it? Which one habit do I fix next week? What did I do well? Her first card took 25 minutes to write. Now each block fits the time printed on it, and on a day with no setup the card still gets its tick: a no-trade day counts as following the rules. Her whole card, filled in, is in today's task, with a blank one for you.

Remember: Plan before the bell, follow the card during the session, review after the close.

06 Your protection checklist: guard the money and the mind

Your money needs five checks, all from Week 1. Verify any adviser or analyst on sebi.gov.in before you pay; pay only into an account in that registered name, checked on SEBI Check (Day 7); never share an OTP, TPIN or password; complain first at the broker's or adviser's own grievance desk, then on SCORES or SMART ODR; and report fraud at cybercrime.gov.in or on 1930. Your mind needs checks too, because trading can slide into gambling without anyone noticing. The warning signs are borrowing to trade, hiding losses from family, chasing losses, losing sleep over positions and trading in secret at work. If you see even one, stop trading for a week, tell someone you trust, and if it still feels heavy, talk to a counsellor or call Tele-MANAS, the government's free mental-health helpline, on 14416. Asking for help is a strong move, not a weak one.

If a warning sign shows up



Tele-MANAS: 14416, free, 24x7, in many Indian languages. Check the latest details at telemanas.mohfw.gov.in.

EXAMPLE

Aman looks honestly at his week: two trades placed in secret during office meetings, and a thought of taking a Rs 50,000 card loan 'to do it with real money and win it all back'. That makes three warning signs: chasing losses, trading in secret at work and planning to borrow. He stops paper trading for a full week, which also covers the -5R weekly pause he has already hit, tells Priya and his elder brother, and adds a line to his card: 'No trading money from loans or cards, ever.' Stage 1 runs on virtual money, which makes it the cheapest place to catch a habit like this.

Remember: Protect the money with checks and the mind with people. Neither has to be done alone.

Words from today

Revenge trade

A trade taken to win back a loss, not because a rule gave a setup. Usually bigger and hastier than normal.

FOMO

Fear of missing out: jumping into a move that has already run, without your setup.

Loss aversion

A loss hurts more than an equal gain pleases, so we avoid booking losses, for example by moving a stop.

Sunk cost

Money already lost. It should not decide today's choice, because the market does not know your buying price.

Confirmation bias

Looking only for views that agree with a trade you have already taken.

Recency bias

Giving the last few trades too much weight, such as dropping a rule after three losses.

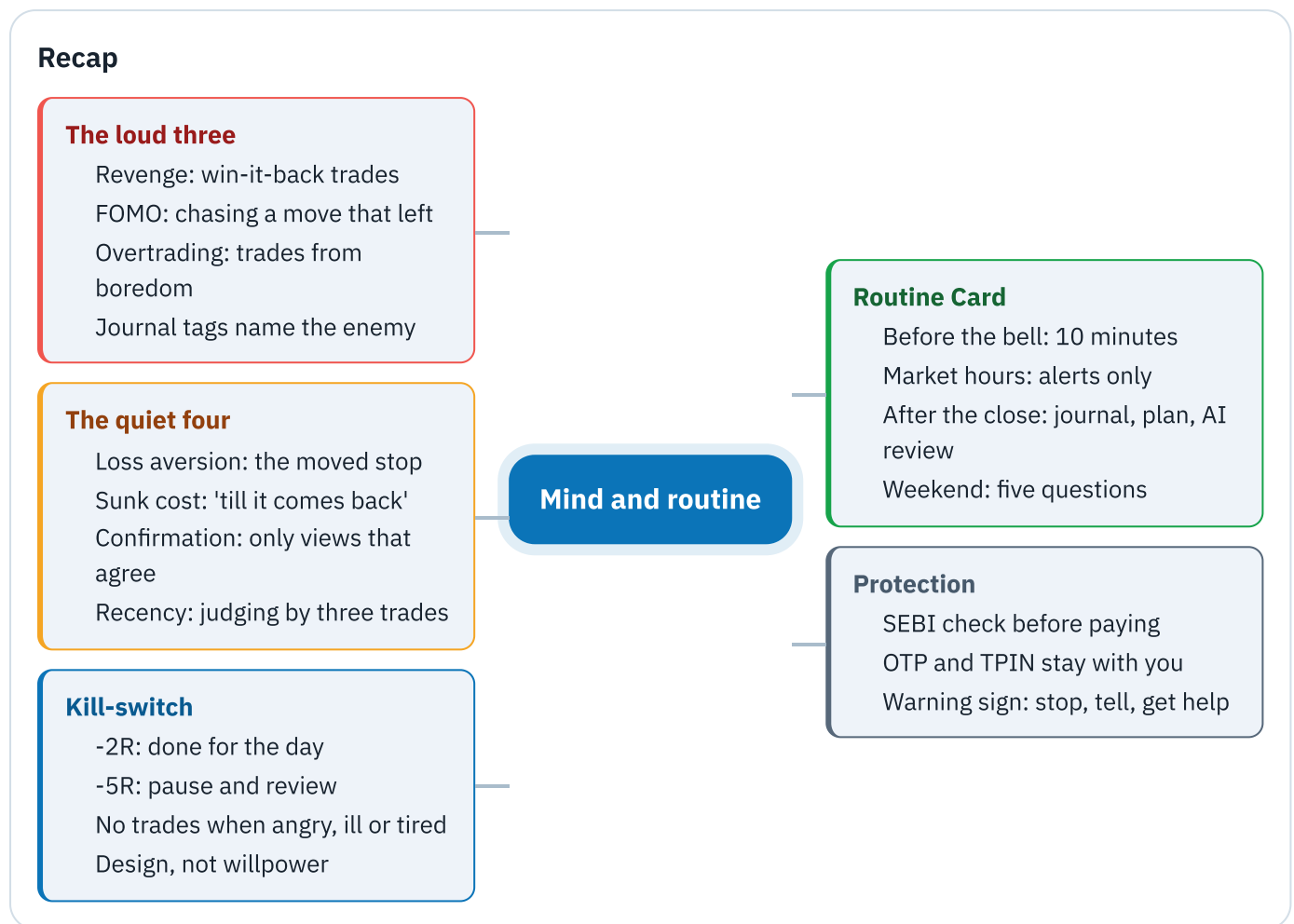
Daily Routine Card

One page that says what to do and when: your kill-switch at the top, four timed blocks, a written answer to each of the seven biases, and your protection checklist.

Kill-switch for humans

Your written stop for the day (-2R) and pause for the week (-5R), in rupees, decided on a calm day so that you never have to decide it in the heat of a loss.

Recap map



Today's task

40 min

Build your Daily Routine Card: find your costliest emotion, set the kill-switch in rupees, answer all seven biases and add your protection checklist.

- ☐ Open your Day 12 journal sheet in Google Sheets. For each emotion tag since Day 12, add up the R and count the trades, then divide to get R per trade. Highlight the tag that cost the most R per trade.
- ☐ Copy the blank Daily Routine Card from today's task onto one page or a Google Sheet, and fill the four blocks with your own times: before the bell, market hours, after the close and the weekend.
- ☐ At the top, write your kill-switch in rupees and R: on Rs 10 lakh, daily stop -Rs 20,000 (-2R) and weekly pause -Rs 50,000 (-5R), plus the body rule: no new trades when angry, unwell or short of sleep.
- ☐ Under it, write a one-line answer to each of the seven in your own words, for example 'After any stop-out, chart closed for 10 minutes' (revenge), 'No setup, no trade' (FOMO, overtrading), 'My buying price is not a level' (sunk cost) and 'I judge a rule only after 30 trades' (recency). Priya's card shows all seven.
- ☐ At the bottom, copy the five money checks and the warning signs from Priya's card, with Tele-MANAS 14416 beside them.
- ☐ Run the AI Lab prompt 'End-of-day process review' on this week's journal rows: now if the market has closed, otherwise this evening after 3:30 pm. Paste only the ten journal columns, never names, account numbers or personal details.

YOUR TEMPLATE

Priya's Daily Routine Card: her day (model)

On Rs 10 lakh of virtual capital, 1R = Rs 10,000. Priya's office hours rule out live ORB, so her card is built for swing trading, with the after-close block at 7 pm.

Part	When	What she does
Daily stop	-2R	At -Rs 20,000: screen off till tomorrow
Weekly pause	-5R	At -Rs 50,000: no new trades; review at the weekend
Body rule	Every morning	Angry, unwell or short of sleep: no new trades today
Before the bell	8:45-8:55	Day 19 calendar: no-trade day? Yesterday's journal line. Daily stop in rupees. Sleep and mood. 'Today's job: follow the card.'
Market hours	9:15-15:30	Alerts at plan-card levels and the checklist only. No tip groups, no news debates.
After the close	19:00-19:20	Journal row (no-trade days too), daily-close scan, tomorrow's plan card, end-of-day AI review
Weekend	Saturday, 30 min	Five questions. A rule changes only here, in writing, after 30 trades.

Priya's card: seven answers and her protection checklist (model)

Write the seven answers in your own words. The five money checks and the warning signs are the same for everyone: copy them as they are.

Guard against	Her card line
Revenge	After any stop-out: chart closed, journal row filled, 10-minute wait; then only a trade already on last night's plan card
FOMO	No setup, no trade. A missed move goes in the journal, not into an order.
Overtrading	Trades come only from the evening scan and the plan card; never more than 3 open
Loss aversion	My stop stays where my plan card put it
Sunk cost	My buying price is not a level. At the time exit I ask: would I buy it today?
Confirmation	Each week, one view against every open trade, checked against its Why-stop
Recency	I judge a rule only after 30 trades

Guard against	Her card line
Money: fake adviser	Verify any adviser or analyst on sebi.gov.in before paying
Money: wrong payee	Pay only into an account in the registered name, checked on SEBI Check
Money: account takeover	OTP, TPIN and passwords never leave me
Money: a dispute	Grievance desk first, then SCORES, then SMART ODR
Money: fraud	Report at cybercrime.gov.in or call 1930 at once
Mind: warning signs	Borrowing, hiding losses, chasing, lost sleep, secret trading: stop a week, tell someone, Tele-MANAS 14416

Your Daily Routine Card (template)

Fill every row in your own words, with your own times for the four blocks. Print it or keep a photo beside your chart, and add the money checks and warning signs from Priya's card at the bottom.

Part	My line, with the time
Daily stop	
Weekly pause	
Body rule	
Before the bell	
Market hours	
After the close	
Weekend	
Revenge	
FOMO	
Overtrading	
Loss aversion	
Sunk cost	
Confirmation	

Part	My line, with the time
Recency	

OUTCOME

By the end you can name seven biases that break trading rules and write an answer to each, find your costliest emotion in your journal, set a kill-switch that is hard to break, run a four-block Daily Routine Card, and spot the warning signs that trading is turning into gambling.

TOOLS

- Your Day 12 journal sheet (Google Sheets)
- Paper or Google Sheets for the card
- Any AI chat
- SEBI website (sebi.gov.in) and Tele-MANAS (14416)

WITH YOUR BATCH

'Which bias is this?' Write these eight trader confessions on chits. 1: 'I moved my stop just this once, to give it room.' 2: 'I lost 1R this morning, so I doubled my size to win it back before lunch.' 3: 'Everyone in the group was buying, so I jumped in at 11 without a setup.' 4: 'The market was slow, so I took three small trades just to feel involved.' 5: 'I am not selling until it gets back to my buying price.' 6: 'I only watch channels that like my stock; the negative ones are just jealous.' 7: 'Three losses in a row, so this strategy is useless; I am switching tomorrow.' 8: 'I will take a small card loan and win it all back with real money.' With classmates or family, take turns reading one aloud; the others name the bias and the card line that answers it. Chit 8 is not a bias but a warning sign: its answer is to stop for a week, tell someone and, if it feels heavy, call Tele-MANAS on 14416. Alone? Sort the chits, write the answer on the back of each, then check yourself against Priya's card.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice and not counselling. Company names, prices and paper results in this lesson are made up for illustration; paper results are hypothetical, and past performance is not indicative of future results. For mental-health support, call Tele-MANAS on 14416. Stage 1 uses virtual money only. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

End-of-day process review

You are my end-of-day process reviewer, not a market analyst. I paper-trade with virtual money. I will paste this week's journal rows with these ten columns: Date, Stock, Setup, Entry, Stop, Qty, Exit, R result, Rule broken?, Emotion (one of calm, FOMO, fear, bored, angry, overconfident). My kill-switch: daily stop at -2R, weekly pause at -5R. Reply in exactly five short lines: (1) rules followed vs broken, as a count; (2) the emotion tag most linked to a broken rule; (3) whether the daily stop or the weekly pause should have fired, and after which row; (4) one specific behaviour to change tomorrow; (5) one thing I did well. Label each line Fact (read directly from my rows) or Guess (your inference). If a field is missing, ask me instead of assuming. Do not comment on rupee profit or loss, do not suggest any stock, trade, entry, target or expected return for tomorrow, and do not give buy or sell advice. I will not paste names, account numbers or other personal details, so do not ask for them.

Which bias is this?

Act as a calm trading-psychology coach for an Indian beginner who paper-trades with virtual money. Give me 8 short, made-up trader confessions, one at a time, for example 'I moved my stop lower just this once'. After each one, wait for my answer on which bias it shows: revenge trading, FOMO, overtrading, loss aversion, sunk cost, confirmation bias or recency bias. Then tell me whether I was right, explain in two simple sentences, and suggest one written rule that would prevent it. At the end, list the biases I missed most often. Use only made-up company names. Do not ask for personal or financial details, and do not give buy or sell advice, targets or return expectations.

Stress-test my Routine Card

Here is my Daily Routine Card for paper trading with virtual money: <paste your card>. Act as a strict but kind reviewer. For each block (before the bell, market hours, after the close, weekend), point out any step that is vague, depends on willpower instead of design, or would be easy to skip on a bad day, and suggest a more concrete version. Check that my kill-switch is written in both rupees and R, that I have a rule against trading when angry, unwell or short of sleep, and that my protection checklist and warning signs are included. Label each point Fact (it is in my card, or clearly missing from it) or Guess (your assumption about my habits). If my card contains a belief that sounds like a myth, such as 'I will stop when I feel it is enough', label it Kachra and explain why. Do not suggest any stock, trade idea, target or expected return, and do not give buy or sell advice.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Recall your worst trading moment so far, on paper or real. What did your ego say just before it, in its exact words? Which line on your new card would have stopped you? And did you notice any warning sign in yourself this week?

Write your answer here, then save it in the app's Journal tab.

You wrote this card on a calm day. On an angry day, it will remember your rules for you.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. A classmate's journal since Day 12: 10 calm trades made +3.0R, 6 FOMO trades lost 2.4R, and 2 'angry' trades, both revenge trades, lost 3.0R. Which statement is correct?

- ☐ A Revenge costs the most per trade: -1.5R each
- ☐ B The total is +0.6R, so the tags do not matter
- ☐ C Dropping the FOMO trades alone would give +0.6R
- ☐ D FOMO costs the most per trade: -0.4R each

Q2. A classmate buys 400 shares at Rs 300 with a stop at Rs 275, so 1R = Rs 10,000. Near Rs 276 he moves the stop down to Rs 250, and the trade later exits there. What did moving the stop cost him?

- ☐ A An extra Rs 20,000: the loss became 3R
- ☐ B Nothing extra: a stop-out is 1R either way
- ☐ C An extra Rs 5,000: the loss became 1.5R
- ☐ D An extra Rs 10,000: the loss became 2R

Q3. Assume each trade of a rule has about a 40% chance of winning. The rule has just lost three trades in a row, and Aman wants to drop it. What does the maths say?

- ☐ A Broken: a 40% rule should never lose three in a row
- ☐ B Very rare: below a 5% chance for three in a row
- ☐ C A win is now due, because the streak has to end
- ☐ D Normal: about a 22% chance of three losses in a row

Q4. Aman keeps breaking his -2R daily stop. Which change is the best example of 'design, not willpower'?

- ☐ A Raising the daily stop to -3R so it trips less often
- ☐ B Promising himself firmly to be more careful tomorrow
- ☐ C Watching the screen longer so he can react faster
- ☐ D Writing the limit before 9:15 and texting a buddy

Q5. A friend tells Priya about his month. Which one is a warning sign that trading is turning into gambling, and calls for stopping and telling someone?

- ☐ A Losing three trades in a row on his written rule
- ☐ B Feeling annoyed for an evening after a stop-out
- ☐ C Taking no trades for a week as no setup appeared
- ☐ D Borrowing on a credit card to win back his losses

Finale: Week 3 review, your certificate and the road to Stage 2

Concept: Week 3 as one system, process-based results, certificate criteria and the road to Stage 2

AI Lab: Final journal review: AI counts, you choose the habits

Mindset: Finish-line overconfidence

Course over, so I'm ready?

Sunday evening, the last weekend call of Stage 1. Aman joins late, reading something on his phone.



Tip-wala

Congratulations on finishing your course! Now let our AI algo trade options for you. Just share your login ID and one OTP. 5% every month, assured. Zero effort. Only 10 seats left.



Aman

Sir, the course ends today and the certificate comes on its own. Ten days of paper trading is enough, right? This algo could run while I sit in office.



Priya

Sir, my backtest has 30 trades and my paper log has only 7. What does the certificate actually allow us to do?



Mentor

Good questions, both of you. Aman, on Day 16, what did a legal algo need: which broker, which Algo-ID? This message names neither, and it wants your OTP. Would you hand a stranger your house keys because he congratulated you?



Mentor

Today we look back at Week 3, read what your certificate really means, write down the conditions that must be met before anyone thinks of real money, and see where Stage 2 takes each skill next. Finishing is one thing. Being ready is another.

The lesson: A certificate says you finished learning the basics. Readiness shows slowly, in a routine you keep.

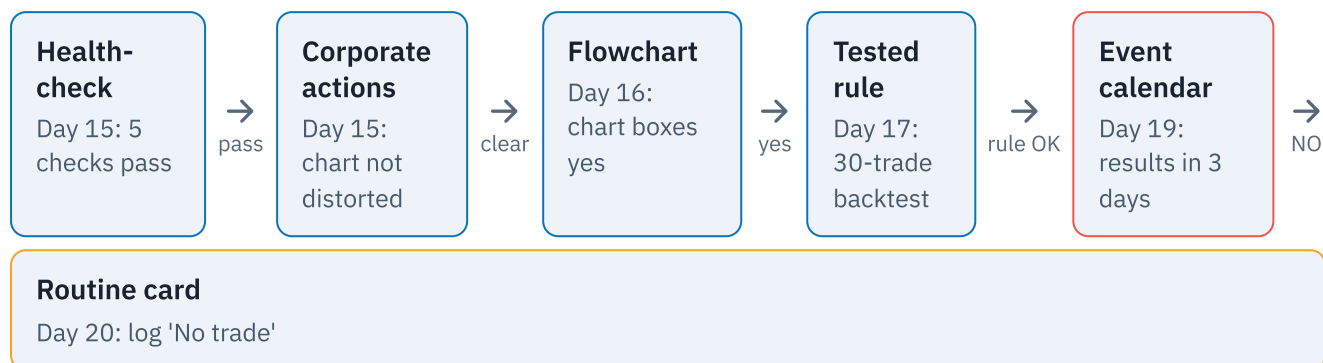
Learn

01 Week 3 in one evening

Week 3 turned your rules into a system. Day 15 gave you a five-check health filter and showed how corporate actions, such as a dividend, bonus or split, change the price on the ex-date. Day 16 turned your rule card into a yes/no flowchart, with alerts that only say 'look now'. Day 17 tested the rule by hand over 30 trades, in R,

after costs. Day 18 explained F&O, but the gate stays shut: samjho, khelo mat. Day 19 marked the days you stay out, and Day 20 put everything on one Daily Routine Card, with a kill-switch after -2R in a day. Quiz Game 3 and the final exam check what you learned.

Week 3 in one evening



One NO anywhere ends the chain. A valid setup, correctly skipped, counts as a rule followed.

EXAMPLE

7 pm, after the close. Priya's screener lists Kiran Foods Ltd. It passes all five health checks, and its corporate actions page shows no bonus or split that could fake a move on her chart. Flowchart: EMA 20 is above a rising EMA 50; the close of Rs 470 is above EMA 20 at Rs 464 and within 2% of it; RSI 14 reads 46; it has beaten NIFTY 50 over 3 months; and today it closed above yesterday's high. Every chart box says yes, and the rule has her hand-made 30-trade backtest behind it. Then the calendar: quarterly results are due in 3 trading days, so box 2, the results gate from her Day 11 card, says no: no new swing entry when results fall inside the next 15 trading days. She writes 'Valid setup, skipped: results rule' in her journal and closes the laptop at 7:20.

Remember: A system is every rule together. One NO from any rule, from any week, means no trade.

02 Shortcut Trap #3: 'we trade for you'

When a course ends, a new kind of offer arrives. Copy-trading means your account automatically copies someone else's trades; 'account handling' means a stranger trades in your account; a 'fully automatic' algo runs there for a fee or a profit share. The ask is nearly always the same: your login ID and password, an OTP 'just once', or the TPIN that approves selling shares from your demat. Whoever holds these can place any order in your name, and every loss stays yours. Test the offer with Day 16's road rules: a legal algo runs through your broker with an exchange Algo-ID, algo sellers must be empanelled (approved and listed) by an exchange, and black-box sellers must also be SEBI-registered Research Analysts. Registered advisers and analysts may not promise returns, so a fixed monthly figure is itself a red flag. These rules can change, so check sebi.gov.in and nseindia.com.

The offer vs your checks

The offer says

- Share your login and OTP once
- 5% every month, no bad month
- Secret algo, no broker named
- Pay the profit share to a person

What you check

- No genuine firm asks you to share an OTP or TPIN
- Registered advisers and analysts may not promise returns
- Legal algo: broker, Algo-ID, empanelment
- Fees go only to an account in the registered name

One failed check is enough to say no. Stage 1 places no automated orders at all.

EXAMPLE

Take the message in Aman's story. '5% a month' sounds modest, but compounded over a year it is twelve 1.05s multiplied together, about 1.80: roughly 80% a year, with no losing month. Priya's honest 30-trade backtest on Day 17 had a drawdown of 6.23R inside it; a record with no bad month is the Day 14 brochure again. And the login and OTP would let a stranger trade options in Aman's account, while Stage 1 places no F&O trades, not even on paper. Aman shares nothing, keeps a screenshot, blocks the number and reports the message at cybercrime.gov.in; had any money gone, he would also call 1930 at once.

Remember: Your login, OTP and TPIN never leave you. Anyone who needs them to 'help' you is the trap.

03 Your challenge result is a process score

Since Day 12 your paper account has gone up or down. The challenge ignores that number on purpose. In about ten days you have logged perhaps 5 to 20 paper trades, below the 30 needed even to judge a rule, so profit or loss over so few trades is mostly luck. Your challenge score, out of 1,000 points, comes only from what you control: attendance, quizzes, exams, practice work graded by your mentor, and discipline, such as on-time weekly reviews and honest mistake logs. The split is attendance 200, quizzes 200, exams 250, practice work 250 and discipline 100. Paper profit earns zero points. For your own review, use the adherence score from Day 12: decisions that followed your written rules, divided by all decisions, where a setup skipped by a written rule, or a no-setup day spent out, counts as one decision followed.

Priya's adherence score

	Trades that followed every rule	4
+	Times correctly stayed out	8
=	Decisions on-rule	12
÷	All decisions: 7 trades + 8 stay-outs	15
=	Adherence score	80%

Aman's adherence was 48%, and his 12 rule-breaking trades lost 7.7R. Adherence is the one number in your hands every day.

EXAMPLE

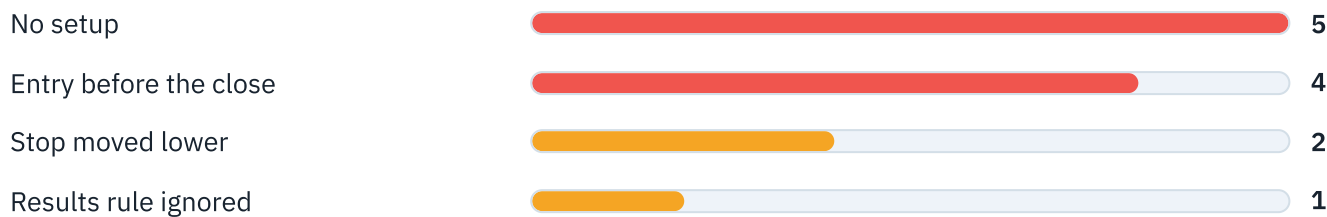
Aman's sheet since Day 12, the same one he added up on Day 20: 20 paper trades, 12 of which broke a rule, and 3 times he correctly stayed out (two no-setup days, and one setup he skipped because it gapped past his maximum entry). 11 of his 23 decisions followed his rules (8 on-rule trades + 3 stay-outs), an adherence of about 48%, and his virtual account is down Rs 53,000. Priya took 7 trades and is down Rs 6,000. Three of them broke a rule (once an entry a day before the signal, once a size above the formula from a rounding slip, and once a stop moved lower), and 8 times she correctly stayed out: 12 of 15, 80%. Aman's 8 on-rule trades made +2.4R; his 12 broken ones lost 7.7R. Had those broken trades happened to win, he would have learned the wrong lesson: a rule-breaking win is the most dangerous habit to reward.

Remember: Profit over a few paper trades is mostly noise. Adherence is the number you can improve every single day.

04 From journal to five habits

Your journal now holds every paper decision since Day 12, with its emotion tag and any broken rule. Read it like a coach, not a judge: count how often each rule broke, not how much money moved. Pick out your top 3 mistakes with their counts, your top 3 strengths, and the one emotion that sits most often next to a broken rule. Then write 5 habits for the next 4 weeks, each an action you control ('the stop goes in with the order'), never a money goal. This is your improvement plan. Put a check-in date in your calendar and, if you can, share the plan with one study partner. An AI can do the counting once names and personal details are removed; checking its counts and choosing the habits stay with you.

Aman's 12 rule breaks, by type



12 of his 20 paper trades broke a rule, and FOMO sat next to 6 of the 12. Count breaks, not rupees: the tallest bar is next month's first habit.

EXAMPLE

Aman's counts: 12 of his 20 trades broke a rule. Five had no setup, and four of those were also above the formula size: his two early Kiran Foods chases and Thursday's revenge pair. Four entries came before the daily close confirmed the signal. He moved the stop lower twice, and ignored his results rule once. His strengths: never more than 3 open trades, a journal row every day, and an honest emotion tag on every row. The tag 'FOMO' sits next to 6 of his 12 breaks. His five habits: the stop goes in with the order and never moves lower; he decides only after 3:30 pm; no setup on the screener means no trade; when he feels FOMO, he writes the idea down and waits for the evening scan; and a 20-minute review every Sunday. His check-in is 4 weeks from today, with Priya as his study partner.

Remember: Write habits, not money goals. A habit you can tick every day beats a target you cannot control.

05 The certificate: six checks, no profit test

Your certificate is issued automatically once six checks are met, and the certificate page shows a tick against each. One: at least 90% of sessions complete, which is 19 of 21; a session counts once its quiz is submitted and its journal entry is written. Two: the final exam passed with 60% or more (18 of 30); it has 30 questions and 60 minutes. If the first attempt falls short you get one more. Only 26 or more out of 30 on the first attempt earns a Distinction. Three: all three weekly Quiz Games attempted (the certificate page calls them weekly exams). Four: the practice artefact ladder, five complete rows on the Portfolio page, the seven-part row you met on Day 12, each graded C or better on process by your mentor (on the page: Practice tasks graded C or better). Five: a weekly review written for at least 2 of the 3 weeks, by choosing 'Weekly review' in the journal on Day 7, 14 or 21. Six: an account in good standing. Missed a Portfolio row or a weekly review? You can still add them now. Open Day 7 or 14 from your Path and write the review there, or add rows on the Portfolio page. Take the next 7 days as your catch-up window; the certificate issues on its own as soon as the last check turns green.

Six checks for the certificate

- 19/21 Sessions complete**
Quiz submitted, journal written
- 60%+ Final exam passed**
30 questions, 60 minutes
- 3/3 Quiz Games attempted**
One for each week
- 5 rows Practice ladder**
Graded C or better
- 2/3 Weekly reviews**
Day 7, 14 or 21
- OK Good standing**
Not suspended

Your certificate page shows the same six checks. None of them asks for profit.

EXAMPLE

A complete Portfolio row, in virtual money only, has seven parts. Here is Priya's row on Kiran Foods Ltd, the stock she skipped this evening. Full Why 1, the business: it passed all five Day 15 health checks. Full Why 2, a second reason that does not lean on the first: every chart box (3 to 5) of her Day 16 flowchart said yes, including beating NIFTY 50 over 3 months. Top risk: results are due in 3 trading days, and a results gap can turn 1R into 2R. Her answer: no entry until the results are out (her Day 11 card). Price-stop: Rs 452, which is 1.5 x an ATR of Rs 12 below the Rs 470 close. Why-stop: 'sales fall two quarters in a row'. Review point: the evening after the results, when she re-runs the health card and the flowchart. Two independent Whys, a stop for the price and one for the idea: that is what earns an A, and today's task shows the grading guide. The certificate itself carries a number and a QR code that opens a public verify page. It certifies that you completed a course. It is not a SEBI or NISM certification, not a licence to advise, and not a signal that you are ready for real money.

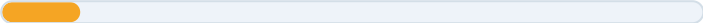
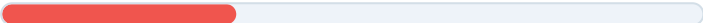
Remember: The certificate shows you finished the course. Only your journal can show how you trade.

06 Before real money: the 'not yet' list, and Stage 2

Finishing Stage 1 means you have learned the basics. It does not mean you are ready to risk real money, and no certificate, course or AI can tell you that you are. Before anyone should even consider it, a few conditions must be met. The Daily Routine Card has run for at least four more weeks of paper trading. About 100 trades are logged, backtest and paper together, on the same frozen rules, across up, down and sideways markets. Adherence stays high on losing days too. An emergency fund of 3 to 6 months of essential expenses is in place (Day 10), and only risk capital would ever be used, money you could lose without hurting your household; never borrowed money. F&O stays shut: samjho, khelo mat. Stage 2 explains it, but no mentor,

course or AI will tell you when to start trading it. Stage 2, CIRCLE W.I.N.N.E.R.S, is the next stage of the 5 Circles Academy, and it does not repeat these 21 days. Where a chapter touches a Stage 1 topic, it opens with a short recap that names the day, then goes deeper: candles measured in numbers, full financial statements, options and futures explained step by step, risk and psychology in depth. Every chapter ends with an AI Lab of about six prompts, one of them at algo level, and AI stays the analyst while you stay the trigger. Bring your journal, event calendar and Routine Card with you; Stage 2 does not teach them again. Your mentor opens it once Stage 1 is complete, and today's skill map shows which chapter picks up each Stage 1 skill.

Gain needed to repair a loss

After -10%		+11%
After -25%		+33%
After -50%		+100%

The deeper the fall, the steeper the climb back. Waiting on paper costs far less.

EXAMPLE

Say Aman ignores the list, puts Rs 2,00,000 of real money behind rules he is still changing, and a bad month takes 25%, leaving Rs 1,50,000. To get back to Rs 2,00,000 he now needs Rs 50,000, which is 33% of what is left, not 25%. Four more weeks on paper would have cost him nothing but patience. This is Day 3's loss-recovery maths, and it is why 'not yet' is often the wisest answer.

Remember: 'Not yet' is a complete answer. Routine, sample size and savings come before any real rupee.

Words from today

Adherence score

Decisions that followed your written rules divided by all decisions. A setup skipped by a written rule, or a no-setup day spent out, counts as a decision followed.

Copy-trading and account handling

Offers to copy someone's trades into your account, or to trade it for you. Many ask for your login or OTP, and whoever trades, every loss stays yours.

Practice artefact ladder

Five complete seven-part rows on the Portfolio page (Day 12), each graded on process by your mentor. C or better on all five is one certificate check.

Improvement plan

Five habits for the next four weeks, built from your journal's counts, with a check-in date.

Certificate of Completion

Proof that you completed the course, with a number and a QR code to verify it. Not a SEBI or NISM certification, not a licence, not a readiness signal.

Challenge score

Your Stage 1 score out of 1,000: attendance 200, quizzes 200, exams 250, practice work 250, discipline 100. Paper profit earns zero points.

Full Why

One complete, checkable reason in a Portfolio row. Every row needs two that do not lean on each other, such as a health-card result and a trend signal. A tip is never a Full Why.

Why-stop

The line that says 'the idea is wrong if...', such as 'sales fall two quarters in a row'. It ends the idea even when the price-stop has not been hit.

Recap map

Recap

Week 3 system

Health-check and ex-dates
Flowchart; alerts only say 'look'
30-trade backtest in net R
Calendar, routine card, -2R stop

Shortcut Trap #3

Never share login, OTP, TPIN
Legal algo: broker plus Algo-ID
Monthly-return promise = red flag

Process score

Paper profit earns 0 points
No-trade days count
5 habits, one check-in date

The finish line is a start line

Certificate

Six checks, none about profit
5 Portfolio rows, C or better
Not SEBI/NISM, not a licence
Missed one? 7-day catch-up

Not yet

4 more weeks of routine
About 100 trades, same rules
Emergency fund; never borrowed money
F&O: samjho, khelo mat

Next step

Stage 2: CIRCLE
W.I.N.N.E.R.S
A short recap, then deeper
An AI Lab in every chapter
Your mentor opens it after Stage 1

Today's task

60 min

Close Stage 1 properly: review your journal since Day 12 with AI, write five habits with a check-in date, check the six certificate checks and add a Portfolio row if you need one, then take Quiz Game 3 and the final exam.

- ☐ Copy your journal entries since Day 12 into one note, and delete every personal name, PAN, client ID and account detail.
- ☐ Run the AI Lab prompt 'Final journal review' on that note, and tick each count only after checking it against your journal.

- ☐ In today's journal, choose 'Weekly review' and write your Week 3 review: start with the 'Your four numbers' card from your Day 17 backtest (win-rate, expectancy, maximum drawdown, longest losing streak; if the test is not finished, write how many of the 30 trades are done), end with your five habits, and set a phone reminder four weeks from today called 'Check my five habits'.
- ☐ Open the certificate page and write down each check that is still open, with the one action it needs. If your Day 7 or Day 14 weekly review is missing, open that day from your Path, choose 'Weekly review' and write it now; you have a 7-day catch-up window for anything still open.
- ☐ Open the Portfolio page and count the rows marked Complete; the certificate needs five, each with all seven parts. Check one of your rows against Priya's model row and the grading guide in today's task and fix its weakest part. If you have fewer than five, fill one more now, in virtual money only, and add the rest within the catch-up window; your mentor grades each one.
- ☐ Submit today's quiz first, so all 21 days are complete. Then take Quiz Game 3 (15 questions, 30 minutes), take a break, and sit the final exam (30 questions, 60 minutes) when you are fresh, today or tomorrow. None of these is part of the minutes above.

YOUR TEMPLATE

Priya's Portfolio row: Kiran Foods Ltd (model)

Virtual money only; the company and prices are made up. A row is a plan and a reason, never a tip: do not share it as one.

Part	Priya's entry
Full Why 1 (business)	Passed all five Day 15 health checks: sales up over three years, margin steady, D/E below 1, no pledge, cash close to profit
Full Why 2 (independent)	Every Day 16 chart box (3 to 5) says yes: EMA 20 above a rising EMA 50, close above yesterday's high, beat NIFTY 50 over 3 months
Top risk	Results in 3 trading days: a gap can turn 1R into 2R
Her answer	No entry until results are out (Day 11 card); logged 'Skipped: results rule'
Price-stop	Rs 452: 1.5 x an ATR of Rs 12 below the Rs 470 close
Why-stop	Sales fall two quarters in a row
Review point	The evening after results: re-run the health card and the flowchart

How a row is graded: A, C and D

B sits between A and C. A row graded D or below does not count yet: fix the weak part and ask your mentor to

grade it again. Profit never changes a grade.

Grade	What the row shows	The two Whys, for example
A	All seven parts. Two specific Whys that do not lean on each other, a price-stop in rupees, a testable Why-stop, and a review date or trigger.	'Health card 5/5' and 'chart boxes all yes, beat NIFTY 50'
C	All seven parts filled, but one is vague: Why 2 repeats Why 1, the Why-stop cannot be tested, or the review point just says 'later'.	'Health card 5/5' and 'good company'
D	A part is missing or copied, a tip or 'everyone is buying' is used as a Why, or there is no Why-stop.	'A friend's tip' and 'it will rise after results'

From Stage 1 to Stage 2: your skill map

Stage 2 opens each chapter with a short recap of the Stage 1 day and then goes deeper, so nothing here is taught twice. Your mentor opens Stage 2 once Stage 1 is complete.

Stage 1 gave you	Stage 2 chapter	What is new there
Market basics, orders, costs, tax heads (Days 1-2)	Ch1 Paisa & Economy; Ch2 Markets & Taxation	How money and the economy move markets; tax in depth, with dated figures to check
Candles and volume (Days 5-6)	Ch3 Candles by Numbers; Ch4 Candlestick Patterns	Candles measured: body and wick %, size in ATR, relative volume; patterns tested by rule
Trend, support, resistance, gaps (Day 6)	Ch5 Chart Patterns; Ch6 Elliott Wave & Harmonics	Bigger chart shapes and wave counts, with written rules for when they fail
Health check, corporate actions (Day 15)	Ch7 Stock Investing; Ch8 Reading the Numbers	Full financial statements, well beyond five checks
F&O basics: samjho, khelo mat (Day 18)	Ch9 Basic Options to Ch12 Futures in Practice	Expiry mechanics, Greeks, strategies, futures: explained in depth, never as a call to trade
Risk, sizing, psychology (Days 3, 9, 20)	Ch13 Risk Management & Trading Psychology	Deeper risk and mind work, building on your 1% starter rule
AI co-pilot, flowchart, hand backtest (Days 4, 16, 17)	The AI Lab at the end of every chapter	About six prompts a chapter, one at algo level; AI stays the analyst, you stay the trigger

Stage 1 gave you	Stage 2 chapter	What is new there
Journal, event calendar, Routine Card (Days 12, 19, 20)	Every chapter	Not taught again: keep them running

OUTCOME

By the end you can run one stock through all of Week 3's rules, spot a 'we trade for you' offer, score your own paper trading since Day 12 on process, list the six certificate checks, grade a Portfolio row against the A/C/D guide, name the Stage 2 chapter that takes each Stage 1 skill further, and explain why finishing a course is not the same as being ready for real money.

TOOLS

- Any AI chat
- Your journal (app or Google Sheets)
- The app's certificate and Portfolio pages
- SEBI and NSE websites (sebi.gov.in, nseindia.com)
- Cyber-crime portal (cybercrime.gov.in) and helpline 1930
- Phone calendar

WITH YOUR BATCH

Convocation, opt-in and with no numbers: each learner reads one line from their Day 1 journal next to one line from today's. Then play 'Which day busted it?': one person reads an old belief, such as 'a stop-loss fixes my exit price', 'an AI answer is a fact' or 'a certificate means I am ready', and whoever first names the day that corrected it reads the next one. If your cohort gives awards, they go by process only: Discipline, Best Journal, and Best Screener, judged on how cleanly rules became screener conditions, never on whether its picks rose. Alone? Write a five-line letter to your Day 1 self and reopen it on your check-in date.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Company names, prices and paper results in this lesson are made up for illustration; paper and backtest results are hypothetical. Stage 1 uses virtual money only and places no automated or F&O orders. The course certificate certifies completion only; it is not a SEBI or NISM certification, confers no licence to advise, and is not a signal to trade with real money. Past performance is not indicative of future results. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Final journal review

You are a calm trading coach reviewing a beginner's paper-trade journal from a 21-day course that scores process, never profit. I will paste my paper-trade journal rows since I started paper trading (about ten days), with all personal details removed: date, stock (I may replace names with Stock A, Stock B), setup, whether each rule was followed, emotion tag and notes, plus the days I took no trade. Do five things. (1) Count how often each rule was broken and list my top 3 process mistakes with their counts. (2) List my top 3 strengths: rules I kept every time, and days I correctly stayed out. (3) Name the emotion tag that appears most often next to a broken rule. (4) Work out my adherence score: decisions that followed my rules divided by all decisions. A trade that kept every rule, a setup I skipped because a written rule said so, and a no-setup day on which I stayed out each count as one decision followed; a trade with any broken rule counts as one decision not followed. (5) Draft 5 habits for the next 4 weeks, each written as an action I control, never as a money goal. Label every finding Fact (counted directly from my rows, with the row dates) or Guess (your interpretation). Do not comment on profit or loss, do not suggest new strategies or stocks, do not give buy or sell advice, and do not mention targets or expected returns.

Journal:
<paste here>

'We trade for you' offer check

I received a message offering copy-trading, 'account handling' or an automatic algo that would trade in my account for a monthly fee or a profit share. I will paste the message with all names, numbers and links removed. Do not ask me for any personal or account details. Check the message against these points, as you understand India's rules: who may give buy or sell advice for a fee, whether algo orders must go through a broker and carry an exchange Algo-ID, whether algo sellers must be empanelled with an exchange, whether black-box algo sellers must be SEBI-registered Research Analysts, whether registered advisers may promise returns, and what can happen if I share my login, password, OTP or TPIN. Label every claim in the message Fact, Guess or Kachra. List the red flags from most to least serious, and tell me which rules I should confirm myself on sebi.gov.in or nseindia.com, because rules change and your knowledge has a cutoff date. End with safe next steps: share nothing, keep screenshots, block and report at cybercrime.gov.in, and call 1930 if money has already gone. Do not recommend any product, algo, broker or stock, do not give buy or sell advice, and do not mention targets or returns.

Message:
<paste here>

Ready or not yet

Act as a careful, honest mentor for an Indian beginner who has just finished a 21-day course using only virtual money. Ask me 8 short questions, one at a time, about: how many weeks I have followed a written daily routine, how many trades I have logged on the same frozen rules (backtest and paper together), my adherence on losing days, whether I have an emergency fund, whether any money I might use is borrowed, whether I understand contract notes and the basic tax heads, how I behaved during my worst losing streak, and who I would talk to before deciding anything. After my answers, give me a 'Not yet' list of what is still missing, with one small next step for each. Never tell me I am ready to trade with real money, never suggest an amount, and never suggest F&O. Do not recommend any stock, strategy or product, do not give buy or sell advice, and do not mention targets or return expectations.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Read your Day 1 journal entry again. What did you believe about the market then that you no longer believe? And which of your five habits will be hardest to keep in the next four weeks, and why?

Write your answer here, then save it in the app's Journal tab.

Twenty-one days ago you wanted to know what happens after you tap Buy. Today you also know when not to tap it, and why. Keep the journal going; it will teach you more than any certificate.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. At 7 pm, Priya's EMA Pullback rule gives a valid setup on Bharat Pumps Ltd, every chart box in her flowchart says yes, and her backtest showed a positive edge. Her written no-trade rule, from her Day 11 card, says: no new swing entry if the company's results fall within the next 15 trading days. Results are due in 2 trading days. What does her system say?

- ☐ A No trade: the calendar rule overrides the setup
- ☐ B Enter now and plan to exit just before results
- ☐ C Enter with half the usual size, to be careful
- ☐ D Enter, since her backtest showed a positive edge

Q2. Since paper trading began, a learner took 10 paper trades: 8 followed every rule and 2 broke one, though both of those made money. On 6 other days there was no setup, and she correctly stayed out. What is her adherence score?

- ☐ A It cannot be scored before 30 trades
- ☐ B 88%, counting no-trade days as decisions
- ☐ C 80%, counting only the trades she took
- ☐ D 100%, because both rule breaks made money

Q3. A message offers Aman a 'fully automatic algo' that trades options in his account for a 30% profit share. It needs his login ID and a one-time OTP, and it names no broker, Algo-ID or registration. What should he do?

- ☐ A Share nothing, check sebi.gov.in and report it
- ☐ B Share the OTP once and change the password after
- ☐ C Ask for a free trial month before sharing anything
- ☐ D Try it with a small amount first, then decide

Q4. A learner passes the final exam with a Distinction. Her paper account shows +Rs 38,000 from 12 trades since Day 12, and 5 of those trades broke a rule. What is the most accurate reading?

- ☐ A She knows the basics, but 12 trades prove little
- ☐ B She is ready to start with a small real amount
- ☐ C Her rules are proven by a strong exam and profit
- ☐ D She should move to F&O now that cash is mastered

Q5. Someone skips the 'not yet' list, and a bad month takes 20% of Rs 5,00,000, leaving Rs 4,00,000. What gain on Rs 4,00,000 is needed just to get back to Rs 5,00,000?

- ☐ A 20%, the same percentage as the loss itself
- ☐ B 25%: Rs 1,00,000 back on a smaller base of Rs 4,00,000
- ☐ C 40%, because a recovery takes double the fall
- ☐ D 16%, since a smaller base makes it easier

Important information

This handout is study material for CIRCLE S.M.A.R.T, Stage 1 of the 5 Circles Academy. It teaches how the market works. It does not give tips, calls or investment advice, and it does not recommend any security. Company names in the examples are made up; charts and numbers are illustrative; practice uses virtual money only.

Complaint? Write to our Compliance Officer first. If it is not resolved, you can take it to SEBI SCORES (scores.sebi.gov.in) or SMART ODR (smartodr.in).

Company	5 Circles Private Limited
SEBI	SEBI Registered Research Analyst (Non-Individual)
Registration	Reg. No. INH000020004 · 06 March 2025
Principal Officer	Rahul Sarawgi
Compliance Officer	Suchita Sarawgi
Email	info@5circles.co
Phone	+91 638 749 7277

Disclaimer

Investment in securities market is subject to market risks. Read all related documents carefully before investing. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Past performance is not indicative of future results. The analyst or dependents may hold positions in the securities discussed. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004